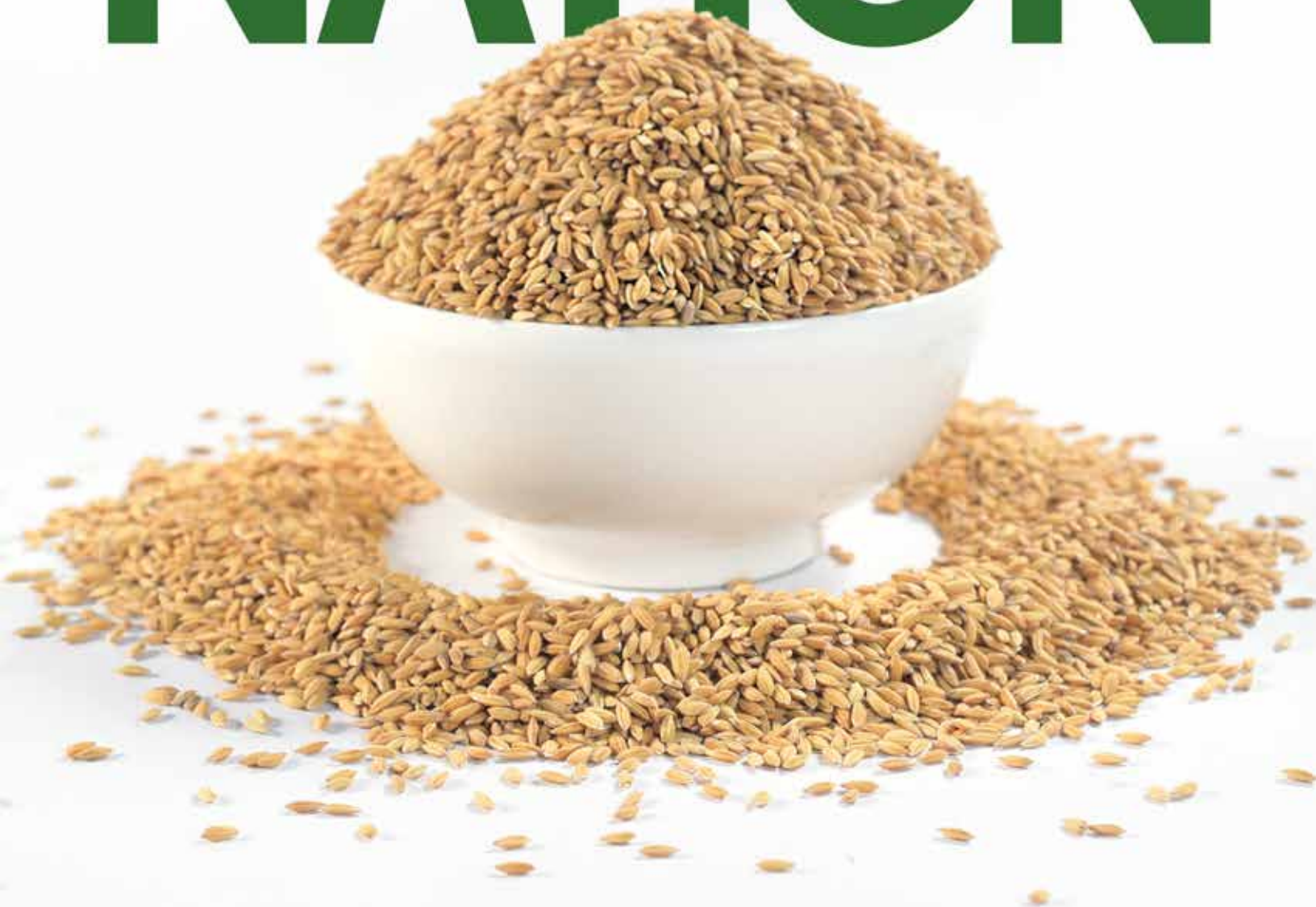


THE ENRICHMENT OF A NATION





Scan this QR Code with your
smart device to view a
version of this annual report online at
<https://agstaragri.lk/>

THE ENRICHMENT OF A NATION

The road has been long, but today, we behold the sun rising on a new era of prosperity.

As we persist in building an extensive market for our trusted range of chemical and organic fertilisers, our mission of driving growth since our inception over 20 years ago has enriched the progress of our nation.

Today, we are proud to celebrate our achievements as we look back over another year of strong performance and sustainable value delivered to the many stakeholders we serve.



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CHAIRMAN'S
MESSAGE



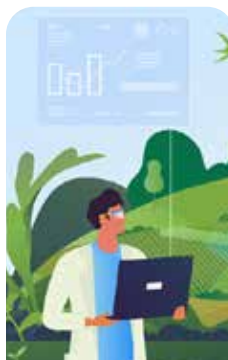
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MANAGING
DIRECTOR'S
REVIEW



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MANAGEMENT
DISCUSSION &
ANALYSIS



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FINANCIAL
INFORMATION

Our VISION

To be the one-stop agent of prosperity for Sri Lanka's farmer community and a gateway to the world for exotic local produce.

Our MISSION

To provide best-in-class products, services and guidance our farmers need to reap prosperity by harnessing state-of-the-art technology, global best practices and inspirational leadership.

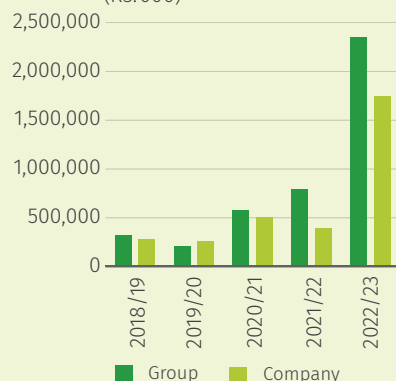


FINANCIAL HIGHLIGHTS

Year ended 31st March		2023	2022	Change
OPERATING RESULTS				
Group revenue (continuing operations)	(Rs'000)	7,458,205	5,992,282	24%
Gross profit (continuing operations)	(Rs'000)	3,610,795	2,108,545	71%
Net finance income/(costs) (continuing operations)	(Rs'000)	(620,096)	(830,717)	25%
Profit before tax (continuing operations)	(Rs'000)	2,347,695	797,401	194%
Profit for the year (continuing operations)	(Rs'000)	1,659,171	606,727	173%
Profit for the year (continuing & discontinued operations)	(Rs'000)	1,658,875	606,863	173%
Profit attributable to owners of the company	(Rs'000)	1,668,886	618,916	170%
Profit attributable to non-controlling interests	(Rs'000)	(10,011)	(12,053)	100%
FINANCIAL POSITION				
Stated capital	(Rs'000)	2,007,857	2,007,857	0%
Non controlling interests	(Rs'000)	20,634	30,645	100%
Property, plant & equipment (continuing operations)	(Rs'000)	3,285,915	3,299,488	0%
Current assets	(Rs'000)	4,632,619	6,292,468	-26%
Total assets	(Rs'000)	8,950,172	9,782,807	-9%
Non current liabilities	(Rs'000)	813,665	764,714	3%
Current liabilities	(Rs'000)	929,214	3,340,098	-71%
Total equity	(Rs'000)	7,207,294	5,677,995	27%
FINANCIAL INDICATORS				
Basic earnings per share	(Rs)	3.42	1.52	170%
Dividend per share paid during the year	(Rs)	-	0.20	100%
Dividend per share proposed	(Rs)	-	-	-
Dividend payout proposed	(%)	-	-	-
Net assets per share	(Rs)	14.74	11.58	27%
Return on equity	(%)	23.22	10.96	112%
Return on total assets	(%)	18.53	6.20	199%
Gross profit ratio	(%)	48.41	35.19	38%
Net profit ratio (continuing operations)	(%)	22.25	10.13	120%
Current ratio	(Times)	4.99	1.88	158%
Liquidity ratio	(Times)	2.15	1.20	75%

Profit Before Tax (Continuing Operations)

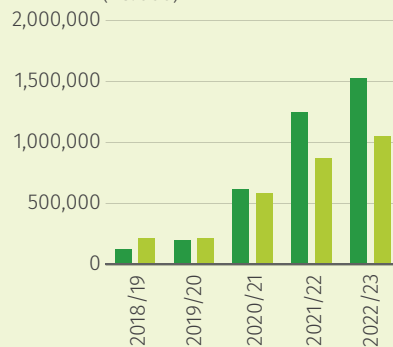
(Rs.'000)



■ Group ■ Company

Total Comprehensive Income

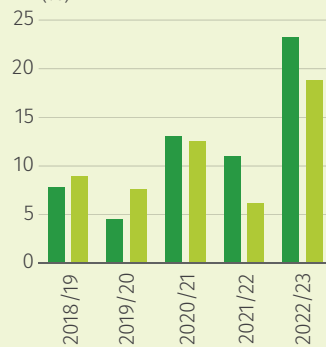
(Rs.'000)



■ Group ■ Company

Return on equity

(%)



■ Group ■ Company

Rs. 7.45 Bn

Gross Revenue

Rs. 3.61 Bn

Gross Profit

23.22%

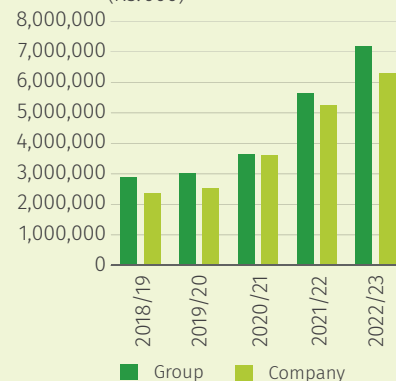
Return on Equity

Rs. 14.74

Net Assets per share

Net Assets

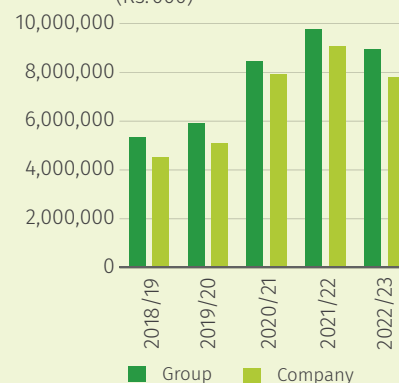
(Rs.'000)



■ Group ■ Company

Total assets

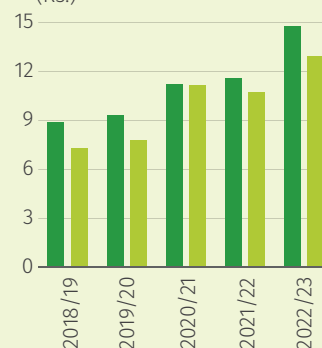
(Rs.'000)



■ Group ■ Company

Net assets per share

(Rs.)



■ Group ■ Company

CHAIRMAN'S MESSAGE

Despite the overwhelmingly **negative factors at play in the external environment in the year 2022/23**, the AgStar Group surmounted the challenges to post a historic profitability through prudent management and product innovation.



On behalf of the entire management team, **I express my heartfelt gratitude to our partners and stakeholders** for their unwavering support and collaboration.

I am pleased to welcome you to the Twenty-First Annual General Meeting of AgStar PLC and to place before you the Annual Report and Audited Financial Statements for the year ended 31st March 2023. The year under consideration witnessed a severe contraction in the economy and an unprecedented economic crisis amidst which the agriculture sector, already experiencing a lacklustre performance since 2019, shrank by 4.6% due to shortages in chemical fertiliser and other agrochemicals, increased cost of raw materials, as well as the disruptions of supply networks. Despite the overwhelmingly negative factors at play in the external environment in the year 2022/23, the AgStar Group surmounted the challenges to post a historic profitability through prudent management and product innovation.

Strong Performance

The ban on the importation and use of agro chemicals in the market created a dire situation for the agricultural sector and agro chemicals business, as product portfolios were restricted due to the inability to market agrochemicals. However, since the company had introduced organic fertiliser to the market prior to the economic crisis, it was able to further enhance its organic product range and supply chain to meet market demand. Organic fertiliser supplies were supplied to Polonnaruwa, Anuradhapura and Trincomalee districts throughout of the year to fulfil the farmers' need for organic manure. As a result of the scarcity in the market for chemical fertilisers and chemical crop protection products, AgStar was able to sell its organic fertilisers at higher margins as compared to the previous year. However, the overall usage of

agri inputs declined during the year due to accessibility and affordability concerns amongst farmers.

It was only when the ban on agro chemicals was lifted, the fertiliser segment started to improve. The shortage of dollars and unwillingness of overseas suppliers to extend credit to Sri Lankan companies in the midst of the economic crisis however, made the task an uphill one for the industry. Nevertheless, based on longstanding relationships with suppliers, backed by the company's strong credentials, the fertiliser arm delivered a continuous supply of organic products. The market situation normalised during the last quarter of the year while witnessing a drop in global fertiliser prices.

Yet another fresh challenge was the appreciation of the LKR, in the latter part of the year as existing stocks were brought in at higher values when the LKR was steeply devalued and thus stocks had to be disposed at the most optimum rate to mitigate losses.

As the second-largest contributor to Group profitability, the Crop Care segment faced similar challenges; however, the Company was able to sell existing stocks at higher profit margins due to the scarcity of crop care products in the market in tandem with global crop care prices shooting up.

The overall impact on the seeds business was minimal as the industry was allowed to import hybrid seeds without disruption and thus this segment continued to perform well in the year under review. Going ahead, the company's product portfolio for hybrid seed varieties will be expanded.

Rs. 1.659 Bn

Net Profit

23.22%

Return on Equity

Meanwhile, the optimal performance of the exports arms was stymied due to the logistical challenges arising out of the pandemic and post-pandemic scenario and this segment earned a modest profit margin.

Planning for sustained growth

The Group is forging ahead to fulfill its vision to consolidate its position as the one-stop solution for the Sri Lankan farmer - from agri inputs to agri machinery, covering every step of the agricultural value chain. Agstar has collaborated with newly developed fertiliser technologies and assures the Quality of Fertiliser blends to the market. Further, focused on addressing the Irrigation problems of cultivations with modern technology

As a sustainable-focused organisation, AgStar continue to pursue non-conventional resources

CHAIRMAN'S MESSAGE

of energy to run its operations. In the realm of green energy, the company is already generating 1.29 MW of solar energy at Dambulla, Polonnaruwa, Anuradhapura and Dehiyattakandiya. Its Ekala premises are also being equipped for solar power generation.

Future Outlook

Overall the Group performed exceptionally well which is reflected in its robust bottomline compared to the previous year. Despite posting a historic financial performance, we remain aware of the fact that it was an abnormal year and therefore will not rest on our laurels. The year ahead will be more challenging and in line with pre-2019 competitive levels for which we are already honing our strategies.

AgStar's plans are to be a very prominent player when it comes to the fertiliser business for the next few years underpinned by the speed to market and innovation which are the hallmarks of the company. One factor that makes us optimistic is the removal of the government fertiliser subsidy from the earlier quota system to an open market system, which will make the segment more lucrative.

Moreover, it is hoped that the total fertiliser market, which was around only around 310,000 MT 2022/23 will grow at least to 500,000 MT in 2023/24 as government quota subsidies have been removed and global fertiliser prices have come down which will see increased usage by local farmers. Also, the government is giving outright cash grants to farmers with less than two hectares of cultivable land which will boost fertiliser sales and enable the company to capture major market share.

Continuing AgStar's journey to become a one-stop shop for agri solutions, all existing fertiliser and cropcare blends will be enhanced with micro nutrients. The company plans to provide total solutions for the top 10 crops of the country which will address all the pain points of farmers. In order to facilitate and support these ambitious plans the sales and marketing teams have been restructured for optimal efficiency and integration.

Acknowledgements

I take this opportunity to thank the Directors on the Board and the senior management for their guidance and cooperation during a challenging year. Our valued employees have displayed exceptional hard work and determination. Our other stakeholders, including suppliers and customers, have shown exceptional loyalty and confidence by standing shoulder to shoulder with us through the crisis. We will continue to seek their support to fulfil our vision of becoming the nation's top agro solutions provider to uplift the agri sector and have a positive impact on all industry stakeholders.



R. S. Indika Gunawardhana
Chairman

09th August 2023

MANAGING DIRECTOR'S REVIEW

The overall **outstanding financial performance by the Group was a result of price increases taken** due to Rupee devaluation and World market price changes in combination with a change in product mix to adapt to industry conditions.



Our robust financial performance is a testament to the relentless pursuit of excellence by our exceptional team. **This has not only driven our revenue growth,** but has also fostered a culture of operational efficiency within our organisation.

MANAGING DIRECTOR'S REVIEW

The Agriculture Sector, which had been plagued with several drastic policy decisions over the past few years, experienced a further negative growth of 4.6 percent in the period under consideration as the mounting economic crisis led to scarcity of fuel and essential goods, rising interest rates and lack of critical Agri inputs necessary for improving yields. The higher operating cost and Rupee devaluation affected cash flows of farmers and Regional Plantation Companies. Importers too found it challenging to find Dollars to open Letters of Credit for imports as the country's sovereign ratings dropped. The volatility of the exchange rate added to the uncertainty that prevailed through the period, thereby indicating the tumultuous nature of 2022/23.

Recording Historic Profitability

The resilience of AgStar PLC is reflected in the fact that it was able to achieve historic profitability amidst volatile external conditions, posting an increase in turnover from Rs. 5,992 Mn in 2021/22 to Rs. 7,458 Mn in the year under review, which marks a 24 percent increase in turnover. Gross Margin grew from Rs. 2,110 Mn in the previous year to Rs. 3,610 Mn in 2022/23, reflecting a 71 percent increase. Meanwhile, Profit After Tax soared from Rs. 607 Mn in the previous year to reach Rs. 1,659 Mn in 2022/23, which is an increase of 173 percent. The subsidy outstanding owed to the Group was Rs. 3 Bn at the start of the year under review but dropped to almost Rs. 390 Mn by 31st March 2023, which improved the cash flow situation. The overall outstanding financial performance by the Group was a result of price increases taken due to Rupee devaluation and World

market price changes in combination with a change in product mix to adapt to industry conditions.

Operational Performance

Fertiliser

The fertiliser industry underwent one of the most volatile periods, nevertheless AgStar was able to adapt and harness opportunities to its benefit. The turnover of its fertiliser company grew from Rs. 3,959 Mn to Rs. 5,713 Mn, which marks a 44 percent increase. The Gross Margin, which was Rs. 1,280 Mn in 2021/22 rose to Rs. 2,717 Mn, reflecting an increase of 112 percent. As a result, Profit After Tax expanded from Rs. 239 Mn in the preceding year to reach Rs. 1,152 Mn in 2022/23, indicating an impressive 390 percent increase. The volume of the chemical fertiliser business shrank by as much as 68 percent due to inability of imports & drop in demand due to price escalation. However,

the Company's organic fertiliser volumes increased by 302 percent and compensated partly for the loss of volumes of chemical fertiliser.

The import of fertiliser was a major challenge because of the scarcity of Dollars and even when the ban on chemical fertiliser was lifted in November 2021, suppliers were unwilling to extend credit due to the economic crisis which once again posed a challenge to importing through TTs. As a result, the Company faced a period of depleted stocks for a few months, which led to a drop in volumes. Further, exacerbating the situation, due to the higher cost of fertiliser, farmers and Plantation Companies reduced their fertiliser usage.

The Company, which already had several organic fertiliser products in its portfolio, took hold of the opportunity and supplied more than 20,000 MT of organic fertiliser to farmers in 2022/23.

Fertiliser subsidy was removed by the Government subsequently which implies that going forward this segment will be lucrative as it has now become a level playing field from the previous quota system. The Company is not constrained anymore from supplying to the paddy sector as well, which increases the value of the market. Farmers will receive cash grants or coupons from the Government for purchase of fertilisers which should see sales of fertiliser growing while at the same time global prices of oil, fertilisers and other Agri inputs prices are declining, all factors which will prove to be favourable for the Company. In addition, the extent

Rs. 3.61Bn

Gross Profit

Rs. 8.95Bn

Total Assets

of cultivation which was reduced due to the organic drive and other issues will also see expansion.

Cropcare

The cropcare segment underwent a difficult period due to the ban on import of chemical Agri products, leading to a 36 percent, 45 percent and 54 percent drop in turnover, Gross Profit and Profit After Tax respectively.

It was only once the ban was lifted in August 2022 that the Company imported products, however the stocks arrived only in November which meant that for more than eight months the Company was unable to operate in the market, thus contributing to the drop in profitability. The removal of the ban on Glyphosate by the fourth quarter of the year under review by the Government was a welcome. The Company's first shipment of Glyphosate arrived only in March 2023 however this provides optimism for the performance of the cropcare Company in the next financial year as prior to its ban.

During the year under review, four organic products were introduced and going ahead an insecticide, nematicide and a fungicide will be added to the portfolio. The market prices are on the decline and with the Rupee's strengthening and price decline in the global market, the ability to supply Glyphosate once again indicates to an exponential expansion of the cropcare category in the next financial year.

Seeds

AgStar Seeds

The turnover increased by 59 percent while Gross Profit reflected an increase of a mere 2 percent and Profit After Tax declined by 50 percent. Main reason for the downfall is the underperformance of the seed paddy segment. Nine new products will be added to the portfolio going forward.

Prith Seeds

The turnover increased by 38 percent, Gross Profit by 56 percent and Profit After Tax increased by 72 percent. Two new products, namely, pumpkin and chilli were introduced during the year under review. The Company continues to research new seed varieties to benefit farmers.

Mahaweli

The Company took the maximum benefit of the Government's organic drive to supply the Government with approx 19,000 MT of organic fertiliser and almost 60,000 litres of liquid organic fertiliser. As a result, the Company's Turnover increased by 309 percent, Gross Profit by 504 percent and Profit After Tax by 690 percent.

Agri Tech

As a result of financing cost increasing over 30 percent per annum and scarcity of fuel, demand for tractors and harvesters dropped drastically and the market shrank in this segment, leading to an 85 percent decline in turnover for this segment of the business. Thus, the Company embraced a strategy to dispose of existing stocks without importing new ones.

It is expected that with the gradual reduction in interest rates and a growth in cultivation, the demand for Agri Tech will show an increase in the coming years. The Company is in the process of adding irrigation technology and storage including drying systems to its portfolio in a bid to provide end-to-end Agri solutions to farmers.

Others

The turnover of the exports business increased by 194 percent, where Gross Profit and Profit After tax increased by 07 percent and Profit After Tax by 320 percent during the year, with the main products of sugar and creamer being supplied to the hotel sector, against a backdrop of higher tourist inflow. Volumes increased by as much as 145 percent. Although the Company exported vegetables and fruits to Dubai in the preceding year, further prospects to consolidate this segment is expected to take time.

Tea

Turnover in our Tea segment went up 63 percent and Gross Profit increased by 245 percent with the addition of a new customer each in Saudi Arabia and USA. The Company made its presence felt at the Sri Lanka Pavilion during the SIAL Exhibition in France.

Animal Health

Turnover of Animal health segment increased by 341 percent, Gross Profit by 543 percent and Profit After Tax by 623 percent of this business unit which represents four suppliers and has 26 registered products. During the year under review, the Company experienced the issue of non-availability of foreign currency to import products.

MANAGING DIRECTOR'S REVIEW

Future Outlook

After delivering a historic performance notwithstanding the external shocks, the AgStar Group has many strengths to move forward with optimism. The prospects for enhanced profitability in the fertiliser segment stand positive as we are forecasting the market to expand from the present volumes of 200,000 MT plus market to at least 500,000 MT in the coming year with the new portfolio of paddy sector which had been administered by the Government.

Since the scarcity of Dollars has been alleviated, and global fertiliser prices are reducing, including the appreciation of the Rupee, higher fertiliser usage is expected. The Government's policy of providing farmers with a cash grant or a coupon will benefit the fertiliser and agrochemicals industries. The lifting of the Glyphosate import restriction will contribute around Rs. 7 billion to the agrochemical market. The seed sector will also have a positive impact because farmers previously abandoned cultivation due to lack of fertiliser. The current trend of vegetable seeds will be maintained in the upcoming year.

Overall prospects for the business seem encouraging due to the group's vision to ensure its product portfolio conforms to the requirements of the farmers to become the Leader in the Agri inputs sector.

Appreciation

I wish to place on record my appreciation to the Chairman and the Board of Directors for their guidance and inputs commending the efforts and the commitments and demonstrate by the entire AgStar

team for their dedication to meet targets in a challenging year.

I would like to take this opportunity to extend sincere thanks to our valued shareholders and stakeholders for their unstinted support and confidence placed to deliver returns on their investment.

We remain confident that the uncertainties which hampered the growth in the Agricultural sector have now been cleared.



A. P. Weerasekera
Managing Director

09th August 2023

BOARD OF DIRECTORS



Mr. R. S. Indika Gunawardhana
Executive Chairman



Mr. A. P. Weerasekera
Managing Director



Mrs. S. Kotakadeniya
Non-Executive Director



Mr. D.S.K. Amarasekera
Non-Executive Director



Mr. R. K. A Ranaweera
Independent Non-Executive Director



Dr. (Mrs.) A.D.N De Zoysa
Independent Non-Executive Director

BOARD OF DIRECTORS



Mrs. S. N. Wickramasinghe
Independent Non-Executive Director



Mr. W.K.D.T. Abeyrathne
Executive Director



Mr. E.A.D.N.J. Perera
Non- Executive Director



Mrs. T.A.P. Weerasinghe
Non- Executive Director



Mr. P. Weerasingha
Executive Director



Mr. M. S. Gunawardana
Non-Executive Director

Mr. R. S. Indika Gunawardhana

Executive Chairman
(appointed w.e.f. 01st January 2023)

Mr. Indika Gunawardhana was a former Executive officer of Browns Agri Solutions (Pvt.) Ltd. He possesses over 30 years of Management experience including 10 years in Senior Management Positions in listed companies engaged in Marketing of Agriculture input products and management of out grower farming systems.

Mr. Gunawardhana holds a Bachelor's degree Agriculture from University of Ruhuna Sri Lanka & a scholar of Japanese Association for Overseas Technical Scholarship programme (AOTS) Japan on Corporate Management. Further, he studied in University of California, Berkley USA and Nanyang Technological University, Singapore on Advance Management and business innovation.

Mr. Gunawardhana served as an Executive Committee member of Crop Life Sri Lanka from 2003 to 2016, and elected as Chairman, of the industry association in 2005, 2006 and re-appointed for the same position in 2014 & 2015. In addition, he served as an Executive Committee member of Toxicological Society of Sri Lanka from 2011 – 2016 and served as a board member of the Faculty Board of Faculty of Agriculture, University of Ruhuna Sri Lanka from 2009 -2012. At present, he serves as a Board Director for Agriculture Sector Skill Council of Sri Lanka. Further, he engages with academic activities as a Visiting lecturer for Faculty of Agriculture and Plantation Management, Wayamba University Sri Lanka and the Faculty of Agriculture, University of Ruhuna Sri Lanka.

Mr. A. P. Weerasekera

Managing Director

Mr. Pasad Weerasekera is a Fellow of the Chartered Institute of Management Accountants of the United Kingdom, a fellow member of Chartered Global Management Accountants (CGMA-USA) a Fellow of the Certified Management Accountants of Sri Lanka, a Fellow of the Institute of Public Accountants Australia, and a Member of the Certified Practising Accountants Australia, with over 30 years of industry experience. He was a Founding Director of AgStar PLC, serving first as Head of Finance and then as Chief Operating Officer. He has made significant contributions to the Company becoming a viable business entity.

Mr. Weerasekera previously worked at CIC Agri Business as Finance Manager and gained extensive experience in the management of agribusiness activities. Mr. Weerasekera is also serving as the Managing Director of subsidiaries of Agstar group and Sapase (Pvt) Ltd.

Mrs. S. Kotakadeniya

Non-Executive Director

Mrs. Sunjeevani Kotakadeniya is a fellow member of Chartered Institute of Management Accountants (UK), Chartered Global Management Accountant (USA) and holds a Masters in Business Administration from the University of Colombo. She is a senior Finance professional with extensive experience in General Management and in Finance and Financial Management practices in the financial services sector and other industries.

Mrs. Kotakadeniya counts over twenty years of senior management experience holding key positions in the Financial services industry, in Insurance, Finance Companies, Factoring, Fund Management, Unit Trusts and Stock broking.

Her exposure into the Non-financial services sector spans from Leisure, Trading, Manufacturing, Construction, Agriculture and Plantations to the IT services industries. She holds several board positions representing these industries. Mrs. Sunjeevani is a catalyst in change management, restructures, mergers, acquisitions and project management, She has taken leadership in strategic change, driving organisations to leading positions.

Currently holds the position of Chief Financial Officer, LOLC Group overseeing finance functions for the group locally and internationally. Further, She performs the overall business management role for Browns Investments PLC and its subsidiaries. She holds Director positions in several LOLC Group companies including regulated and listed entities.

Mr. D.S.K. Amarasekera

Non-Executive Director

Mr. Kamantha Amarasekera is a member of the Institute of Chartered Accountants of Sri Lanka and is an Attorney-at-Law of the Supreme Court of Sri Lanka. He also holds a degree in Business Administration from the University of Sri Jayewardenepura and began his career in the year 1998. Mr. Amarasekera is an eminent Tax Consultant and the Senior Tax and

BOARD OF DIRECTORS

Legal Partner of M/s. Amarasekera & Company, a leading tax consultancy firm in the country. His other key appointments can be listed as follows; Director - Kelani Tyres PLC, Lanka Milk Foods (CWE) PLC, Madulsima Plantations PLC, Balangoda Plantations PLC, Eden Hotel Lanka PLC, Ceylon Hotels Corporation PLC, Palm Garden Hotels PLC, Sierra Cables PLC, Serendib Hotels PLC, Dolphin Hotels PLC, Hotel Sigiriya PLC, Hapugastenne Plantations PLC, Udapussellawa Plantations PLC and several other subsidiaries of Browns Investments Group.

Mr. R. K. A Ranaweera

Independent Non-Executive Director

Mr Athula Ranaweera is a fellow member of the Institute of Chartered Accountants of Sri Lanka and the Institute of Certified Management Accountants of Sri Lanka and holds a Honours Degree in Business Administration from the University of Sri Jayawardenapura. He is the managing partner of Ranaweera Associates (Chartered Accountants) and also the Managing Director of Assent Advisory Partners (Pvt) Ltd. He counts over 40 years' experience in Auditing, Financial Reporting and Taxation.

In addition, he is an Independent and Non-Executive Director of Agalawatte Plantations PLC and acts as a member of the Finance Committee and chairs the Audit Committee of the same.

Dr. (Mrs.) A.D.N De Zoysa

Independent Non-Executive Director

Dr. (Mrs.) De Zoysa has been a member of the Board of AgStar PLC since 28 June 2019. She was the former Secretary to the Ministry of Plantation Industries from 2014 to 2015, the former Secretary to the Ministry of Productivity Promotion from 2013 to 2014, the former Secretary to the Ministry of Fisheries and Aquatic Resources Development from 2010 to 2013. Dr. De Zoysa is a Class I Special Grade officer of the Sri Lanka Planning Service and had her initial period of career at the National Planning Department of the Ministry of Finance and Planning where she served in different capacities after leaving the University for 31 years until reaching the Director General positions of the Department of Development Finance from 2006 to 2010 and the Director General of the Department of Fiscal Policy from 2005 to 2006.

Dr. (Mrs.) De Zoysa holds a B.A (Hons.) Degree in Economics (Statistics) from the University of Peradeniya, M.Sc. Degree in Agricultural Development Economics from the Australian National University, Canberra, Australia, M.A. Degree in Economics from the Ohio State University, Columbus, Ohio, USA and Ph.D. Degree in Agricultural Economics from the Ohio State University, Columbus, Ohio USA.

Dr. (Mrs.) De Zoysa currently serves as a Director of Central Finance Company PLC since 2017, member of the Education Services Committee of the Public Service Commission and member of the Board of Studies of the Post Graduate Institute of Management.

She has previously served as a Director of DFCC Bank PLC, Lankaputhra Development Bank, and Sri Lanka Savings Bank. She also served as the ex officio member on the Board of Sri Lanka Ports Authority and member on the Board of Ceylon Petroleum Storage Terminal Ltd (CPSTL). She also served as a Consultant to the CHEC Port City Colombo (Pvt) Ltd project from 2015 to 2020. She has been appointed as the Chairperson of the Cabinet Appointed Standing Procurement Planning Committee for Fertiliser in 2013.

Mrs. S. N. Wickramasinghe

Independent Non-Executive Director

Mrs. Siromi Wickramasinghe is an Attorney at Law of the Supreme Court of Sri Lanka and a Fellow of the Chartered Management Institute U.K. She is a Senior Banker with 35 years of experience and has held many positions in financial institutions including the post of DGM - Hatton National Bank PLC, GM / CEO Lankaputhra Development Bank, Director - Commercial Bank of Ceylon PLC, Chairman of HDFC Bank and Director - Sri Lanka Banks' Association (Guarantee) Ltd. She was also a Commission Member of the Securities and Exchange Commission of Sri Lanka (SEC) and the Chairman of Ceybank Asset Management (Pvt) Ltd which is an Associate Company of Bank of Ceylon.

Mrs. Wickramasinghe is presently a Director of HNB Assurance PLC, and Head of the Credit Counselling Centre.

Mr. W.K.D.T. Abeyrathne

Executive Director

Dynamic corporate professional, Mr. Danesh Abeyrathne serves the LOLC Group as a Director/ Chief Executive Officer of LOLC Advanced Technologies (Pvt) Ltd, the Research and Innovation arm of the renowned LOLC Group. He is the former Chief Operating Officer of Brown and Company PLC and at present serves as an Executive Director on its Board. The young professional with his proven track record in the fields of Engineering, Manufacturing, Plantation, Agriculture, Marketing and Research & Development, is also serving on some noteworthy foreign boards.

His extensive board affiliations extend to LOLC Advanced Technologies Australia (Pvt) Ltd, LOLC Advanced Technologies (Pvt) Ltd, Ceylon Graphene Technologies (Pvt) Ltd, Gal Oya Plantations (Pvt) Ltd, Gal Oya Holdings (Pvt) Ltd, Browns Agri Solutions (Pvt) Ltd, BI Commodities & Logistics (Pvt) Ltd, Grey Reach Investment Ltd, Sunbird Bioenergy Ltd (Sierra Leone), Tropical Island Commodities (Pvt) Ltd, Fortigrains (Pvt) Ltd, Sun Yield Bio Ingredients (Pvt) Ltd and several other subsidiaries of the Group.

Mr. Abeyrathna holds a Bachelor's of Science (Hons) in Engineering from the University of Ruhuna. He is a Fellow Member of the Chartered Institute of Management Accountants (UK) and Chartered Global Management Accountants (CGMA - USA), an Associate Member of the Chartered Institute of Marketing (UK) and the Institute of Engineers (SL).

Mr. E.A.D.N.J. PereraNon- Executive Director
(Resigned w.e.f 11.08.2023)

Prior to being a part of the Iconic Trust group of Companies, Mr. Nimesh Perera counts for over 12 years of experience in Construction, Manufacturing and Hotel sectors whilst being attached to Sierra Holdings (Pvt) Ltd from the year 2009 to 2021. He is an Executive Director of Iconic Trust (Pvt) Ltd and its subsidiaries namely, Sierra Ready Mix (Pvt) Ltd, Tiasa Construction (Pvt) Ltd, Sierra Developments Ltd and Sansun Boutique Hotels Ltd.

Mrs. T.A.P. WeerasingheNon- Executive Director
(Resigned w.e.f 11.08.2023)

Holding a Bachelor's of Science in Management from the University of London, Mrs. Tashali Perera Weerasinghe counts more than 15 years' of experience in the construction sector whilst being attached to Sierra Holdings (Pvt) Ltd from the year 2006 to 2021. She is a Non-Executive Director of Sierra Cables PLC. She is also a Director of Iconic Trust (Pvt) Ltd and its subsidiaries namely, Tiasa Construction (Pvt) Ltd, Sansun Boutique Hotels Ltd, Sierra Ready Mix (Pvt) Ltd and an Executive Director of Sierra Developments Ltd.

Mr. Panduka Weerasingha
Executive Director

Mr. Panduka Weerasingha joined the LOLC Group in 2018, Mr. Panduka Weerasingha is currently holding

several key management positions & serves in multiple boards in the Company. He is the CEO of Browns Investments PLC, CEO/Executive Director of Iconic Trust (Pvt) Ltd & an Executive Director of its subsidiaries namely, Sierra Cables PLC, Sierra Ready Mix (Pvt) Ltd, Sansun Boutique Hotels Ltd, Sierra Development Ltd & Tiasa Construction (Pvt) Ltd. He is also a Director of LOLC Geo Technologies (Pvt) Ltd, Browns Metal & Sands (Pvt) Ltd & Browns Properties (Pvt) Ltd.

Mr. Weerasingha counts over 26 years of management experience of which, 11 years in the capacity of a Director/Chief Executive Officer. He possesses expertise in turning around loss making/mismanaged entities to profitable ventures, Manufacturing, Investor/Shareholder Relations, identifying & acquiring most profitable investment opportunities, Real-Estate Management, Channel Management, Project Management & People Development backed up with excellence in performance & achievements.

Before joining the Group, Mr. Weerasingha has held key leadership positions in leading companies such as Singer (Sri Lanka) PLC, Brown & Company PLC, Lanka Walltiles PLC, BASF Lanka (Pvt) Ltd, Ceyoka (Pvt) Ltd, Nivasie Developers & International Construction Consortium (ICC). In addition to the above, he has also been providing consultancy services to the mercantile institutions.

Mr. Weerasinghe holds a Master of Business Administration (MBA) degree from American International University, Los Angeles, California and an old boy of S. Thomas' College Mt. Lavinia.

BOARD OF DIRECTORS

Mr. M. S. Gunawardana

Non-Executive Director

Mr. Manju Gunawardana counts over 25 years in Research and Innovation in various subject areas including Nano technology, Advanced Material & Engineering. He started his career as an electronics engineer and specialised in military electronics. Mr. Gunawardana has worked in some of the Sri Lanka's leading engineering companies such as TOS Lanka Co Pvt Ltd and Orange Electric as a Director Engineering and Head of Research responsible for product development and research management. He served as the CEO at CIC Precision Agriculture (Pvt) Ltd, Head of Research & Innovation at CIC Holdings PLC and pioneered Precision Agriculture Technologies based on drone applications in Sri Lanka. Mr. Gunawardana has worked as a principal Research Engineer at MAS Holdings, Sabre Technologies and was responsible for Real time system design. Currently he is the Group CEO of the Research and Innovation arm of LOLC as well as a Consultant Senior Research Scientist/Director at Sri Lanka Institute of Nano Technology (SLINTEC). Also, his contribution in unveiling Sri Lanka's pristine graphite to the world is so far is remarkable, being the pioneer and founder of Ceylon Graphene Technologies Pvt Ltd (CGTL), Sri Lanka's first graphene and advanced material company and he currently serves as CEO / Director. Mr. Gunawardana is the winner of multiple international awards including 3 Geneva Innovation Congress Gold Medals and one Silver Medal. He has also twice won the national title as the Best Inventor

in Sri Lanka. Mr. Gunawardana is also a Director of LOLC Advanced Technologies (Pvt) Ltd, Ceylon Nano Diagnostics (Pvt) Limited, Associated Battery Manufacturers (Ceylon) Limited, Browns Agri Solutions (Pvt) Ltd, Browns Pharma Limited and BI Holdings (Private) Limited.

LEADERSHIP TEAM



Mr. Athula Gunarathne

Director - Fertiliser



Mr. Ruwan Marambage

Director - Crop Care



Mr. Ashan Ratwatte

Director - New Business Development



Mrs. Uma Shanmuganathan

General Manager – Human Resources and Administration



Mr. Wajira Gamage

General Manager Manufacturing and Operations



Mr. Lakmal Dasanayake

General Manager - Sales and Marketing (Paddy Sector)



Mr. Dhanushka de Zoysa

General Manager - Sales & Marketing
- Corporate Sales and TSH sector
BU Head - Agri Technologies



Mr. Saman Rajapakshe

General Manager - Product Development (Fertiliser)



Mr. Sumedha Bandara

General Manager - Sales and Marketing (Vegetable Sector)

LEADERSHIP TEAM



Mr. Rasika Fernando

Deputy General Manager – Seed
Business Development



Mr. Samantha Dassanayake

Chief Manager - Quality Assurance



Mr. Udara Weerakkody

Manager - Crop Care



Mr. Mahanama Kusumasena

Manager - Sales and Marketing
(Coconut Sector)



Mr. Chandana Udawela

Manager - Sales Desk Operations and
Logistics



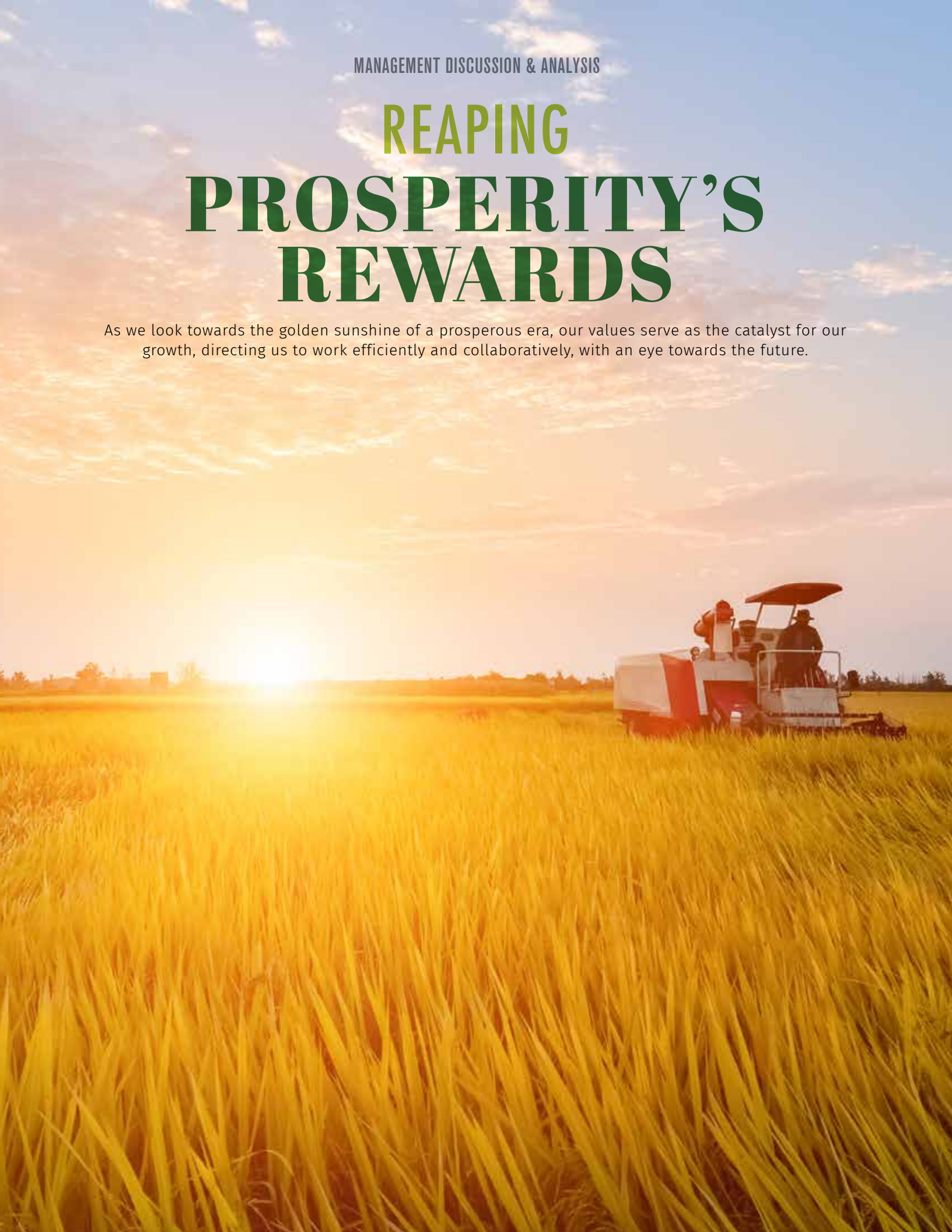
Mr. Sakitha Lakshan

Manager – Finance

MANAGEMENT DISCUSSION & ANALYSIS

REAPING PROSPERITY'S REWARDS

As we look towards the golden sunshine of a prosperous era, our values serve as the catalyst for our growth, directing us to work efficiently and collaboratively, with an eye towards the future.



MANAGEMENT DISCUSSION & ANALYSIS

The Agstar Group outstanding **profitability position** was **supported by the senior management** and a committed team of employees.

Delivering a historical financial performance in FY2022/23, the AgStar Group recorded a revenue increase of 28% while the gross profit margin increased by 31%. During the year under review, the agriculture sector witnessed numerous challenges arising out of the Sri Lankan economic crisis, namely, shortages of chemical fertiliser and other agricultural chemicals, higher raw material costs and supply network disruption, rising interest rates, scarcity of dollars and the currency volatility. The AgStar Group outstanding profitability position was supported by the senior management and a committed team of employees. By managing these challenges expertly, AgStar aims to become a major player in the agricultural industry and a one-stop shop for all agricultural solutions.

Fertiliser

The chemical fertiliser business shrank by 68% in 2022/23 due to the restriction on usage of chemical fertilisers. On the other hand, the government encouraged agricultural enterprises to supply the market with more organic fertiliser. As a result, the company took advantage of the opportunity to safeguard AgStar's market share as its portfolio already included numerous organic fertiliser items. Thus, AgStar leveraged on its organic fertiliser portfolio to deliver over 20,000 MT of organic fertiliser to the market in 2022/23, resulting in a 302% increase in the organic fertiliser volume. However, due to severe price hikes and a decline in demand from

farmers due to dwindling disposable incomes, the company was unable to higher sales volumes of its chemical products.

The agrochemical ban was reversed in August 2022 and the company began importation of chemical fertiliser, which presented numerous obstacles. Due to the foreign currency scarcity in the country, banks were unwilling to offer any Letter of Credit facilities and international suppliers were afraid to extend credit periods due to the country's sovereign rate reduction. However, thanks to long-standing interactions with suppliers, AgStar managed to maintain a steady supply of products.

Cropcare

The Cropcare business, similar to the fertiliser industry, experienced similar problems as a result of the agrochemical ban, suffering a significant decline. As a result, the company's revenue and gross profit fell by 36% and 45%, respectively. The company solely provided organic products throughout the Yala season for government tenders. It was only at the start of the Maha season when the ban was lifted that the company was able to serve the market with higher price margins.

However, one positive outcome was the lifting of the Glyphosate ban in the year under review. AgStar received its first Glyphosate stock in the 4Q 2022/23 and expects exponential growth with the resale of this product

and the drop in its global prices which will render it more affordable for local farmers. This will be a Rs. 7 Billion addition to the agro chemical market.

Seeds

The AgStar Group is primarily engaged in the seeds business, bringing together both AgStar and Prith seed businesses. In comparison to Cropcare and Fertilisers, the overall impact on the seed market was minimal and the industry was able to import hybrid seeds without interruption, successfully boosting revenue by 59% and gross profit by 2%. During the period, the company was able to extend its product range while benefitting from having stocks imported prior to the LKR depreciation. During the period of extreme LKR depreciation, the company managed to sell these stocks with higher margins.

Presently, the company leads the industry in capsicum, cabbage, and beans. In 2022/23, the business released new seed varieties, namely, Chili Mi2 and Pumpkin Melbero to the market. In the coming year, the company intends to add additional varieties to its portfolio and sustain its ongoing research into new seed varieties.

In comparison to other seed products, the seed paddy sector underperformed in the year under review.

Rs. 14.74

Net Assets Per Share

Rs. 5.29 Bn

Market Capitalisation

Agritech

As with the Fertiliser and Cropcare industries, the Agritech business faced many challenges and revenue declines due to a variety of factors including increased loan costs, unavailability of fuel and higher interest rates. As a result of these unfavourable market conditions, the demand for tractors and harvesters decreased by 85%. The company adopted a strategy of selling existing stocks and selling spare parts to existing clients rather than importing new ones. In the upcoming years, the company will concentrate on offering irrigation technology and storage and drying systems to enhance its portfolio. The Agritech segment expects growth in the coming year as interest rates fall and the agricultural sector in Sri Lanka rebuilds.

Other**Animal Health**

This division of the company represents the 04 suppliers and the 26 registered items. However, because of the country's challenging condition in the year under review, the animal health industry was unable able to import products to service demand.

EuroAsia

In FY2022/23, the company's revenue increased by 63% and gross profit by 245%, recording Rs. 24 Mn as gross profit. The company acquired new customers in Saudi Arabia and the United States during the year.

Exports

Overall, agricultural companies faced a challenging period during 2022/23. Nevertheless, given all the challenges, the company was able to retain its market share and generate significant profits. The primary products of this company are sugar and creamer which are supplied to the hotel industry. During the period under review, the supply volumes climbed by 145% as a result of rising tourist inflows to the country. The company is also exporting fruits and vegetables to Dubai.

Future Plans

The AgStar Group intends to conduct extensive development and research through the implementation of novel projects to expand its product portfolio in the upcoming year. As interest rates are expected to decline in the coming year, Agstar plans to expand its agro technology machine division. Expanding its footprint in green technology is an ongoing endeavour and solar

power generation projects have already been installed at company warehouses in Polonnaruwa, Anuradhapura, Dehiattakandiya and Dambulla. The company is poised to install solar power capacity at its premises in Ekala. In the coming year, the company will focus more on innovation to realise its ambition to be a one-stop shop for all the Agri solutions.

FINANCIAL REVIEW

Recording an impressive performance in the 2022/23 financial year, Group Turnover increased by 28% from Rs. 5,992 Mn in 2021/22 to Rs. 7,458 Mn, while operational profit increased by 25%, from Rs. 1,628 Mn in the previous year to Rs. 2,968 Mn. AgStar Group profitability increased by 173% from Rs. 607 Mn in the previous year to Rs. 1,659 Mn in the current financial year, with a significant contribution from the fertilisers, crop care, and vegetable seeds businesses.

As a result of the delay in subsidy payment, the group had to pay a high interest cost, and due to rupee depreciation against the USD, the group had to incur a foreign currency exchange loss of Rs. 614 Mn during the year, compared to a foreign currency exchange loss of Rs.666 Mn recorded last year. However, the company was able to reduce this impact by earning over Rs. 150 Mn Interest Income from Repo Investments and Deposits. The Subsidiary outstanding owed to the Group was Rs. 3 Bn at the start of the year under review. But dropped to almost 390 Mn by 31st March 2023, which improved the Cash Flow Situation.

Basic earnings per share increased by 170% to Rs. 4.10 from Rs. 1.52 previous year and the return on shareholders' equity was 23.22%, compared to 10.96 % in 2021/22. Group's total asset base reduced by 9%, and return on assets increased to 18.53%, up from 6.2% the previous year.

SHAREHOLDER INFORMATION

AgStar PLC was listed on the Colombo Stock Exchange on 16/02/2012. As per the Listing Rules, the Company has submitted the unaudited interim

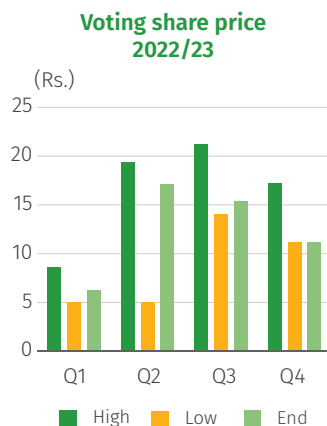
financial statements to the Colombo Stock Exchange (CSE) within 45 days of each quarter.

Financial Calendar

Financial year end	31st March 2023
Announcement of results	
1st quarter ended 30th June 2022	15th August 2022
2nd Quarter ended 30th September 2022	10th November 2022
3rd Quarter ended 31st December 2022	09th February 2023
4th Quarter ended 31st March 2023	30th May 2023

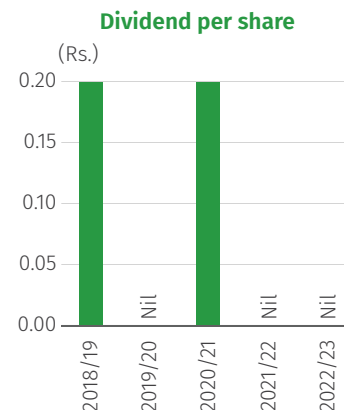
Share Prices

The highest voting share price recorded during the financial year was Rs. 21.20 (Non-voting - Rs. 6.20), while the lowest was Rs. 6.30 (Non-voting - Rs. 5.00). During the financial year under review, the share price fluctuated significantly, eventually ending at Rs. 11.20 per share (Non-voting - Rs. 5.00) on March 31, 2023. The graph table depicts the price trends of AgStar voting shares over the course of the year



Dividends

Considering the volatility of the market and the deterioration of the economy, the company will rationalise its operations and drive resource optimisation to mitigate risks to the company's sustainability during this turbulent period. As a result, management recommends that no dividends be declared this year.



SUSTAINABILITY REPORT

Our Approach to Sustainability

At AgStar PLC, we are committed to driving sustainable practices in the agricultural sector. As a leading provider of agriculture-related products and services, we play a crucial role in uplifting the industry and benefiting the many individuals employed in this sector. Our focus on sustainability is deeply ingrained in our DNA, and we strive to create long-term economic, environmental, and social value for all our stakeholders, both internal and external.

Empowering Our Employees

We recognise that our employees are our most valuable asset. They have faced significant challenges in recent years, including the pandemic and economic crisis. To support and empower our workforce, we invest in their development, providing a smooth onboarding process and implementing strategies for talent retention. Our employees undergo technical and soft skills training to effectively educate and guide farmers on agri inputs, fostering a customer-centric mindset.

We prioritise occupational health and safety, ensuring employees are well-informed about product usage and maintaining an injury-free workplace. As part of the LOLC Group, a respected conglomerate, our employees benefit from synergistic opportunities and a promising future within our organisation.

Cultivating an Inclusive Work Culture

Diversity and inclusion are fundamental principles of our sustainability mindset. At AgStar, we foster a workplace where every employee feels valued, can contribute to the greater good, and is entrusted



with decision-making responsibilities. We maintain transparency in recruitment and promotion processes, striving to be an equal opportunity employer.

Continuous Learning for Growth

We believe in the importance of continuous learning and development for our employees. Regular training programmes are conducted to keep them updated on the latest advancements in the field. These programmes cover topics such as ISO certification and product knowledge to enhance their operational efficiency. The collective experience of our team is harnessed to drive prosperity for the farming community we serve.

Sharing Knowledge for Sustainable Agriculture

Our close relationship with farmers is built on knowledge sharing and providing technical inputs to overcome challenges posed by inclement weather conditions and changing policies. By equipping both internal and external stakeholders with precise technical information and eco-friendly products, we ensure

a sustainable future for thousands of farmers in Sri Lanka. Our agritech division offers modern machinery to automate traditional cultivation methods, addressing generational challenges and encouraging the younger generation to embrace farming.

Partnerships for Success

AgStar PLC collaborates with leading overseas agri companies to bring the highest quality seeds, fertilisers, and crop care products to Sri Lanka. We hold our partners to the highest quality standards and invest in research and development to continually improve our offerings responsibly.

Supporting Farmers and Distributors

Farmers are at the heart of our products and services. We empower them through product launches, induction programs, and field visits to address challenges and improve yields. Our distributor network ensures that farmers in remote regions have access to our superior products. We maintain strong relationships with distributors,

SUSTAINABILITY REPORT



providing them with training on product handling and delivery. Additionally, we have appointed extension officers to engage with farmers and expand our reach beyond the existing dealer network.

Customer Satisfaction and Responsibility

We are committed to fulfilling our product responsibility by ensuring high-quality standards and providing accurate information through our packaging. We value our customers and treat them with respect and care. Strict protocols are followed in packaging and distribution to ensure

consistent quality. We actively seek customer feedback to continuously improve our products and services, promptly addressing any complaints through a formal mechanism.

Community Engagement and Environmental Responsibility

We deeply value our connection with local communities and engage in impactful Corporate Social Responsibility (CSR) projects. Despite the challenges posed by the pandemic and economic crisis, we have conducted training programmes and demonstrations for farmers, focusing on organic fertiliser usage

and modern farming techniques. Our concern for the environment is reflected in our efforts to reduce our environmental footprint, including monitoring water and energy consumption and investing in renewable energy through rooftop solar initiatives. We are proud to develop green products using local knowledge and will continue investing in initiatives that provide sustainable solutions to mitigate the impact of climate change.

A Sustainable Future

AgStar PLC is dedicated to creating value for all our stakeholders. By providing end-to-end solutions for agricultural needs and promoting sustainable practices, we are leading the market in partnering with farmers and benefiting the industry and communities. We aim to reduce our environmental impact, increase productivity, and become a significant player in the hybrid seed sector. Our pioneering efforts in organic fertilisers and crop care products contribute to minimising the negative impact on the environment. We remain steadfast in our commitment to sustainability and strive to contribute to a sustainable future for agriculture in Sri Lanka.



CORPORATE GOVERNANCE

General Governance Policy

AgStar PLC ("AgStar") has continued its commitment to maintain high standards of corporate governance in order to ensure the integrity, accountability and transparency of all transactions as well as to ensure equal importance to business performance in order to ensure value creation.

It is the firm belief of the Board of Directors that an effective self-regulatory framework is vital to pursue stakeholder confidence in the context of increasing trends in deregulation and lack of regulations in certain areas.

The concept of corporate governance covers the entire accountability framework of an organisation. It encompasses aspects of both

corporate and business governance and is based on the premise that a good governance policy alone cannot make an organisation successful. It is only by having in place good corporate governance practices, which are strategically linked to performance management that an organisation is able to focus on the key drivers of the business. This concept emphasises the dual role of the Board of Directors in ensuring conformity to good governance and strategic management for value creation.

AgStar's Adoption of Corporate Governance

Being a listed company committed to maintaining ethics and professionalism in every sphere of activity, AgStar adheres to high standards of corporate governance.

It defines governance as the set of processes, customs, policies, laws and institutions affecting the way in which the corporation is directed, administered and controlled.

Key aspects of the corporate governance framework established by the Company are described below.

In keeping with its vision and mission and with the continued goodwill and confidence of customers very much in mind, the Company is careful not to undertake any business activity that might adversely affect the welfare of the community and the environment.

A detailed description of the status of compliance with Corporate Governance rules is given below;

Corporate Governance Principle	Principle No.	Level of Compliance
Directors		
The Board	A.1	The Board provides the leadership in realising business objectives, value creation and risk management while promoting a culture of transparency and integrity in carrying out the Company's business functions. Frequency of Board Meetings Four Board Meetings are scheduled to evaluate the performance and to discuss strategy and other matters of the company. Ad-hoc meetings are scheduled to deal with specific matters which require the attention of the Board in-between scheduled meetings. The table below depicts the attendance of Directors at the Board and Committee meetings held during the year;

Corporate Governance Principle	Principle No.	Level of Compliance				
		Name of Director	Board Meetings	Audit Committee Meetings	Remuneration Committee Meetings	Related Party Transactions Review Committee Meetings
		Mr. R. S. I. Gunawardhana (Appointed w.e.f.01.01.2023)	1/4			
		Mrs. S. Kotakadeniya	4/4			
		Mr. A. P. Weerasekera	4/4			
		Mr. D. S. K. Amarasekera	1/4	0/2	N/a	
		Mr. R. K. A. Ranaweera	4/4	5/5	1/1	4/4
		Dr. (Mrs.) A.D.N. de Zoysa	4/4	5/5		4/4
		Ms. S. Wickramasinghe	4/4	5/5	1/1	4/4
		Mr. W. K. D. T. Abeyrathne	2/4			1/2
		Mr. E. A. D. N. J. Perera	4/4			
		Ms. T. A. P. Weerasinghe	4/4	2/2		
		Mr. P. Weerasingha	4/4			
		Mr. M. S. Gunawardana	1/4			
		The Responsibilities of the Board The Board is ultimately accountable for ensuring that, as a collective body, it has the appropriate skills, knowledge and experience to perform its role effectively. The Board is responsible for the following :- • formulation, implementation and monitoring of strategy • effective systems to secure integrity of information, internal controls and risk management • compliance with laws, regulations and ethical standards • ensuring all stakeholder interests are considered in corporate decisions The Board has delegated several functions to Board Committees, while retaining final decision rights pertaining to matters under the purview of the Committees. The composition and the functions of these sub-committees are discussed in detail under the relevant sections of this Report.				
		Obtaining Independent Professional advice In discharging their duties, the Directors are permitted to seek independent professional advice from external parties when necessary at the expense of the Company.				
Company Secretary The Directors have access to the advice and services of the Company Secretary. The Company Secretary advises on the need to comply with board procedures, relevant statutory obligations and other applicable rules and regulations.						

Corporate Governance Principle	Principle No.	Level of Compliance
The Board (Continued)	A.1 (Continued)	Independent Judgment All Directors employ independent judgment in all decisions pertaining to strategy, performance, resource allocation and standards of business conduct and acts free from any undue influence and bias from other parties. Dedication of adequate time and effort to matters of the Board and the Company The Board members dedicate adequate time and effort to fulfil their duties as Directors of the Company and ensure that they are satisfactorily discharged. Newly appointed Directors who do not have previous public company experience at Board level are provided with appropriate training on their role and responsibilities. New Directors participate in a comprehensive and tailored induction programme including meetings with members of the senior management. The induction programme includes a full review of corporate responsibility. Subsequent training is available on an ongoing basis to meet any particular needs.
Chairman & Managing Director	A.2	A clear division of responsibility is maintained between the Chairman and the Managing Director ensuring that the balance of power and authority is preserved.
Chairman's role	A.3	Mrs. S S Kotakadeniya, Non-Executive Director stepped down from the Chairmanship, upon the appointment of Mr. R. S. I Gunawardena as the Executive Chairman, w.e.f. 01st January 2023 . The Chairman being responsible for the running of the Board facilitates the effective discharge of Board proceedings and ensures that: • Effective participation of both Executive and Non-Executive Directors is secured • All Directors are encouraged to make effective contributions to proceedings • The views of Directors on issues under consideration are ascertained, and • The Board is in control of the affairs of the Company and alert to its obligations to all stakeholders
Financial acumen	A.4	The members of the Board possess the necessary knowledge and competence to offer guidance on matters of finance.

CORPORATE GOVERNANCE

Corporate Governance Principle	Principle No.	Level of Compliance
Board balance	A.5	Composition The Board currently comprises of twelve Directors which include eight Non-Executive Directors and four Executive Directors. Three out of eight Non-Executive Directors are Independent. The Board has an appropriate balance of skills, experience, independence and knowledge to enable it to discharge its duties and responsibilities effectively. The Board considers the Independent Directors as free of any business relationship or other circumstance and independent of management that could materially interfere with or could be reasonably perceived to materially interfere with the exercise of their unfettered or independent judgment. To determine their independence, the Board reviews all Directors' interests that may give rise to a potential or perceived conflict, and any circumstances relevant to their current or ongoing independence as set out in the Rules and Regulations of the Colombo Stock Exchange. Dr. (Mrs.) A.D.N. de Zoysa and Mr. R.K. Athula Ranaweera meet the criteria for independence specified by Rule 7.10.4 of the Listing Rules of the Colombo Stock Exchange. These Directors have submitted written declarations of their independence as required by section 7.10.2 (b) of the Listing Rules. Mrs. S. Wickramasinghe has completed nine years of service as a Director on 03rd June 2022. The Board is of the opinion that the aforesaid Director is nevertheless independent by taking into account all the circumstances and is satisfied that she is free of material business or other relationship that could interfere with or could reasonably be perceived to interfere with the exercise of her unfettered and independent judgements.
Supply of Information	A.6	The Board is provided with timely information in an appropriate manner enabling it to discharge its duties effectively. In the event the information volunteered by management is not adequate, the Directors make further inquiries. The Chairman ensures all Directors are appropriately briefed on issues arising at Board meetings. The minutes, agenda and connected papers required for a Board Meeting are dispatched to the Directors in advance enabling them with sufficient time to review the papers and request for any additional information or clarifications on matters when necessary.

Corporate Governance Principle	Principle No.	Level of Compliance
Appointments to the Board	A.7	The Board has not established a Nominations Committee for making recommendations on Board appointments. Hence appointments to the Board are made collectively and with the consent of all the Directors. Upon the appointment of a new Director to the Board, the Company informs the Colombo Stock Exchange together with a brief resume of the Director which includes; • The nature of his/her expertise in relevant functional area, • Other Directorships or memberships in Board sub committees, • Whether the Director is considered an Independent Director. During the year, Mr. R. S. I. Gunawardhana was appointed as the Executive Chairman of the Company w.e.f.01.01.2023 and the aforesaid procedure was followed by the Company.
Re-election	A.8	In compliance with the Articles of Association of the Company, one third of the Directors retire by rotation at every Annual General Meeting. A Director appointed during the year retires at the next Annual General Meeting of the Company and seeks re-appointment in terms of the Articles of Association of the Company. The following re-election/election of Directors will be recommended by the Board of Directors for shareholders' approval at the forthcoming AGM; 1. Mr D S K Amarasekera under Article 23(6) of the Articles of Association 2. Mr. M. S. Gunawardana under Article 23(6) of the Articles of Association 3. Mr. W K D T Abeyrathne under Article 23(6) of the Articles of Association 4. Mr. R. S. I. Gunawardana under Article 23(2) of the Articles of Association Furthermore, In accordance with Section 210 of the Companies Act No. 07 of 2007, Mrs. S N Wickramasinghe will retire and be eligible to be re-elected as a Director at the forthcoming Annual General Meeting of the Company. The shareholder's approval shall be sought by way of an ordinary resolution at the forthcoming Annual General Meeting of the Company, resolving that Section 210 of Companies Act No.07 of 2007, shall not apply to the said Director.
Appraisal of the Managing Director	A.9	The Annual appraisal of the Managing Director is carried out by the Board against pre-agreed performance targets.
Disclosure of Information in respect of Directors	A.10	Current Directors' biographical details such as name, qualifications and brief profile are set out on pages 13 to 18 of this Annual Report. These include their main external commitments.

CORPORATE GOVERNANCE

Corporate Governance Principle	Principle No.	Level of Compliance
Level and makeup of remuneration	B.2	The level of remuneration for both Executive and Non-Executive Directors is sufficient to attract and retain the Directors to run the Company successfully. The Remuneration Committee compares the levels of remuneration of the Company in relation to other companies in the industry. The Remuneration Committee report appears on page 39 of this Report.
Disclosure of remuneration	B.3	The total remuneration of the Directors' is disclosed in Note 10 to the Financial Statements.
Constructive use of the Annual General Meeting	C.1	The Shareholders of the Company have the opportunity to meet and question the Board at the Annual General Meeting. Each item of business to be considered at the Annual General Meeting is included with the Notice of Meeting which is sent to shareholders at least 15 working days prior to the meeting. The Chairpersons of the Audit, RPTR and Remuneration Committees are present at the Annual General Meeting to answer any questions raised by the shareholders.
Major transactions	C.3	There were no major transactions during the year as defined by Section 185 of the Companies Act No. 01 of 2007 which materially affect the net asset base of AgStar PLC or Consolidated Group net asset base.
Financial and business reporting	D.1	The Board ensures that the quarterly and annual Financial Statements of the Company are prepared and published in compliance with the requirements of the Companies Act No 07 of 2007, Sri Lanka Accounting Standards and the Colombo Stock Exchange. The Statement of Directors' Responsibility in preparation of the Financial Statements is given on page 38 of this Report. The declaration by the Board that the Company is a going concern is given in the Directors' Report on the state of affairs of the Company.
Risk management process	D.2	The report on Risk management given on pages 36 to 37 of this report discusses about the risk management process of the Company.
Audit Committee	D.3	The Audit Committee consists of five Non-Executive Directors out of which three Non-Executive Directors are independent. The members of the Committee are indicated in the Directors' Report on the state of affairs of the Company. The Committee is empowered to examine and report on the following :- • Review the financial reporting system • Review internal control framework and identify business risks • Review the quality of external and internal audit performance • Review compliance with laws, regulations and professional standards • Recommend the appointment and fees of external auditors The Committee met five times during the year. The Chairman and the Managing Director of the Company attended all meeting by invitation. Refer the Audit Committee report given on page 53 of this Report for further details.

Corporate Governance Principle	Principle No.	Level of Compliance
Related Party Transactions Review Committee (RPTR)	D.4	The Definition of a Related Party and Related Party Transactions is given in the Notes to the Financial Statements. The composition of the Committee, their responsibilities and other information are given on page 40 of this Report for further details.
Code of Business Conduct and Ethics	D.5	The Directors have adopted and adhered to the Code of Business Conduct and Ethics for Directors. A set of Guidelines for ethical behaviour has also been compiled to help employees to act with responsibility and to, make the right decisions in their daily work. This Code of Conduct explains the principles for dealings with business associates, general partners, colleagues and in the community in which we operate. Thus, it supports all employees in acting ethically not only in their dealings with one another but also outside the company.
Shareholder voting	E.1	The company is committed to maintaining good communications with investors. The Chairman conducts a structured dialogue with the shareholders based on the mutual understanding of objectives and ensures that the views of the shareholders are communicated to the Board as a whole. All shareholders are encouraged to participate at meetings of the Company, and a form of proxy accompanies each notice providing shareholders who are unable to attend such meeting the opportunity to cast their vote.

Disclosures Pertaining to Corporate Governance Practices

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
7.10.1 (a)	Non-Executive Directors (NEDs)	Two or at least one third of the total number of Directors should be NEDs	☑	Corporate Governance Report
7.10.2 (a)	Independent Directors	Two or one third of NEDs (whichever is higher) should be independent	☑	Corporate Governance Report
7.10.2 (b)	Independent Directors	Each Non-Executive Director should submit a declaration of independence/non-independence in the prescribed format	☑	Corporate Governance Report
7.10.3 (a)	Disclosure relating to Directors	Names of Independent Directors should be disclosed in the Annual Report	☑	Corporate Governance Report
7.10.3 (b)	Disclosure relating to Directors	The basis for determination of independence of NEDs, if criteria for independence is not met.	☑	Corporate Governance Report
7.10.3 (c)	Brief Resume of each Director in the Annual Report	A brief resume of each Director should be included in the Annual Report, including his/ her area of expertise	☑	Profiles of the Board of Directors
7.10.4 (a- h)	Criteria for defining "independence"	Requirements for fulfilling criteria of "Independence"	☑	Corporate Governance Report

CORPORATE GOVERNANCE

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
Rules relating to Remuneration Committee				
7.10.5 (a)	Composition of Remuneration Committee	The Committee shall comprise of Non-Executive Directors, majority of whom shall be independent The Chairman of the Committee shall be a Non- Executive Director	☑	The Directors' Report on the state of affairs of the company and the Remuneration Committee Report
7.10.5 (b)	Disclosure of the functions of the Remuneration Committee	The Committee shall recommend the remuneration payable to the Executive Directors and Chief Executive Officer	☑	
7.10.5 (c)	Disclosure in the Annual Report	The Report should include the names of the Remuneration Committee members, a statement of Remuneration Policy and the aggregate remuneration paid to Executive and Non-Executive Directors	☑	
Rules relating to Audit Committee				
7.10.6(a)	Composition of Audit Committee	The Committee shall comprise of NEDs, a majority of who shall be Independent. The Chairman of the Committee shall be a Non-Executive Director. The Chairman or a member should be a member of a recognised professional accounting body	☑	The Directors' Report on the state of affairs of the Company and the Audit Committee Report
7.10.6(b)	Functions of the Audit Committee	Overseeing the preparation, presentation and adequacy of the disclosures in the Financial Statements in accordance with the Sri Lanka Accounting Standards Overseeing compliance with financial reporting related regulations and requirements Overseeing the processes to ensure that internal controls and risk management are adequate Assessing the independence and performance of the external auditors Recommending to the Board the appointment, re- appointment or removal of the external auditors and approving their remuneration and terms of engagement	☑	Audit Committee Report
7.10.6(c)	Disclosure in the Annual Report	The names of the members of the Audit Committee The basis of determination of their independence A report of the Audit Committee as setting out the manner of compliance with their functions	☑	Directors' Report on the state of affairs of the Company, Audit Committee Report

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
Rules relating to Related Party Transaction Review Committee				
9.2.1	Related Party Transactions Review Committee (RPTRC)	Reviewing of Related Party Transactions except transactions mentioned under rule 9.5 should be carried out by the committee prior to entering into completion of the transaction	✓	The Directors' Report on the state of affairs of the Company and the Related Party Transactions Review Committee Report
9.2.2	Composition of Related Party Transactions Review Committee	The Committee should comprise a combination of non- executive directors and independent non-executive directors. The composition of the Committee may also include executive directors, at the option of the Listed Entity. One independent non-executive director shall be appointed as the Chairman of the Committee.	✓	
9.2.4	Frequency of Meeting	The Committee shall meet at least once a calendar quarter. The Committee shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors	✓	
9.2.5	RPTRC access to knowledge, expertise or professional advice	Committee should have access to knowledge or expertise to assess all aspects of proposed related party transactions or obtained appropriate professional and experts' advice.	✓	

REPORT ON RISK MANAGEMENT

Risk is an inherent part of the business and Agstar PLC and its group companies operating in the agricultural and related products sector are no exception. Irrespective of the nature and the size of the business, risk is inevitable in doing business. In broad, such risk factors can be two fold, systematic risk and unsystematic risk. Systematic risk is the risk which cannot be diversified or avoided. On the other hand the

unsystematic risk represents the risk unique to the respective business operation which in turn could be mitigated or avoided with risk management activities.

AgStar PLC and its group companies being an entity that closely engages in the agricultural and related products are always open for systematic risks such as adverse weather conditions, impediment

Government rules and regulations in relation to the agro industry. However, the risk management activities of the company which are an intrinsic part of the business processes from the beginning to the end are expected to mitigate the risk of the group. This report highlights the key risks faced by the AgStar Group and outlines the associated risk mitigation activities.

Description of Risk	Risk Mitigation
Business/ Investment Risks Risk of losses and uncertainties attached to new business investments as the Group continuously looks to diversifying its existing business portfolio.	Conduct stringent evaluations of risks associated with new business investments, utilising in-house expertise and external resources as needed. Form strategic alliances with reputed partners to diversify the existing business portfolio, create synergies, and share investment risks. Prioritise addressing potential adverse ethical, social, and environmental factors before venturing into new projects.
Default Risk Default of subsidy component settlements by the Government of Sri Lanka (GoSL).	Currently the likelihood of the default risk is low. However, continuous representative efforts are being carried out in this regard. Engage in constant follow-up with government authorities to ensure timely recovery of subsidy components.
Economic Risk Risk of an economic downturn negatively impacting the Group's investment and business operations.	Monitor domestic and global economic activities closely to identify potential downturns that could negatively impact the Group's investments and operations. Foster and maintain sound relationships with relevant stakeholders to navigate economic challenges effectively.
Interest Rate Risk Adverse impacts on profitability owing to changes in market interest rates as the Group borrowing are mostly at floating interest rates.	Maximise returns on financial investments and minimise borrowing costs Utilise appropriate financial and hedging strategies to mitigate the risk of adverse impacts on profitability due to changes in market interest rates. Leverage AgStar's strength as a listed company to negotiate for concessionary interest rates when seeking funding
Regulatory and Complaints Risk Introduction of new regulation affecting the business adversely and complexity in complying with regulatory requirements	Monitors complaints with regulatory requirements. Actively participate in representative efforts against regulations that could adversely affect the business or industry.

Description of Risk	Risk Mitigation
Credit Risk The probability of the loss of income owing to default by the company's debtors	Conduct in-depth analysis of debtor performance to identify and assess potential risks. Implement robust follow-up procedures for overdue debtors to minimise potential income losses. Maintain proactive communication and strong relationships with debtors to mitigate credit risks.
Employee Risk Risk arising from the inability to attract, motivate and retain skilled and experienced staff, thus impacting the business competitiveness.	Build a strong employer brand to attract and retain skilled and experienced staff, ensuring business competitiveness Implement effective human resource policies and plans reviewed by the remuneration committee Foster an open-door policy that encourages employees to voice their concerns to senior management, promoting a supportive work environment
Operational Risk Losses resulting from fraud, human errors, inefficient processes, natural perils and loss of sensitive information.	Conduct periodic internal audit reviews to ensure the effectiveness of internal control systems and address potential operational weaknesses Develop and maintain a comprehensive business continuity plan to ensure disaster preparedness and minimise operational disruptions Safeguard sensitive information and establish protocols to mitigate the risk of fraud and human errors
Funding / Liquidity Risk Difficulty in obtaining required funding for projects.	Maintain a robust business continuity plan to ensure preparedness for potential funding and liquidity challenges. Leverage AgStar's status as a listed company to raise economical funding when required Proactively explore funding options and maintain strong relationships with financial institutions
Lack of Government support Lack of Government support to promote and encourage the private participation in the industry	Maintain constant communication with authorities to stay informed about policy changes and initiatives Advocate for favourable government support and policies that benefit the business and the industry as a whole
Competition Risk Risk of losses from a decline in company's competitiveness.	Regularly analyse competitor activities and performance to identify potential threats and opportunities. Develop and implement strategies to enhance AgStar's market share and competitiveness. Continuously monitor market trends and adapt business strategies accordingly.

STATEMENT OF DIRECTORS' RESPONSIBILITY

The Statement sets out the responsibility of the Directors, in relation to the Financial Statements of the AgStar PLC (the Company). The responsibilities of the External Auditors in relation to the Financial Statements are set out in the 'Auditors' Report given on pages 54 to 57.

In terms of Sections 150 (1) and 151 of the Companies Act No. 07 of 2007, the Board of Directors of the Company are responsible for ensuring that the Company keep proper books of account of all the transactions and prepare Financial Statements that give a true and fair view of the financial position the Company as at end of each financial year and of the financial performance of the Company for each financial year and place them before a general meeting.

The Financial Statements comprise of the Statement of Financial Position as at 31st March 2023, the Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cashflows for the year then ended and Notes thereto.

Accordingly, the Directors confirm that the Financial Statements of the Company give a true and fair view of the:

- Appropriate Accounting policies have been selected and applied consistently;
- Financial Statements have been prepared and presented in accordance with Sri Lanka Financial Reporting Standards (SLFRS) and Sri Lanka Accounting Standards (LKAS);

- The Financial Statements provide the information required by the Companies Act and Listing Rules of the Colombo Stock Exchange; and
- Reasonable and prudent judgements and estimates have been made.

The Directors have taken reasonable measures to safeguard the assets of the Company and of the Group and in this regard to give proper consideration to the establishment of appropriate internal control systems with a view of preventing and detecting fraud and other irregularities.

The Directors have a reasonable expectation, that the Company and the Group have adequate resources to continue in operational existence for the foreseeable future and therefore have continued to adopt the going concern basis in preparing the Financial Statements.

Messrs. KPMG, Chartered Accountants, the Auditors of the Company, have examined the Financial Statements made available by the Board of Directors together with all relevant financial records, related data, and minutes of Shareholders' and Directors' meetings and expressed their opinion in their Report on page 54 of the Annual Report.

The Directors confirm that to the best of their knowledge, all statutory payments relating to employees and the government that were due on behalf of the Company and the Group as at the date of the Statement of Financial Position have been paid, or

where relevant provided for, except as disclosed in Note 35 to the Financial Statements covering contingent liabilities.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

By Order of the Board,
Agstar PLC



Mr. R S I Gunawardhana
Executive Chairman
Colombo

09 August 2023

REMUNERATION COMMITTEE REPORT

COMPOSITION OF THE COMMITTEE

During the year under review, the composition of the remuneration committee appointed by the Board of Directors was as follows,

Mr. D S K Amarasekera

Chairman/ Non-executive Director
(Appointed w.e.f.15.08.2022)

Mr. R K Athula Ranaweera

Member/ Independent Non-executive Director

Ms. S Wickramasinghe

Member/ Independent Non-executive Director

COMMITTEE MEETINGS

The committee met Once during the year under review as per the Meeting attendance table on page 28 of this report and the minutes of the meeting were presented to the Board.

ATTENDANCE

The Chairman of the Board and the Managing Director attended the meeting of the Remuneration Committee by invitation as the Senior Executives, to discuss the management performance and to make proposals as deemed necessary except where their own remunerations were discussed.

ROLE OF THE COMMITTEE

The role of the Remuneration Committee is to;

- make recommendations to the Board on the Company's framework of executive remuneration and its costs, and to determine on behalf of the Board specific remuneration packages and conditions of employment (including compensation entitlement) for Executive Directors;
- make recommendations to the Board regarding the content of the Board's Annual Report to the shareholders on Directors' remuneration (including the Company's policy and Executive Director's remuneration, details of individual remuneration and other terms and conditions).

REMUNERATION TO DIRECTORS

The remuneration paid to Directors during the year under review is indicated in note 10 to the financial statements.



Mr. D S K Amarasekera

Chairman- Remuneration Committee
Colombo

09 August 2023

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

ADOPTION OF THE CODE OF BEST PRACTICES ON RELATED PARTY TRANSACTIONS

The Committee functions on behalf of the Board in complying with the Listing Rules of the Colombo Stock Exchange and with the Code of Best Practices on Related Party Transactions ("the Code") issued by the Securities and Exchange Commission of Sri Lanka.

PURPOSE OF THE COMMITTEE

The purpose of the Related Party Transactions Review Committee ("the Committee") of AgStar PLC ("Company") is to conduct an appropriate review of all Company's related party transactions and to ensure that the Company complies with the rules set out in the Code.

The primary objectives of the said rules are to ensure that the interests of the shareholders as a whole are taken into account when entering into related party transactions and to prevent directors, key management personnel or substantial shareholders taking advantage of their positions.

COMPOSITION OF THE COMMITTEE

The Committee consists of four (4) members, with a majority of Independent Non-Executive Directors. The members of the Committee are:

Ms. S Wickramasinghe

Chairperson/ Independent Non-Executive Director

Dr. A.D.N.de Zoysa

Member/ Independent Non-Executive Director

Mr. R.K. Athula Ranaweera

Member/ Independent Non-Executive Director

Mr. W. K. D. T. Abeyrathne

Member/ Executive Director
(Appointed w.e.f. 16.09.2022)

CHARTER OF THE COMMITTEE

The Charter of the Related Party Transactions Review Committee clearly sets out the purpose, membership, authority and the duties and responsibilities of the Committee. In order to discharge the duties and responsibilities effectively and efficiently, the Committee has been authorised to:

- Receive regular reports from the Management, and be provided with any information it requests relating to its responsibilities;
- Establish policies and procedures that provide general pre-approvals to certain classes or types of related party transactions;
- Review and evaluates the terms and conditions, and to determine the advisability of any related party transaction;
- Determine whether the relevant Related Party Transaction is fair, and in the best interests of the Company and its shareholders as a whole;
- Recommend to the Board what action, if any, should be taken by the Board with respect to any Related Party Transaction;
- Obtain the advice and assistance from legal, technical, financial and other advisors from internal or external to the Company as deemed necessary by the Committee in order to carry out its duties; and

- Form and delegate authority to sub-committees consisting of one or more members where appropriate, provided that the decision of such sub-committees shall be presented to the full Committee at its next meeting.

RESPONSIBILITIES

The following key responsibilities have been set out in the Charter;

- Ensure that the company complies with the rules set out in the Code, subject to the exceptions given under Section 9 of the Code, the Committee shall review in advance all proposed related party transactions.
- Regularly report to the Board on the Committee's activities.

The committee will share information with the Audit Committee as necessary and appropriate to permit the Audit Committee to carry out its statutory, regulatory and other responsibilities with regard to related party transactions.

MEETINGS

The Committee shall meet on quarterly basis and the attendance at meetings is given on page 28 of this Annual Report.

The Committee met four times during the year to review proposed related party transactions.

REVIEW OF RELATED PARTY TRANSACTIONS

The Committee reviewed all related party transactions of the Company for the financial year 2022/23 and the major observations were reported to the Board. All related party transactions entered during the year

were of a recurrent, trading nature and which is necessary for day-to-day operations of the Company.

In the opinion of the Committee, terms of these transactions were not more favourable to the related parties than to those generally available to the public. The details of related party transactions entered during the year are given in Note 33 to the financial statements on pages 112 to 114 of this Annual Report.

POLICIES AND PROCEDURES

In order to enhance transparency and good governance, the members of the Board of Directors of the Company have been identified as Key Management Personnel (KMP). In accordance with the Related Party Transactions Policy, declarations were obtained from each KMP for the purpose of identifying any RPTs that were carried out by the Company and to comply with the disclosure requirements, if any.

The Committee's key focus is to review all proposed Related Party Transactions (RPT) prior to entering into or completion of the transaction according to the procedures laid down by Section 9 of the Listing rules of the Colombo Stock Exchange. In addition, the Manager- Finance through the Group CFO is required to report to the Committee the previous quarter's actual related party transactions on a quarterly basis.

DECLARATION

The committee confirms that the company has complied with the Rules pertaining to Related Party Transactions as stipulated by the Colombo Stock Exchange.



Ms. S Wickramasinghe

Chairperson
Related Party Transactions Review
Committee

09 August 2023

FINANCIAL CALENDAR

Year ended 31 March 2023

Financial Year end	31st March 2023
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Announcement of Results

1st quarter ended 30th June 2022	15 August 2022
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2nd quarter ended 30th September 2022	09 November 2022
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3rd quarter ended 31st December 2022	08 February 2023
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4th quarter ended 31st March 2023	26 May 2023
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FINANCIAL INFORMATION

ENHANCING AGRICULTURAL VALUE

We continuously leverage our technological capabilities in line with our commitment to nourish our nation.



DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

The Directors of AgStar PLC have pleasure in presenting to members their Report and the Audited Consolidated Financial Statements for the year ended 31st March 2023.

The Financial Statements and the disclosures made herein conform to the requirements of the Companies Act No. 7 of 2007. The Report also includes relevant disclosures required to be made under the Listing Rules of the Colombo Stock Exchange and is guided by the recommended best practices on accounting and corporate governance.

REVIEW OF PERFORMANCE FOR THE YEAR ENDED 31ST MARCH, 2023

The operations of the Company and its subsidiaries for the year ended 31st March 2023 are reviewed in the Chairman's Report and the Managing Director's review.

AgStar PLC is a Public Limited Liability Company incorporated in Sri Lanka on 25th June 2002 under the Companies Act No. 17 of 1982 and re-registered as required under the provisions of the Companies Act No. 07 of 2007 on 26th December 2007. The Company was listed on the Diri Savi Board with effect from 16th February 2012. The Registered Office of the Company is No. 93, Minuwangoda, Road, Ekala, Ja-Ela.

PRINCIPAL ACTIVITIES AND GROUP REVIEW

During the year the principal activity of the Company was to carry out the business of importing, blending and marketing of fertiliser products and agriculture machineries.

The Company has eight subsidiaries and their activities are given on page 63 of this Annual Report.

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The Directors are responsible for the preparation and presentation of the Financial Statements of the Company and the subsidiaries as to the true and fair view of the state of affairs of the Company and its subsidiaries.

The Statement of Directors Responsibility for Financial Reporting is given on Page No. 38.

The financial statements of the Company and the Group are given on pages 58 to 124.

AUDITORS

The Financial Statements for the year ended 31st March, 2023 have been audited by Messrs. KPMG, Chartered Accountants.

A resolution for the re-appointment of Messrs. KPMG, Chartered Accountants and authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The fees paid to the Auditors are disclosed in Note No. 10 on Page 80 to the Financial Statements.

The Auditors of the Company, Messrs. KPMG, Chartered Accountants do not have any relationship with the Company other than that of Auditors.

ACCOUNTING POLICIES

The accounting policies adopted in preparation of financial statements are given on pages 63 to 77.

There were no any other material changes in the accounting policies of the Group during the year under review.

INDEPENDENT AUDITORS' REPORT

The Auditors' Report on the financial statements for the year ended 31st March 2023 is given on pages 54 to 57 of this Report.

RESULTS AND APPROPRIATIONS

The profit after tax of the Parent Company, AgStar PLC was Rs. 1,185.6 Mn (2022 - Rs. 321.6Mn), whilst the Group profit attributable to the equity holders of the parent for the year was Rs. 1,668.9 Mn (2022 - Rs. 618.9Mn). Results of the Company and of the Group are given in the Income Statement.

Detailed description of the Group results and appropriation is given below;

Financial Results	31st March 2023	31st March 2022
Operating Profit	2,967,791,185	1,628,117,435
Finance Cost	(775,508,582)	(843,990,381)
Finance Income	155,412,392	13,273,626
Profit before Tax	2,347,694,725	797,400,680
Tax Expense	(688,523,910)	(190,673,806)
Profit from continuing operations	1,659,170,815	606,726,874
Gain /(loss) from discontinued operations (net of tax)	(295,458)	136,103
Profit for the Year	1,658,875,357	606,862,977
Other comprehensive income (net of tax)	(1,148,052)	(3,660,863)
Loss available to non-controlling interest	(10,011,041)	(12,052,893)
Profit available to Group's Shareholders	1,667,738,346	615,255,007
Balance brought forward from previous year	2,173,105,627	1,622,850,620
Amount available for appropriation	3,840,843,973	2,238,105,627
Final dividend	-	(65,000,000)
Balance to be carried forward next year	3,840,843,973	2,173,105,627

PROPERTY, PLANT AND EQUIPMENT

An analysis of the Property, Plant and Equipment of the Company and the Group is disclosed in Note 15 to the Financial Statements on pages 86 to 93. The book value of property, plant and equipment as at the reporting date amounted to Rs. 3,285.9 Mn (2022 - Rs. 3,299.4 Mn) and Rs. 2,963.1 Mn (2022 -Rs. 2,949.1 Mn) for the Group and Company respectively.

STATED CAPITAL

The Stated Capital of the Company as at 31st March 2023 was Rs.2,007,856,833/- comprising 461,289,465 ordinary voting shares and 26,210,535 non-voting shares (2022 - Rs.2,007,856,833/- comprising 461,289,465 ordinary voting shares and 26,210,535 non-voting shares).

DONATIONS

The Company has made Rs. 289,675/- as donations during the year (2022- Rs.60,000/-).

CAPITAL COMMITMENTS

The Capital Expenditure Commitments as at 31st March 2023 is given on page 115.

REVENUE RESERVES

The revenue reserves as at 31st March 2023 for the Group and Company amounted to Rs. 3,840 Mn (2022-Rs. 2,173 Mn) and Rs. 3,527 Mn (2022- Rs. 2,343 Mn).

PROVISION FOR TAXATION

The provision for taxation is computed at the rates as disclosed in Note 11 on pages 80 to 82 of the Financial Statements.

STATUTORY PAYMENTS

The Directors confirm that to the best of their knowledge and belief, all statutory payments in relation to all relevant regulatory and statutory authorities have been paid or adequately provided for in the Financial Statements. A statement of compliance by the Board of Directors in relation to statutory payments is included in the Statement of Directors Responsibilities on page 38 of this Report.

CONTINGENT LIABILITIES

Contingent Liabilities outstanding as at 31st March 2023 are given in Note 35 on page 115 to the Financial Statements.

EVENTS AFTER THE REPORTING PERIOD

The events occurring after the reporting dates are given in Note 36 on page No 116 of the report.

CORPORATE GOVERNANCE AND INTERNAL CONTROLS

The Board of Directors has acknowledged the responsibility to ensure good governance in conducting the Business activities of the Company and confirms that the Company is compliant with section 7.10 of the Listing Rules of the Colombo Stock Exchange and has also adopted the relevant Corporate Governance practices recommended by the Institute of Chartered Accountants of Sri Lanka.

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

An Audit Committee, a Remuneration Committee and the Related Party Transactions Review Committee function as Board sub committees with Directors who possess the requisite qualifications and experience.

The composition of the said committees is as follows;

AUDIT COMMITTEE

Mr. R. K. Athula Ranaweera

(Independent Non-Executive Director)
- Chairman

Dr. (Mrs.) A. D. N. de Zoysa

(Independent Non – Executive Director)

Mrs. S. Wickramasinghe

(Independent Non – Executive Director)

Mr. D. S. K. Amarasekera

(Non-Executive Director)
(Appointed w.e.f.16.09.2022)

Mrs. T. A. P. Weerasinghe

(Non-Executive Director)
(Appointed w.e.f.16.09.2022)

REMUNERATION COMMITTEE

Mr. D. S. K. Amarasekera

(Non-Executive Director) – Chairman
(Appointed w.e.f.15.08.2022)

Mr. R. K. Athula Ranaweera

(Independent Non – Executive Director)

Mrs. S. Wickramasinghe

(Independent Non – Executive Director)

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Mrs. S. Wickramasinghe

(Independent Non – Executive Director) – Chairperson

Mr. R. K. Athula Ranaweera

(Independent Non-Executive Director)

Dr. (Mrs.) A. D. N. de Zoysa

(Independent Non – Executive Director)

Mr. W. K. D. T. Abeyrathne

(Executive Director)
(Appointed w.e.f.16.09.2022)

Company's compliance with rules on corporate governance are given in corporate governance report on pages 27 to 35. The Board subcommittee reports are disclosed in the following manner;

1. Audit Committee report on page 53.
2. RPTR Committee report on pages 40-41
3. Risk Committee report on pages 36-37
4. Remuneration Committee report on page 39

The Board of Directors is satisfied with the effectiveness of the systems of internal controls for the year under review and up to the date of the Annual Report.

COMPLIANCE WITH RULES & REGULATIONS

The Company has complied with Tax and other regulations applicable to the Company and has submitted all the returns and the details to the relevant parties by the due dates.

GOING CONCERN

After considering the financial position as at 31st March 2023 and considering the future prospects of the Company and its subsidiaries, the Directors have a reasonable expectation that the Group has adequate resources to continue in operations in foreseeable future. Therefore, the Directors have adopted the assumption of going concern in preparing these Financial Statements.

EMPLOYMENT POLICY

The Group policy is to respect the merits of the individuals and provide career opportunities, irrespective of sex, race or religion. The Group's strength of manpower as at 31st March 2023 was 152 (2022 – 160).

There have been no material issues pertaining to employees and industrial relations of the Company and its subsidiaries reported during the year under review.

EQUITABLE TREATMENT TO STAKEHOLDERS AND THEIR INTERESTS

The Group has taken all steps to ensure equitable treatment is given to all stakeholders. The Directors assure that the Group has taken necessary precautions to safeguard the interests of its stakeholders.

ENVIRONMENTAL PROTECTION

The Directors have ensured that every possible step has been taken to comply with the relevant environmental laws and regulations in the country. The Group has not engaged in any activity that is harmful or hazardous to the environment.

DIRECTORATE

The Directors of the Company during the financial year are as follows:

Mr. R. S. I. Gunawardhana

(appointed as the Executive Chairman w.e.f 01st January 2023)

Mr. A. P. Weerasekera

(Managing Director)

Mr. W. K. D. T. Abeyrathne - Executive Director

Mr. P. Weerasingha - Executive Director

Mrs. V.G.S. S. Kotakadeniya - Non-Executive Director

Mr. D. S. K. Amarasekera - Non-Executive Director

Mr. E. A. D. N. J. Perera - Non-Executive Director

Mrs. T. A. P. Weerasinghe - Non-Executive Director

Mr. M. S. Gunawardana - Non-Executive Director

Mrs. S. Wickramasinghe - Independent Non-Executive Director

Mr. R. K. A. Ranaweera - Independent Non-Executive Director

Dr. (Mrs.) A. D. N. de Zoysa - Independent Non-Executive Director

The detailed profiles of the Board of Directors of the Company are given on pages 13 to 18 of this Report.

ROTATION/ RE-ELECTION OF DIRECTORS

1. Mr D S K Amarasekera retires by rotation in accordance with Article 23(6) of the Articles of Association of the Company and being eligible, offers himself for re-election.
2. Mr. M. S. Gunawardana retires by rotation in accordance with Article 23(6) of the Articles of Association of the Company and being eligible, offers himself for re-election.
3. Mr. W K D T Abeyrathne retires by rotation in accordance with Article 23(6) of the Articles of Association of

the Company and being eligible, offers himself for re-election.

4. Mr. R. S. I. Gunawardhana who was appointed to the Board on 01st January 2023 retires in accordance with Article 23(2) of the Articles of Association of the Company and being eligible, offers himself for re-election.
5. Mrs. S N Wickramasinghe who vacates office in terms of Section 210 of the Companies Act, be re-appointed as the Independent Non-Executive Director of the Company, in terms of Section 211 of the Companies Act No. 7 of 2007 for a period of one year or until the conclusion of the next Annual General Meeting whichever occurs first and it is hereby declared that the age limit of

70 years referred to in Section 210 of the Companies Act No. 7 of 2007 shall not apply to the said Director.

DIRECTORS INTEREST REGISTER

In terms of the Companies Act No 07 of 2007 an Interest Register was maintained by the Company during the financial year under review.

DIRECTORS' INTEREST IN CONTRACTS

The Directors in terms of Section 192 of the Companies Act No 07 of 2007, have declared their interests in contracts with the Company. The Directors did not have any material interest in any contract of significance in Group's business except those disclosed in Note 33 to the Financial Statements.

Directors' Interest In Shares

Name of The Director	As at 31st March 2023		As at 31st March 2022	
	Ordinary voting shares	Non-voting shares	Ordinary voting shares	Non-voting shares
Mr. R. S. I. Gunawardhana	Nil	Nil	Nil	Nil
Ms. V. G. S. S Kotakadeniya	Nil	Nil	Nil	Nil
Mr. A. P. Weerasekera	9,604,036	8,736,825	11,161,020	8,736,825
Mr. D. S. K. Amarasekara	Nil	Nil	Nil	Nil
Mrs. S.Wickramasinghe	Nil	Nil	Nil	Nil
Mr. R.K.A. Ranaweera	Nil	Nil	Nil	Nil
Dr. (Mrs) A.D.N. de Zoysa	Nil	Nil	Nil	Nil
Mr. W. K. D. T. Abeyrathne	Nil	Nil	Nil	Nil
Mr. E. A. D. N. J. Perera	Nil	Nil	Nil	Nil
Mrs. T. A. P. Weerasinghe	Nil	Nil	Nil	Nil
Mr. P. Weerasingha	Nil	Nil	Nil	Nil
Mr. M. S. Gunawardana	Nil	Nil	Nil	Nil

DIRECTORS FEES AND REMUNERATION

The amount of the Directors fees and Remuneration paid during the year is given in Note 10 to the Financial Statements on page 80.

RELATED PARTY TRANSACTIONS

The Directors have disclosed the transactions with Related Parties in terms of the Sri Lanka Accounting Standards which are set out in Note 33 to the Financial Statements.

The Related Party Transactions of the Company during the financial year have been reviewed by the Related Party Transactions Review Committee and are in compliance with Section 9 of the Listing Rules of the CSE.

In terms of Section 9 of the Listing Rules of the CSE, there were no any related party transactions that required shareholder approval or non-recurrent related party transactions that required

immediate market disclosures during the year under review except those which were duly disclosed by way of market announcements via CSE website.

The Directors declare that the Company has complied with Section 9 of the Listing Rules of the CSE.

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

SHAREHOLDERS

The market value of an ordinary voting and non-voting share of the Company as at 31st March 2023 was Rs. 11.20 (2022 - Rs. 6.60) and Rs. 5.00 (2022 - Rs. 5.00). The number of shareholders as at 31st March 2023 was voting – 3,462 (2022 – 2,608) and non-voting 20 (2022-23).

The distribution and analysis of shareholdings were as follows:

VOTING

Number of Shares	As at 31st March 2023			As at 31st March 2022		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
1-1000	1,707	474,517	0.11%	1,344	375,118	0.09%
1001-10000	1,033	4,303,835	0.93%	762	3,232,329	0.70%
10001-100000	547	19,529,835	4.24%	385	14,186,050	3.07%
100001-1000000	143	43,801,542	9.49%	98	29,798,372	6.46%
1000001- & Over	32	393,179,736	85.23%	19	413,697,596	89.68%
Total	3,462	461,289,465	100%	2,608	461,289,465	100%

NON-VOTING

Number of Shares	As at 31st March 2023			As at 31st March 2022		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
1-1000	18	2,696	0.01%	21	2,696	0.01%
1000001- & Over	2	26,207,839	99.99%	2	26,207,839	99.99%
Total	20	26,210,535	100%	23	26,210,535	100%

RESIDENT / NON-RESIDENT (VOTING)

Resident/Non-Resident	As at 31st March 2023			As at 31st March 2022		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	3,449	459,034,274	99.52%	2,598	460,639,676	99.86%
Non-Resident	13	2,255,191	0.48%	10	649,789	0.14%
Total	3,462	461,289,465	100%	2,608	461,289,465	100%

RESIDENT / NON RESIDENT (NON-VOTING)

Resident/Non-Resident	As at 31st March 2023			As at 31st March 2022		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	20	26,210,535	100%	23	26,210,535	100%
Non-Resident	-	-	-	-	-	-
Total	23	26,210,535	100%	23	26,210,535	100%

INDIVIDUAL/INSTITUTION (VOTING)

Individual/ Institution	As at 31st March 2023			As at 31st March 2022		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Individual	3,251	74,254,037	16%	2,460	74,058,901	16%
Institution	211	387,035,428	84%	148	387,230,564	84%
Total	3,462	461,289,465	100%	2,608	461,289,465	100%

INDIVIDUAL/INSTITUTION (NON-VOTING)

Individual/ Institution	As at 31st March 2023			As at 31st March 2022		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Individual	17	8,739,378	33%	19	8,739,377	33%
Institution	3	17,471,157	67%	4	17,471,158	67%
Total	20	26,210,535	100%	23	26,210,535	100%

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

LIST OF 20 MAJOR SHAREHOLDERS (VOTING)

As at 31st March 2023			As at 31st March 2022		
Name of shareholders	Number of shares	Holding %	Name of shareholders	Number of shares	Holding %
Iconic Trust (Private) Limited	201,548,404	43.69%	Iconic Trust (Private) Limited	201,488,404	43.68%
Amana Bank Plc/Browns Investments PLC	60,450,000	13.1%	L O L C Holdings PLC	90,320,250	19.58%
Browns Investments PLC	7,370,057	1.60%	Amana Bank PLC/Browns Investments PLC	60,450,000	13.10%
Sri Lanka Insurance Corporation Ltd-Life Fund	31,472,000	6.82%	Mr. A.P. Weerasekera	11,161,020	2.42%
Sri Lanka Insurance Corporation Ltd-General Fund	21,300,000	4.62%	Mr. N.G.R. Karunaratne / Mrs. S.J Karunaratne	10,657,180	2.31%
Mrs. S. J. Karunaratne	10,000,000	2.17%			
Mr. A. P. Weerasekera	9,604,036	2.08%	Browns Investments PLC	7,370,057	1.60%
Union Assurance PLC -Universal Life Fund	6,912,879	1.50%	Mr. D.N.N. Lokuge	5,658,969	1.23%
DFCC Bank PLC A/C No .02	4,000,000	0.87%	Mr. W.D.N.H. Perera	4,284,500	0.93%
DFCC Bank PLC A/C No.01	1,808,385	0.39%	Mr. W.A.P. Perera	3,393,766	0.74%
Union Assurance PLC -Traditional Life Participating Fund	3,458,395	0.75%	F L M C Plantations (Private) Limited	3,150,000	0.68%
F L M C Plantations (Private) Limited	3,150,000	0.68%	Deutsche Bank Ag As Trustee To Capital Alliance Quantitative Equity Fund	3,000,000	0.65%
Seylan Bank PLC/Gladstone Capital (Private) Limited	3,043,084	0.66%	Mr. G.B.D. Tilakaratne	2,131,191	0.46%
DFCC Bank PLC/J N Lanka Holdings Company (Pvt) Ltd	3,000,000	0.65%	Mrs. A.C.P. Irugalbandara / Mrs. J.M.A Irugalbandara	1,773,000	0.38%
Dialog Finance PLC/R.K.A. Thomas And C. D. Rathnaweera	2,000,000	0.43%			
EMFI Capital Limited	2,000,000	0.43%	Hatton National Bank PLC/ JN Lanka Holdings Company (Pvt) Ltd	1,552,366	0.34%
Seylan Bank PLC/Agampodi Chamara Senanka	1,943,600	0.42%			
Mr. W.A.P. Perera	1,758,866	0.38%	Mrs. N.K. Samaraweera	1,530,533	0.33%
Mr. R.A. Rishard	1,725,000	0.37%	Mr. G.S.N. Peiris	1,500,000	0.33%
DFCC Bank PLC/Maskeliya Tea Exports (Pvt) Ltd	1,637,011	0.35%	Seylan Bank PLC/ K.S. Balasuriya	1,500,000	0.33%
Mr. S. Sivashanth	1,500,000	0.33%	DFCC Bank PLC/JN Lanka Holdings Company (Pvt) Ltd	1,426,360	0.31%
Hatton National Bank PLC/Ruwan Prassana Sugathadasa	1,450,706	0.31%	Ventura Crystal Investments Ltd	1,350,000	0.29%
Industrial Asphalts (Ceylon) PLC	1,412,118	0.31%	DFCC Bank PLC/Fazlur Rahman Muzammil	1,000,000	0.22%
Total	382,544,541	82.91%	Total	414,697,596	89.91%

LIST OF 20 MAJOR SHAREHOLDERS (NON-VOTING)

As at 31st March 2023			As at 31st March 2022		
Name of shareholders	Number of shares	Holding %	Name of shareholders	Number of shares	Holding %
Iconic Trust (Private) Limited	17,471,014	66.66%	Iconic Trust (Private) Limited	17,471,014	66.66%
Mr. A.P. Weerasekera	8,736,825	33.33%	Mr.A.P.Weerasekera	8,736,825	33.33%
Mr. A.B. Weerasekera	1,000	0.00%	Mr.A.B.Weerasekera	1,000	0.01%
Mr. M.V.M. Gunasekera	519	0.00%			
Mr. S.P. Sedara	314	0.00%			
Mr. W.A.R.W. De Silva	302	0.00%			
Mr. W.J.M.P.A.C. Silva	200	0.00%			
PMF Finance PLC / D. Amerasinghe	142	0.00%			
Mr. K.A.D.A. Meththasena	130	0.00%			
Ms. M.V.N.M. Gunasekera jointly Mr. M.V.M. Gunasekera	35	0.00%			
Mr. A.S.Y. Abeywardena	10	0.00%			
Mrs. H.S. Egodawaththa	10	0.00%			
Mr. J.A.J.R. Gunaratne	10	0.00%			
Mr. S.M.C.P. Senavirathna	6	0.00%			
Mr. C. Amaratunga	5	0.00%			
Ms. V. D. Canisus	5	0.00%			
Mr. D. A. D. M. Dekumpitiya	5	0.00%			
Mrs. D. G. Bestus - Joint: Mr. H. R. D. G. A. Weerakoon	1	0.00%			
Mr. T.S.P. Fernando	1	0.00%			
Seyalan Bank PLC/Mr. M. Thiyagaraja	1	0.00%			
Total	26,210,535	99.99%		26,208,839	99.99%

PUBLIC SHAREHOLDING

The percentage of public holding in voting and non-voting shares as at 31st March 2023 were,

	Public holding %	No. of Shareholders	Float adjusted market capitalisation
-Voting Shares	28.03%	3,462	Rs. 1,448 Mn
-Non-Voting Shares	0.01%	18	Rs. 0.013 Mn

FLOAT ADJUSTED MARKET CAPITALISATION

The float adjusted market capitalisation of the Company falls under option 2 as per section 7.14.1 (b) of the Listing Rules of Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said options.

PARENT, SUBSIDIARIES, SUB-SUBSIDIARIES AND THEIR DIRECTORS

The Directors of parent, subsidiaries and sub-subsidiaries as at 31st March 2023 are given below;

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

ULTIMATE PARENT COMPANY

LOLC Holdings PLC	Mr. I. C. Nanayakkara
	Mr. W. D. K. Jayawardena
	Mrs. K. U. Amarasinghe
	Dr. R. A. Fernando
	Mr. M. D. D. Peiris
	Mr. C. Dias

PARENT COMPANY

Iconic Trust (Pvt) Ltd	Mr. I.C. Nanayakkara (Resigned w.e.f 24/07/2023)
	Mr. W.D.K. Jayawardena (ceased to be alternate w.e.f 24/07/2023)
	(Alt. Director to Mr. I C Nanayakkra)
	Mr. D.S.K. Amarasekera
	Mrs. V.G.S.S. Kotakadeniya
	Mr. K.A.K.P. Gunawardena
	Mr. P. Weerasingha
	Mrs. T.A.P. Weerasinghe
	Mr. E.A.D.N.J. Perera

SUBSIDIARIES

Company	Name of the Director
AgStar Cropcare (Pvt) Ltd	Mr. A. P. Weerasekera
	Mr. W. K. D. T. Abeyrathne
	Mr. P. Weerasingha
AgStar Exports (Pvt) Ltd	Mr. A. P. Weerasekera
	Mr. W. K. D. T. Abeyrathne
	Mr. P. Weerasingha
AgStar Seeds (Pvt) Ltd	Mr. A. P. Weerasekera
	Mr. W. K. D. T. Abeyrathne
	Mr. P. Weerasingha
Prith Seeds (Pvt) Ltd	Mr. A. P. Weerasekera
	Mr. W. K. D. T. Abeyrathne
	Mr. P. Weerasingha
Mahaweli Agro Trading (Pvt) Ltd	Mr. A. P. Weerasekera
	Mr. W. K. D. T. Abeyrathne
	Mr. P. Weerasingha
AgStar Grains (Pvt) Ltd	Mr. A. P. Weerasekera
	Mr. W. K. D. T. Abeyrathne
	Mr. P. Weerasingha
Euro Asia Tea (Pvt) Ltd	Mr. A. P. Weerasekera (Resigned w.e.f 19/07/2023)
	Mr. W. K. D. T. Abeyrathne
	Mr. L.H.M Sudath Lansakara
Royal Seed Company (Pvt) Ltd	Mr. A. P. Weerasekera
	Mr. W. K. D. T. Abeyrathne
	Mr. P. Weerasingha

ANNUAL REPORT

The Board of Directors approved the Audited Financial Statements together with the reviews which forms part of the Annual Report on 09 August 2023. The appropriate number of copies will be submitted to the Colombo Stock Exchange, Sri Lanka Accounting and Auditing Standard Monitoring Board and the Registrar of Companies within the stipulated time frame.

ANNUAL GENERAL MEETING

The Annual General Meeting will be held on 19th September 2023 at 10.00 a.m. at LOLC Holdings PLC, as an on-line audio-visual meeting centered from No. 100/1, Sri Jayawardenapura Mawatha, Rajagiriya. The Notice of Annual General Meeting is given on page no 126.

On behalf of the Board of Directors,
Agstar PLC

Mr. R. S. I. Gunawardhana

Chairman

Mr. A. P. Weerasekera

Managing Director

LOLC Corporate Services (Private) Limited

Secretaries
Colombo

09 August 2023

AUDIT COMMITTEE REPORT

PURPOSE OF THE COMMITTEE

The committee is vested with the responsibility to assist the Board of Directors in the oversight of the effectiveness of the internal controls over financial reporting, including the integrity of the financial statements of the company and the group. The committee ensures the qualifications and the independence of the external auditors and monitors the performances of the internal auditors. The oversight of compliance with the legal and regulatory requirements is also a key purpose of the committee.

COMPOSITION

The committee appointed by the Board of Directors consists of Five Non-Executive Directors out of which three Non-Executive Directors are independent. The committee is headed by Mr. R.K. Athula Ranaweera who is a fellow member of the Institute of Chartered Accountants of Sri Lanka. Committee member Dr. (Mrs) A.D.N. de Zoysa holds a Ph.D. Degree in Agricultural Economics and committee member Ms. S Wickramasinghe is an Attorney at Law of the Supreme Court of Sri Lanka. Mr. D.S.K. Amarasekera is a member of the Institute of Chartered Accountants of Sri Lanka and is an Attorney - at -Law of the Supreme Court of Sri Lanka. Ms. T.A.P. Weerasingha, who is holding a Bachelor's of Science in Management from University of London, has over 15 years of experience in the construction sector.

The Chairman and Managing Director attend the Committee meetings by invitation.

MEETINGS

There were five meetings of the committee held during the year under review and details of attendance are stated on page 28 of this report.

FINANCIAL REPORTING

The committee assists the Board of Directors in fulfilling its oversight responsibility to the shareholders and other stakeholders relating to the Company's financial statements and the financial reporting process. Further, the committee is vested with the responsibility for reviewing the internal audit function of the company as well as the risk management system and the statutory audit of the financial statements of the company and the group.

The recommendation of the quarterly and annual financial statements to the Board as well as ensuring company's compliance with legal and regulatory affairs of the company is a key responsibility of the committee. The committee ensures the reliability and consistency of the accounting policies and methods adopted in preparing the financial statements and their compliance with the Sri Lanka Financial Reporting Standards and the adequacy of disclosures required by other applicable laws, rules and guidelines.

EXTERNAL AUDIT

The committee has recommended to the Board of Directors that Messer. KPMG, Chartered Accountants be re-appointed as the auditors of the company for the year ending 31st March 2024, subject to the approval of the shareholders at the forthcoming Annual General Meeting.

The Audit committee is satisfied that the independence of the external auditors has not been adversely influenced by any event or service that could result in a conflict of interest. Due consideration has been given to the level of audit and non-audit fees received by the external auditors from the company.

The Audit committee has recommended to the Board Directors on the fees payable to the auditors for approval.



R.K. Athula Ranaweera
Chairman – Audit Committee
Colombo.

09 August 2023

INDEPENDENT AUDITORS' REPORT



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
P. O. Box 186,
Colombo 00300, Sri Lanka.

Tel +94 - 11 542 6426
Fax +94 - 11 244 5872
+94 - 11 244 6058
Internet www.kpmg.com/lk

TO THE SHAREHOLDERS OF AGSTAR PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of AgStar PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at March 31st, 2023, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cashflows for the year then ended, and notes to the financial statements including a summary of significant accounting policies and other explanatory information set out on pages 58 to 124 of the Annual Report

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view

of the financial position of the Company and the Group as at 31st March, 2023, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report.

We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

KPMG, a Sri Lankan partnership and a member firm of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee

C. P. Jayatilake FCA
Ms. S. Joseph FCA
S. T. D. L. Perera FCA
Ms. B.K.D.T.N. Rodrigo FCA
Ms. C.T.K.N. Perera ACA

T. J. S. Rajakarier FCA
Ms. S.M.B. Jayasekara FCA
G. A. U. Karunaratne FCA
R. H. Rajan FCA
A.M.R.P. Alahakoon ACA

W. J. C. Perera FCA
W. K. D. C. Abeyrathne FCA
R.M.D.B. Rajapakse FCA
M.N.M. Shameel FCA
Ms. P.M.K. Sumanasekara FCA

Principals: S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, Ms. F.R. Ziyad FCMA (UK), FTII

Assessment of Fair Value of Land and Buildings

(Refer to Note 3.5 significant accounting policies and explanatory Note 15 to the financial statements)

Risk description	Our responses
The Group's property plant and equipment include land and buildings amounting to 2,504 million which are measured at revalued amount as at 31st March 2023 (These land and buildings represents 28% of the Group's total assets). The Group has engaged an independent professional Valuer with appropriate expertise to determine the fair value of these properties. The fair values of Land and Building are dependent on the estimates such as per perch price and value per square foot. We identified valuation of land and building as a key audit matter due to the determination of the fair values involves significant judgment and estimate and the magnitude of the amounts involved.	Our audit procedures included, - Assessing the objectivity, independence, competence and qualifications of the external valuer. - Involving our own valuation specialist and assessing the key assumptions applied in valuation techniques and conclusions made in deriving the fair value of the properties and comparing the fair value of properties with evidence of current market values. - Evaluating the adequacy of disclosures made in the financial statements in relation to fair value of freehold land and building in accordance with the relevant accounting standards.

Impairment assessment on the Goodwill and Exclusive Dealership

(Refer to Note 3.8.4.1 significant accounting policies and explanatory Note 18 to the financial statements).

Risk description	Our responses
The Goodwill in the consolidated financial statements attributed to Prith Seeds (Pvt) Ltd amounted to Rs. 56 Million as at 31st March 2023. Additionally, AgStar Seeds (Pvt) Ltd, a subsidiary company, acquired the exclusive dealership of Tohoku Seed in Sri Lanka for a sum of Rs.50 Million and thereby the right to import, distribute and sell hybrid vegetable seeds from Tohoku Japan as explained in Note 18 to the financial statements. The Group performed impairment assessments of the goodwill and the exclusive dealership of Tohoku Seed recorded in the consolidated financial statements as at 31st March 2023. In performing the impairment assessments, the management of the Group compared the carrying value of each of the separately identifiable cash generating units ("CGUs") to which Goodwill and the exclusive dealership of Tohoku Seed had been allocated) with their respective value in use based on discounted cash flow forecasts, to determine if any impairment loss should be recognised. The preparation of discounted cash flow forecasts for the purpose of assessing potential impairment of goodwill involves estimating growth rates, discount rates and future cash flows, inclusive of the impact of the ongoing macroeconomic environment, which can be inherently judgmental. We identified the impairment of goodwill and exclusive dealership of Tohoku Seed a key audit matter because it involves judgment and assumptions which could be subject to management bias.	Our audit procedures included, - Assessing the appropriateness of the Group's accounting policy for impairment testing of goodwill and exclusive dealership and compliance with the relevant accounting policy as referred to in the financial statements. - Assessing the Group budgeting review and approval procedures upon which the cash flow forecasts are based. - Testing the mathematical accuracy of the underlying calculations in the Group's discounted cash flow valuation models. - Challenging the reasonableness of the key assumptions in the cash flow models, long term growth rates and discount rates. - Assessing the impact of the prevailing uncertain and volatile macro-economic environment in Sri Lanka on the assessment of impairment of goodwill, and exclusive dealership. - Evaluating the adequacy of the disclosures in the financial statements, including the description and appropriateness of the inherent degree of subjective and key assumptions.

INDEPENDENT AUDITORS' REPORT



Carrying value of Inventories

(Refer to Note 3.9 significant accounting policies and explanatory Note 20 to the financial statements).

Risk Description	Our response
As of the reporting date, the Group carried inventories amounting to Rs. 2,632 Million as at 31st March 2023 as disclosed in Note 20. The carrying value of inventories was a key audit matter due to; - the existence of diverse industry specific types/forms of Inventories and the magnitude of the inventory balance (represented 29% of the Group's total assets). - the use of significant management judgement over identifying inventories requiring write down to NRV, including consideration of nature of inventories, future inventory demand and quality/grading assessments, and - the existence of significant management estimates applied in the determination of NRV, considering expected sales prices and allowance policies based on historical sales.	- Obtaining an understanding and testing the design, implementation, and operating effectiveness of relevant manual control including testing the completeness and accuracy of operation of control that addresses process risk points related to Inventory with a risk of material misstatement. - On sample basis, physically verify the inventories as at reporting date. - Obtaining an understanding of the types and form of inventories maintained by industry segments, together with key processes and controls relating to the recording and measurement of inventories. - Assessing the reasonableness of judgements applied in the identification and recording of inventories at NRV, including allowances recorded considering among others, the age of inventories, historical sales trends, subsequent prices secured, product life cycles and the outlook of the industry segments; and - Testing the accuracy and completeness of inventory ageing reports used in the estimation of allowances.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional w throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditors' report is 3544.



CHARTERED ACCOUNTANTS

Colombo, Sri Lanka
09 August 2023

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

(All amounts in Sri Lankan Rupees)

		Group		Company	
For the year ended 31 March	Notes	2023	2022	2023	2022
Continuing operations					
Revenue	6	7,458,205,081	5,992,282,135	5,810,149,701	4,408,781,500
Cost of sales		(3,847,409,748)	(3,883,737,356)	(3,058,631,074)	(3,028,020,189)
Gross profit		3,610,795,333	2,108,544,779	2,751,518,627	1,380,761,311
Other income	7	55,125,156	57,202,154	72,103,192	209,597,803
Selling and distribution expenses		(240,772,235)	(169,925,715)	(124,915,116)	(119,333,677)
Administrative expenses		(457,357,069)	(366,163,034)	(327,989,655)	(252,566,283)
Other expenses	8	-	(1,540,749)	-	-
Operating profit		2,967,791,185	1,628,117,435	2,370,717,048	1,218,459,154
Finance income		155,412,392	13,273,626	124,205,453	5,517,620
Finance costs		(775,508,852)	(843,990,381)	(743,471,462)	(829,741,447)
Net finance income costs	9	(620,096,460)	(830,716,755)	(619,266,009)	(824,223,827)
Profit before taxation	10	2,347,694,725	797,400,680	1,751,451,039	394,235,327
Income tax expense	11	(688,523,910)	(190,673,806)	(565,921,493)	(72,639,333)
Profit from continuing operations		1,659,170,815	606,726,874	1,185,529,546	321,595,994
Discontinued operations					
Gain /(loss) from discontinued operations, net of tax	12	(295,458)	136,103	-	-
Profit for the year		1,658,875,357	606,862,977	1,185,529,546	321,595,994
Other comprehensive income					
Items that will not be reclassified to profit or loss					
Revaluation of right of use assets	17.1	-	36,841,747	-	21,230,106
Revaluation of property, plant and equipment	15	-	737,596,753	-	643,990,240
Deferred tax impact on revaluation of assets	28.2	(128,428,378)	(127,033,829)	(128,428,378)	(107,374,562)
Actuarial gain/(loss) on defined benefit obligations	27	(1,640,075)	(4,465,602)	(1,633,369)	(4,450,093)
Deferred tax impact on actuarial loss	28.3	492,023	804,739	490,011	801,017
Other comprehensive income, net of tax		(129,576,430)	643,743,808	(129,571,736)	554,196,708
Total comprehensive income for the year		1,529,298,927	1,250,606,785	1,055,957,810	875,792,702
Profit attributable to:					
Owners of the Company		1,668,886,398	618,915,870	1,185,529,546	321,595,994
Non-controlling interests		(10,011,041)	(12,052,893)	-	-
Profit for the year		1,658,875,357	606,862,977	1,185,529,546	321,595,994
Total comprehensive income attributable to:					
Owners of the Company		1,539,309,968	1,262,659,678	1,055,957,810	875,792,702
Non-controlling interests		(10,011,041)	(12,052,893)	-	-
Total comprehensive income for the year		1,529,298,927	1,250,606,785	1,055,957,810	875,792,702
Earnings per share					
Basic earnings per share (Rs.)	13	3.42	1.52	2.43	0.79

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

STATEMENT OF FINANCIAL POSITION

(All amounts in Sri Lankan Rupees)

As at 31st March,	Notes	Group 2023	2022	Company 2023	2022
Assets					
Non-current assets					
Property, plant and equipment	15	3,285,914,937	3,299,488,138	2,963,133,167	2,949,093,202
Investment property	16	-	-	211,500,000	211,590,000
Right of use asset	17.1	66,342,361	75,915,998	22,226,890	23,000,000
Intangible assets and goodwill	18	109,214,465	110,743,794	2,399,982	3,880,751
Investments in subsidiaries	19	-	-	184,779,088	184,779,088
Investment in government securities	32	847,788,420	-	524,886,505	-
Deferred tax assets	28.1	8,293,353	4,191,349	-	-
Total non-current assets		4,317,553,536	3,490,339,279	3,908,925,632	3,372,343,041
Current assets					
Inventories	20	2,632,195,445	2,298,276,227	1,685,737,517	1,962,696,917
Trade and other receivables	21	796,592,187	362,621,453	449,825,322	235,005,857
Subsidy receivable	22	389,513,395	3,038,363,195	351,939,808	2,844,393,846
Amounts due from related companies	23.1	-	-	893,433,311	602,609,958
Current tax receivable		-	2,976,659	-	1,688,376
Cash and cash equivalents	24	633,669,120	409,412,907	537,786,490	72,158,123
		4,451,970,147	6,111,650,441	3,918,722,448	5,718,553,077
Assets as held for sale	12	180,648,799	180,817,627	-	-
Total current assets		4,632,618,946	6,292,468,068	3,918,722,448	5,718,553,077
Total assets		8,950,172,482	9,782,807,347	7,827,648,080	9,090,896,118
Equity					
Stated capital	25	2,007,856,833	2,007,856,833	2,007,856,833	2,007,856,833
Revaluation reserve		1,337,959,006	1,466,387,384	760,451,573	888,879,949
Retained earnings		3,840,843,973	2,173,105,627	3,527,485,759	2,343,099,572
Equity attributable to the owners of the Company		7,186,659,812	5,647,349,844	6,295,794,165	5,239,836,354
Non-controlling interests	26	20,634,043	30,645,084	-	-
Total equity		7,207,293,855	5,677,994,928	6,295,794,165	5,239,836,354
Liabilities					
Non-current liabilities					
Employee benefits	27	47,009,073	42,559,785	46,898,408	42,480,727
Deferred tax liabilities	28.2	713,342,496	546,637,646	644,606,645	491,419,461
Loans and borrowings	30	37,600,000	151,000,000	37,600,000	151,000,000
Lease Liability	17.2	15,713,231	24,516,635	2,049,520	2,015,130
Total non-current liabilities		813,664,800	764,714,066	731,154,573	686,915,318
Current liabilities					
Trade and other payables	29	176,368,898	3,043,449,393	147,995,769	2,880,235,665
Loans and borrowings	30	113,400,000	180,402,423	113,400,000	176,283,481
Amounts due to related companies	23.2	-	-	289,962	54,645,386
Lease Liability	17.2	8,952,014	8,896,700	29,315	25,602
Current tax payable	31	615,854,492	47,549,921	538,984,296	-
Bank overdrafts	24	14,306,354	59,528,345	-	52,954,312
		928,881,758	3,339,826,782	800,699,342	3,164,144,446
Liabilities directly associated with assets held for sale	12	332,069	271,571	-	-
Total current liabilities		929,213,827	3,340,098,353	800,699,342	3,164,144,446
Total liabilities		1,742,878,626	4,104,812,419	1,531,853,915	3,851,059,764
Total equity and liabilities		8,950,172,482	9,782,807,347	7,827,648,080	9,090,896,118

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

I certify that the financial statements of the Company comply with the requirements of the companies Act No. 07 of 2007.



Sakitha Lakshan

Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Signed for and on behalf of the Board;



R.S.I. Gunawardena

Chairman



A. P. Weerasekera

Managing Director

09th August 2023

Colombo

STATEMENT OF CHANGES IN EQUITY

(All amounts in Sri Lankan Rupees)

	Notes	Stated capital	Revaluation reserve	Retained earnings	Total
Balance as at 31st March 2021		1,204,093,678	331,034,167	2,090,152,654	3,625,280,499
Profit for the year		-	-	321,595,994	321,595,994
Other comprehensive income		-	557,845,784	(3,649,076)	554,196,708
Total comprehensive income		-	557,845,784	317,946,918	875,792,702
Contribution by and distribution to owners					
Right issue		803,763,155	-	-	803,763,155
Dividend	14	-	-	(65,000,000)	(65,000,000)
		803,763,155	-	(65,000,000)	738,763,155
Balance as at 31st March 2022		2,007,856,833	888,879,951	2,343,099,572	5,239,836,356
Profit for the year		-	-	1,185,529,546	1,185,529,546
Other comprehensive income		-	(128,428,378)	(1,143,359)	(129,571,737)
Total comprehensive income		-	(128,428,378)	1,184,386,187	1,055,957,809
Balance as at 31st March 2023		2,007,856,833	760,451,573	3,527,485,759	6,295,794,165

Revaluation reserve relates to the revaluation of land and buildings.

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(All amounts in Sri Lankan Rupees)

	Notes	Stated Capital	Revaluation reserve	Retained earnings	Total	Non-controlling interests	Total equity
Balance as at 01st April 2021		1,204,093,678	818,982,713	1,622,850,620	3,645,927,011	42,697,977	3,688,624,988
Profit for the year		-	-	618,915,870	618,915,870	(12,052,893)	606,862,977
Other comprehensive income		-	647,404,671	(3,660,863)	643,743,808	-	643,743,808
Total comprehensive income		-	647,404,671	615,255,007	1,262,659,678	(12,052,893)	1,250,606,785
Contribution by and distribution to owners							
Right issue		803,763,155	-	-	803,763,155	-	803,763,155
Dividend	14	-	-	(65,000,000)	(65,000,000)	-	(65,000,000)
		803,763,155	-	(65,000,000)	738,763,155	-	738,763,155
Balance as at 31st March 2022		2,007,856,833	1,466,387,384	2,173,105,627	5,647,349,844	30,645,084	5,677,994,928
Profit for the year		-	-	1,668,886,398	1,668,886,398	(10,011,041)	1,658,875,357
Other comprehensive income		-	(128,428,378)	(1,148,052)	(129,576,430)	-	(129,576,430)
Total comprehensive income		-	(128,428,378)	1,667,738,346	1,539,309,968	(10,011,041)	1,529,298,927
Balance as at 31st March 2023		2,007,856,833	1,337,959,006	3,840,843,973	7,186,659,812	20,634,043	7,207,293,855

Revaluation reserve relates to the revaluation of land, buildings and motor vehicles.

The notes on form an integral part of these financial statements.

Figures in brackets indicate deductions.

STATEMENT OF CASH FLOWS

(All amounts in Sri Lankan Rupees)

		Group		Company	
For the year ended 31st March,	Notes	2023	2022	2023	2022
Cash flow from operating activities					
Profit before tax from continuing operations		2,347,694,725	797,400,680	1,751,451,039	394,235,327
Profit/(loss) before tax from discontinued operations		(295,458)	136,103	-	-
Adjustment for:					
Amortisation of revenue					
Depreciation	15	106,046,654	69,345,820	89,949,671	54,987,382
Amortisation on intangible assets	18	1,529,329	1,503,511	1,480,769	1,460,351
Amortisation on right-of-use asset	17.1	9,573,637	10,932,991	773,110	59,492
Interest income	9	(155,412,392)	(13,273,626)	(124,205,453)	(5,517,620)
Interest expenses		161,345,358	17,928,457	141,612,337	13,061,820
Trade receivables write off	10	8,518,327	677,036	4,064,368	79,895
Change in fair value of investment property	7	-	-	(14,976,000)	(46,264,349)
Amortisation of deferred income		-	(656,102)	-	(656,102)
Dividend income	7	-	-	-	(99,999,980)
Subsidy write off	22	1,556,188	14,543,437	1,556,188	14,543,437
Impairment of trade receivables	21.2	(12,381,535)	(6,336,651)	(6,724,917)	(4,308,204)
Impairment loss/(reversal) on inventory	20.1	1,713,826	422,078	-	-
Provision for retirement gratuity	27	7,924,689	7,185,617	7,899,788	7,167,507
Operating profit before working capital changes		2,477,813,348	899,809,351	1,852,880,900	328,848,956
Changes in:					
Decrease/ (increase) in inventories		(335,633,043)	(1,406,104,108)	276,959,400	(1,583,209,723)
Decrease/ (increase) in trade and other receivables		(418,935,057)	38,065,234	(203,975,363)	975,824
Decrease in subsidy receivable		2,647,293,611	967,512,904	2,490,897,851	1,161,482,253
Decrease in amounts due from related companies		-	-	(290,823,353)	(145,634,283)
(Decrease)/ increase in trade and other payables		(2,867,019,997)	(520,315,555)	(2,732,239,896)	(384,775,068)
Increase/(decrease) in amounts due to related companies		-	-	(54,355,424)	54,645,386
Cash (used in)/ generated from operating activities		1,503,518,862	(21,032,174)	1,339,344,115	(567,666,655)
Interest expense paid					
		(158,736,249)	(14,260,974)	(141,324,234)	(12,776,960)
Income tax paid					
		(81,933,583)	(75,165,669)	-	-
Employee benefit paid	27	(5,115,476)	(2,937,885)	(5,115,476)	(2,937,885)
Net cash flow (used in)/ generated from operating activities		1,257,733,554	(113,396,702)	1,192,904,405	(583,381,500)
Cash flows from investing activities					
Interest income received		143,597,314	13,380,559	116,021,893	5,692,878
Dividend income received		-	-	-	99,999,980
Acquisition of property, plant and equipment	15	(21,511,021)	(50,149,095)	(17,961,204)	(39,271,227)
Addition to work in progress	15	(70,962,429)	(178,168,723)	(70,962,429)	(178,168,723)
Investment in government securities	32	(847,788,420)	-	(524,886,505)	-
Acquisition of intangible assets	18	-	(912,000)	-	(750,000)
Net cash used in investing activities		(796,664,556)	(215,849,259)	(497,788,245)	(112,497,092)
Cash flows from financing activities					
Proceeds from loans and borrowings	30.1/30.2	3,880,708,296	5,425,381,795	3,787,608,702	5,036,328,245
Repayment of loans and borrowings	30.1/30.2	(4,061,110,719)	(5,869,381,900)	(3,963,892,183)	(5,401,864,352)
Repayment of lease liabilities	17.2	(11,357,199)	(19,757,200)	(250,000)	(250,000)
Dividend paid	14	-	(65,000,000)	-	(65,000,000)
Net proceeds from Rights issue		-	803,763,155	-	803,763,155
Net cash from / (used in) financing activities		(191,759,622)	275,005,850	(176,533,481)	372,977,048
Net cash increase/(decrease) in cash and cash equivalents					
		269,309,376	(54,240,111)	518,582,679	(322,901,544)
Cash and cash equivalents at the beginning of the year		350,879,711	405,119,822	19,203,811	342,105,355
Cash and cash equivalents at 31st March	24	620,189,087	350,879,711	537,786,490	19,203,811

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

1.1 Reporting entity

Agstar PLC, ("the Company") is a public limited liability Company incorporated and domiciled in Sri Lanka. The ordinary shares of the Company are listed on the Colombo Stock Exchange. The Company's registered office and the principal place of business is located at 93, Minuwangoda Road, Ekala, Ja-ela.

The consolidated financial statements of the Company as at, and for the year ended 31st March 2023 comprise the financial statements of Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities").

The principal activities of the Company and the other entities consolidated with it are as follows:

- AgStar PLC – Business of importing, blending, and marketing of fertiliser products and agri machineries.
- AgStar Cropcare (Private) Limited – Business of importing formulating and marketing of chemicals, fertilisers, and specialty products.
- AgStar Seeds (Private) Limited – Business of producing, trading, and marketing of seeds and planting materials.
- AgStar Grains (Private) Limited – Business of procurement, processing and marketing of rice and other grains. (Discontinued operation)
- Mahaweli Agro Trading (Private) Limited (previously named as Mahaweli Rice Processing Industries (Private) Limited) – Company was carrying out business of procurement, processing, and marketing of rice (Discontinued operation). Currently carrying on the business of trading fertiliser.
- AgStar Exports (Private) Limited – Business of exporting agriculturally based products and marketing of consumer goods.
- Prith Seeds (Private) Limited – Business of importing, producing, trading, and marketing of seeds and planting materials.
- Euro Asia Tea (Private) Limited – manufacture, export and market tea bags and packets.

In the opinion of the Board of Directors, the Group's immediate parent company is Iconic Trust (Pvt) Ltd and ultimate parent undertaking and controlling party as at the date of financial position is LOLC Holdings PLC.

2. BASIS OF PREPARATION

2.1 Statement of compliance

The consolidated financial statements of the Group and the separate financial statements of the Company have been prepared in accordance with the Sri Lanka Accounting Standards (herein referred to as SLFRSs/ LKASs), laid down by The Institute of Chartered Accountants of Sri Lanka (ICASL) and in compliance with the requirements of the Companies Act No. 07 of 2007 and the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995.

2.2 Responsibility for financial statements

The Board of Directors of the Company acknowledges their responsibility for the Financial Statements, as set out in the "Annual Report of the Board of Directors", "Statement of Directors' Responsibilities for Financial Statements" and the "certification on the Statement of Financial Position".

2.3 Approval of financial statements by Directors

The financial statements of the Group and the Company for the year ended 31st March 2023 were approved and authorised for issue by the Board of Directors on the 09th August 2023. These financial statements include the following components:

- a Statement of Profit or Loss and Other Comprehensive Income providing the information on the financial performance of the Group and the Company for the year under review. Refer pages 58;
- a Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end. Refer page 59;
- a Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and the Company. Refer pages 60 to 61;
- a Statement of Cash Flows providing the information to the users, on the ability of the Group and the Company to generate cash and cash equivalents and utilisation of those cash flows. Refer page 62;
- Notes to the financial statements comprising significant accounting policies and other explanatory information. Refer pages 63 to 124.

NOTES TO THE FINANCIAL STATEMENTS

2.4 Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis, except for land and buildings, investment properties and motor vehicles measured at fair value and the retirement benefit obligations are measured at the present value of the defined benefit obligation as explained in the respective Notes to the financial statements.

2.5. Functional currency

The financial statements are presented in Sri Lankan Rupees, which is the Group's functional currency. There was no change in the Group's presentation and functional currency during the year under review.

2.6. Current versus non-current classification

The Group presents assets and liabilities in the statement of financial position based on current/non-current classification.

An asset is current when it is expected to be realised or intended to be sold or consumed in the normal operating cycle and held primarily for the purpose of trading.

Or

Is cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when it is expected to be settled in the normal operating cycle and is held primarily for the purpose of trading and is due to be settled within twelve months after the reporting period.

Or

There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Group classifies all other liabilities as non-current.

2.7. Use of materiality and offsetting

2.7.1 Materiality and aggregation

Each material class of similar items is presented separately in the Financial Statements. Items of a dissimilar nature or function are presented separately, unless they are immaterial.

Notes to the financial statements are presented in a systematic manner which ensures the understandability and comparability of financial statements of the Group and the Company. Understandability of the financial statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

2.7.2 Offsetting

Assets and liabilities or income and expenses, are not offset unless required or permitted by Sri Lanka Accounting Standards.

2.8. Use of estimates and judgments

The preparation of financial statements of the Group and the Company in conformity with Sri Lanka Accounting Standards requires the management to make judgments, estimates and assumptions that affect the application of policies and reported values of assets, liabilities, income, and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making a judgment about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation, uncertainty, and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements, is provided below:

2.8.1 Judgment

Going concern

The Directors have made an assessment of the Group's ability to continue as a going concern, and being satisfied that it has the resources to continue in business for the foreseeable future confirm that they do not intend either to liquidate or to cease operations of any business unit of the Group other than those disclosed in the notes to the financial statements. Furthermore, when determining the basis of preparing the financial statements for the year ended 31st March 2023.

2.8.2 Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the Financial Statements is included in the following notes:

- Depreciation – Note 3.5.4
- Leases – Note 3.7
- Intangible assets – Note 3.8
- Impairment – Note 3.10
- Employee benefit – Note 3.12
- Provisions – Note 3.13
- Commitments and contingencies – Note 3.21
- Taxation – Note 3.18
- Property plant and equipment – Note 3.5
- Investment properties – Note 3.6

Measurement of fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair Values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows,

Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs)

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability
- Or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, if market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

3. SIGNIFICANT ACCOUNTING POLICIES

The Group and the Company have consistently applied the Accounting Policies as set out in Notes 3.1 to 3.22 to all periods presented in these Financial Statements

3.1 Basis of consolidation

3.1.1 Business combinations and goodwill

The Group accounts for business combinations using the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Group. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce inputs.

NOTES TO THE FINANCIAL STATEMENTS

The Group has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets.

Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

The Group measures goodwill at the acquisition date, as excess of aggregate fair value of the consideration transferred; the recognised amount of any non-controlling interests in the acquiree. If the business combination is achieved in stages, the fair value of the pre-existing interest in the acquiree; and the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed measured at the acquisition date.

Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not re-measured, and settlement is accounted within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in the income statement.

The goodwill arising on acquisition of subsidiaries is presented as an intangible asset.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. Goodwill is tested for impairment annually as at 31 March and when circumstances indicate that the carrying value may be impaired. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquire are assigned to those units.

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities

of the entity acquired exceed the cost of the acquisition of the entity, the surplus, which is a gain on bargain purchase is recognised immediately in the consolidated income statement.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash generating unit retained.

3.1.2 Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; The contractual arrangement with the other vote holders of the investee, Rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income, and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the Company are also treated as subsidiaries of the Company.

The financial statements of subsidiaries are included in the consolidated financial statements from the date of acquisition, being the date on which the Group obtains control, and continues to be consolidated until the date when such control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

3.1.3 Non-controlling interest

The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included under the heading “Non – controlling interests” in the Consolidated Statement of Profit or Loss and Other Comprehensive Income. Losses applicable to the non-controlling interests in a subsidiary is allocated to the non-controlling interest even if doing so causes the non-controlling interests to have a deficit balance.

The interest of the minority shareholders in the net assets employed of these companies are reflected under the heading “Non-controlling interests” in the Consolidated Statement of Financial Position.

Acquisitions of non-controlling interests are accounted for as transactions with the equity holders in their capacity as owners and therefore no goodwill is recognised as a result of such transactions. Changes to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.4 Loss of control

On the loss of control, the Group immediately derecognises the assets including goodwill and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit and loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently, it is accounted for as an

equity-accounted investee or as a FVTOCI financial asset depending on the level of influence retained.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

3.1.5 Reporting date

All the Group’s subsidiaries have same reporting period as the parent Company, which is 31st March.

3.1.6 Intra-group transactions

Pricing policies of all intra-group sales are identical to those adopted for normal trading transactions, which are at market prices. Transfer prices between Group entities are set on an arms-length basis in a manner similar to transactions with third parties.

3.1.7 Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised gains and losses or income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated to the extent of the Group’s interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2. Foreign currencies

3.2.1. Foreign currency transactions

Transactions in foreign currencies are translated into the respective functional currencies of the Group at the exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined.

Non-monetary assets and liabilities which are measured in terms of historical cost in a foreign currency are translated using exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is

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determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of gain or loss on the change in fair value of the item (i.e. translation differences on items of which fair value gain or loss is recognised in OCI or Profit or Loss are also recognised in OCI or Profit or Loss, respectively)

3.3 Financial instruments

3.3.1 Recognition and initial measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

3.3.2 Classification and subsequent measurement

3.3.2.1 Financial Assets

(a) Classification

On initial recognition, a financial asset is classified as measured at amortised cost, fair value through other comprehensive income (OCI) and fair value through profit or loss.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designed as at FVTPL:

- It is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

- This assessment is referred to as the SPPI test and it is performed at an instrument level. The Company's financial assets classified under amortised cost includes trade and other receivable and cash and cash equivalents

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designed as at FVTPL

- It is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Company may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis. All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

(b) Business model assessment

The Group assesses the objective of the business model in which a financial asset is held at a portfolio levels because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

The stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;

- how the performance of the portfolio is evaluated and reported to the Company's management,
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed,
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and

- the frequency, volume, and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Company's continuing recognition of the assets. Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

(c) Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows,
- terms that may adjust the contractual coupon rate, including variable-rate features,
- prepayment and extension features; and
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual paramount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional

compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

(d) Subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Debt investments at FVTOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVTOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

(e) Impairment

Trade receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

In certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

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ECL are discounted at the effective interest rate of the financial asset.

(f) Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the trade receivables.

(g) Write-offs

The gross carrying amount of a financial asset is written off (either partially or in full) to the extent that there is no realistic prospect of recovery. However financial assets that written off could still be subject to enforcement activities in order to comply with the Group's procedures to recovery of amounts due.

3.3.3 Stated capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity.

3.4 Assets held for sale and discontinued operations

(i) Assets held for sale

Non-current assets and disposal groups classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets and disposal groups are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable, and the asset or disposal group is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Impairment losses on initial classification as held for sale and subsequent gains and losses on remeasurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss. Property, plant and equipment and intangible assets once classified as held for sale are not depreciated or amortised.

(ii) Discontinued operations

A discontinued operation is a component of the Group's business, the operations, and cash flows of which can be clearly distinguished from the rest of the Group and which:

- represents a separate major line of business or geographical area of operations,
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or
- is a subsidiary acquired exclusively with a view to re-sale,

Classification as a discontinued operation occurs on disposal or when the operation meets the criteria to be classified as held for sale, if earlier.

When an operation is classified as a discontinued operation, the comparative statement of comprehensive income is represented as if the operation had been discontinued from the start of the comparative year.

3.5 Property, plant & equipment

3.5.1 Recognition and measurement

Items of property, plant, and equipment other than land and buildings and motor vehicles are measured at cost less accumulated depreciation and accumulated impairment losses.

The cost of an item of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use. The cost of self-constructed assets includes the cost of materials, direct labour, and any other costs directly attributable to bringing the asset to the working condition for its intended use and borrowing costs if the recognition criteria are met. This also includes cost of dismantling and removing the items and restoring them in the site on which they are located.

All items of property, plant and equipment are recognised initially at cost.

The Group subsequently recognises land, building and motor vehicles owned by it in the statement of financial position at their re-valued amount. Revaluations are performed with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair values at the end of each reporting period. If the fair values of land and building does not change other than by an insignificant amount at each reporting period, the Group will revalue such land and buildings and motor vehicles every 3 years.

Any revaluation increase arising on the revaluation of such land is recognised in other comprehensive income

and accumulated in equity, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in the income statement, in which case the increase is credited to the income statement to the extent of the decrease previously expensed. A decrease in the carrying amount arising on a revaluation of land is recognised in the income statement to the extent that it exceeds the balance, if any, held in the property's revaluation reserve relating to a previous revaluation of the same land.

Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to retained earnings and is not considered in arriving at the gain or loss on disposal.

3.5.2 Significant components of property, plant & equipment

When parts of an item of property, plant and equipment have different useful lives than the underlying asset, they are identified and accounted separately as major components of property, plant and equipment and depreciated separately based on their useful life.

3.5.3 Subsequent cost

The Group recognises in the carrying amount of property, plant and equipment the cost of replacing a part of an item, when it is probable that the future economic benefits embodied in the item will flow to the Group and the cost of the item can be measured reliably. The carrying amounts of the parts that are replaced are derecognised from the cost of the asset. The cost of day-to-day servicing of property, plant and equipment are recognised in the income statement as and when incurred.

3.5.4 Depreciation

Depreciation is based on the cost of an asset less its residual value.

Depreciation is recognised in the income statement on a straight-line basis over the estimated useful lives of each component of an item of property, plant, and equipment. Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale or on the date that the asset is disposed. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives are as follows:

Buildings	10-20 years
Plant and machinery	05-10 years
Motor vehicles	5 years
Furniture and fittings	05-10 years
Computer hardware / software	3 years
Office equipment	5-10 years
Pallets	3-5 years
Factory equipment's	10 years
Solar panels	25 years

3.5.5 Reclassification to investment property

When the use of property changes from owner occupied to investment property, the property is remeasured to fair value and reclassified accordingly. Any gain arising on this remeasurement is recognised in profit or loss to the extent that it is reverse a previous impairment loss on the specific property, with any remaining gain recognised OCI and presented in the revaluation reserve.

Any loss is recognised in profit or loss. However, to the extent that an amount is included in the revaluation surplus for that property, the loss is recognised in OCI and reduced the revaluation surplus within equity.

3.6 Investment properties

3.6.1 Recognition and measurement

Properties held to earn rental income and properties held for capital appreciation has been classified as investment property.

Investment properties are measured initially at cost, including transaction costs. The carrying value of an investment property includes the cost of replacing part of an existing investment property, at the time that cost is incurred if the recognition criteria are met and excludes the costs of day-to-day servicing of the investment property. Subsequent to initial recognition, the investment properties are stated at fair value, which reflect market conditions at the reporting date.

Gains or losses arising from changes in fair value are included in the statement of profit or loss in the year in which they arise. Fair values are evaluated at frequent intervals by an accredited external, independent valuer. Rental income from investment property is recognised as other income on straight line basis over the term of lease.

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Investment properties are de-recognised when disposed, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on de-recognition or disposal are recognised in the Income Statement in the year of de-recognition or disposal. Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property or inventory, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property or inventory, the group accounts for such property in accordance with the policy stated under property, plant, and equipment up to the date of change in use. Where group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant, and equipment in the consolidated financial statements, and accounted using Group accounting policy for property, plant, and equipment. When investment property previously classified under Property Plant and Equipment is sold, any related amount included in the revaluation reserve is transferred to retained earnings.

3.7 Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period in exchange for consideration.

As a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component based on its relative stand-alone prices. However, for the lease of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payment made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use

asset or the end of the lease term. The estimated useful lives of right-of-use assets are determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by obtaining interest rate from various external financing sources and make certain adjustment to reflect the term of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following.

- Fixed payments, including in-substance fixed payments
- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date.
- Amounts expected to be payable under a residual value guarantee; and
- The exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments from a change in an index or a rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, or if the Group changes its assessment of whether it will exercise a purchase, extension or termination option.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets that do not meet the definition of investment property in Right of use

asset and lease liabilities in loans and borrowings in the statement of financial position.

3.8 Intangible assets

3.8.1 Initial Recognition and measurement

The Group recognises intangible assets if it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

Separately acquired intangible assets are measured on initial recognition at cost. The cost of such separately acquired intangible assets include the purchase price, import duties, non-refundable purchase taxes and any directly attributable cost of preparing the asset for its intended use.

The cost of intangible assets acquired in a business combination is the fair value of the asset at the date of acquisition.

The cost of an internally generated intangible asset arising from the development phase of an internal project which is capitalised includes all directly attributable costs necessary to create, produce, and prepare the asset to be capable of operating in the manner intended by the Management. Other development expenditure and expenditure on research activities, undertaken with the prospect of gaining new technical knowledge and understanding is expensed in the income statement as and when incurred.

3.8.2 Subsequent costs

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

3.8.3 Subsequent measurement

After initial recognition an intangible asset is stated at its costs less any accumulated amortisation and any accumulated impairment losses.

The useful economic life of an intangible asset is assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life of the asset. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted

for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement.

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.8.4 Intangible assets recognised by the Group

3.8.4.1 Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets. (Note 18)

Goodwill is subsequently measured at cost less accumulated impairment losses.

3.8.4.2 Computer software

All computer software costs incurred and licensed for use by the Group, which do not form an integral part of related hardware, and can be clearly identified and reliably measured with the probability of leading to future economic benefits, are capitalised under intangible assets

In accordance with 3.8.3 above, the Group companies assess the useful life of each computer software that has a finite useful life. Based on this assessment the Group companies amortise computer software over approximately 3 to 5 years.

3.8.4.3 Tohoku exclusive dealership

Intangible assets include trademarks and exclusive dealership acquired by the Group. The Tohoku Seed exclusive dealership of the Company is expected to have an indefinite life and the Group tests the exclusive dealership with an indefinite life for impairment by comparing its recoverable value with its carrying value annually or whenever there is an indication that the intangible assets may be impaired.

3.8.5 Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses.

3.8.6 De-recognition

Intangible assets are de-recognised on disposal or when no future economic benefits are expected from its use.

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The gain or loss arising from de-recognition of intangible assets are measured as difference between the net disposal proceeds and the carrying amount of the asset.

3.8.7 Amortisation

Amortisation is recognised in the income statement on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use.

The estimated useful life of each intangible asset is as follows.

Brand distribution agency	10 years
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Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

3.9 Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is based on a weighted average cost. The cost includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition. In the case of manufactured inventories, cost includes an appropriate share of factory overheads.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses based on normal operating capacity.

3.10 Impairment – Non-financial assets

The carrying amounts of the Group's non-financial assets, other than inventories and deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the recoverable amounts of such assets are estimated.

The recoverable amount of goodwill is estimated at each reporting date, or as and when an indication of impairment is identified.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount.

Impairment losses recognised in respect of cash-generating units on acquisition of subsidiaries are allocated first to reduce the carrying amount of any goodwill allocated to the unit, and then to reduce the

carrying amount of the other assets in the unit (or group of units) on a pro rata basis.

3.10.1 Calculation of recoverable amount

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

3.10.2 Reversal of impairment

An impairment loss in respect of goodwill is not reversed. In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are recognised in the income statement.

3.11 Liabilities and provisions

Liabilities classified as current liabilities in the statement of financial position are those which fall due for payment on demand of the creditor or within one year of the reporting date. Non-current liabilities are those balances that become repayable after one year from the reporting date.

All known liabilities have been accounted for in preparing the financial statements.

3.12 Employee benefits

3.12.1 Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the Group has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee, and the obligation can be measured reliably.

3.12.2 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays a fixed employee benefit

contribution into a separate entity and will have no further legal or constructive obligations to pay any additional amounts. Obligations for contributions to a defined contribution plan are recognised as an employee benefit expense in the income statement in the periods during which services are rendered by employees.

3.12.2.1 Employee provident fund and Employee trust fund

The Group contributes a sum not less than 12% of the gross emoluments of employees employed in Sri Lanka as provident fund benefits and 3% as trust fund benefits.

3.12.2.2 Defined benefit plan - retiring gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date.

The defined benefit obligation is calculated annually using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms of maturity approximating to the terms of the liability.

Provision has been made in the financial statements for retiring gratuities from the first year of service for all employees.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service. The liability is not externally funded.

Remeasurements of the defined benefit liability actuarial gains and losses are recognised immediately in OCI. When the benefits of the plan are changed or when a plan is curtailed, the resulting change in benefit that related to past service or the gain or loss on curtailment is recognised immediately in profit or loss. The Group recognises gains and losses on resettlement of a defined plan when the settlement occurred.

3.13 Provisions

A provision is recognised if, as a result of past events, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

3.14. Revenue

a) Sale of goods

The Group is engaged in the business of importing, blending, and marketing of fertiliser products, formulating and marketing of chemicals, producing, trading, and marketing of seeds, planting materials and other grains, import and trading Agri machineries and in exporting agriculturally based products.

The Group shall recognise revenue when (or as) the entity satisfies a performance obligation by transferring a promised good to a customer. An asset is transferred when (or as) the customer obtains control of that asset.

b) Interest Income

Interest income is recognised on a time-proportion basis using the effective interest method.

c) Dividend income

Dividend income is recognised in the income statement on the date that the Group's right to receive payment is established, which is generally when the dividend is declared

d) Rental income

Rental income is recognised on a straight-line basis over the period of rental contracts. When the customer initially enters into a rental contract, the Group usually receives an advance or a deposit or both which is recognised as a liability. The advance is recognised as revenue with the passage of time while deposit is refunded to the customer in accordance with the rental contract on termination.

e) Others

Other income is recognised on an accrual basis.

Gains and losses arising from incidental activities to main revenue generating activities and those arising from a Company of similar transactions which are not material, are aggregated, reported, and presented on a net basis.

NOTES TO THE FINANCIAL STATEMENTS

3.15 Expenditure

All expenditure incurred in the running of the business and in maintaining the capital assets in a state of efficiency are recognised in the statement of profit or loss on an accrual basis.

3.16 Finance income /(expenses)

Finance income comprises interest income on funds invested, net changes in fair value of financial assets classified as fair value through profit or loss and gains on the disposal of interest generating investments whether classified under fair value through profit or loss.

Finance expenses comprise interest expense on borrowings and leases, and impairment losses recognised on financial assets. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in the income statement using the effective interest method.

3.17 Government grants and subsidies

Government grants are recognised where there is reasonable assurance that the grant will be received, and all attached conditions will be complied with.

When the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the costs, which it is intended to compensate, are expensed.

Grants and subsidies which intend to compensate an expense or loss already incurred or received for the purpose of immediate financial support with no future related costs, are recognised in the income statement in the period in which the grant becomes receivable.

Grants and subsidies related to assets are immediately recognised in the statement of financial position as deferred income and recognised in the income statement on a systematic and rational basis over the useful life of the asset.

When the Group receives non-monetary grants, the asset and the grant are recorded gross at nominal amounts and recognised in the income statement over the expected useful life in a pattern of consumption of the benefit of the underlying asset.

When loans or similar assistance are provided by governments or related institutions with an interest rate below the applicable market rate, the effect of this favourable interest is regarded as a government grant.

3.18 Income tax expenses

Income tax expense comprises of current and deferred tax. The income tax expense is recognised in the income statement except to the extent that it relates to the items recognised directly in the statement of other comprehensive income or statement of changes in equity, in which case it is recognised directly in the respective statements.

The Company has determined that interest and penalties related to income taxes including uncertain tax treatments, do not meet the definition of income taxed, and therefore accounted for them under LKAS 37 Provisions, contingent liabilities, and contingent assets.

3.18.1 Current tax

The current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Taxation for the current and previous periods to the extent unpaid is recognised as a liability in the financial statements. When the amount of taxation already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset in the financial statements.

3.18.2 Deferred taxation

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for temporary differences arising on initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit, and the differences relating to investments in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are

reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

3.18 Movement of reserves

Movements of reserves are disclosed in the statement of changes in equity.

3.19 Statement of Cash flows

The statement of cash flows is reported based on the "indirect method".

3.20 Earnings per share

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.21 Commitments and contingencies

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non-occurrence of uncertain future events, which are beyond the Group's control.

Commitments and Contingent liabilities are disclosed in note 34 and 35 to the financial statements.

3.22 Events occurring after the reporting date

All material events after the reporting date have been considered, disclosed, and adjusted where applicable.

4. STANDARD ISSUED BUT NOT YET EFFECTIVE

The Institute of Chartered Accountants of Sri Lanka has issued following new Sri Lanka Accounting Standards (SLFRSs/LKASs) which will become applicable for financial periods beginning on or after 1st January 2023. Accordingly, the Company has not applied the following new standards in preparing these Financial Statements. The following amended standards and interpretations are not expected to have a significant impact on the Company's financial statements.

A. Classification of Liabilities as Current or Non-current (Amendments to LKAS 1)

The amendments in Classification of Liabilities as Current or Non-current (Amendments to LKAS 1) affect only the presentation of liabilities in the statement of financial position not the amount or timing of recognition of any asset, liability income or expenses, or the information that entities disclose about those items. The key amendments are as follows:

The classification of liabilities as current or non-current should be based on rights that are in existence at the end of the reporting period. The classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability. The standard also clarifies that settlement refers to the transfer to the counterparty of cash, equity instruments, other assets or services.

The amendment applies to annual reporting periods beginning on or after 1st January 2023.

Other recent changes to the standards that are required to be applied for annual periods beginning after 1st January 2023 and that are available for early adoption.

Disclosure of accounting policies (amendments LKAS 1) - Effective date: 1st January 2022

Definition of accounting estimates (LKAS 8) - Effective date: 1st January 2023

Deferred tax related to Assets and Liabilities arising from a single transaction - Amendments to LKAS 12 - Effective date: 1st January 2023

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

5 SEGMENT INFORMATION

Management has determined the operating segments based on the reports reviewed by the Executive Board that are used to make strategic decisions.

Trading - Items which are directly imported and sold without further processing are categorised under this.

Processing - This segment includes the items which are further processed at the Company before sold.

	2023			2022		
	Trading	Processing	Total	Trading	Processing	Total
Total external segment revenue	2,741,625,437	4,716,579,644	7,458,205,081	2,048,149,050	3,944,133,085	5,992,282,135
Cost of sales	(1,914,055,584)	(1,933,354,164)	(3,847,409,748)	(1,302,218,911)	(2,581,518,445)	(3,883,737,356)
Gross profit	827,569,853	2,783,225,480	3,610,795,333	745,930,139	1,362,614,640	2,108,544,779
Unallocated income and expenses						
Other income			55,125,156			57,202,154
Selling and distribution expenses			(240,772,235)			(169,925,715)
Administrative expenses			(457,357,069)			(366,163,034)
Other expenses			-			(1,540,749)
Operating profit			2,967,791,185			1,628,117,435
Net finance costs			(620,096,460)			(830,716,755)
Profit before tax			2,347,694,725			797,400,680
Income tax expense			(688,523,910)			(190,673,806)
Profit for the year from continuing operations			1,659,170,815			606,726,874

Since the information on expenses, profit before tax, total assets and liabilities for each reportable segment are not provided to the Executive Board on regular basis, the segmented assets and liabilities are not provided.

6 REVENUE

	Group		Company	
	2023	2022	2023	2022
Sale of goods	7,458,205,081	5,992,282,135	5,810,149,701	4,408,781,500
	7,458,205,081	5,992,282,135	5,810,149,701	4,408,781,500

Revenue of the Company consist of local sales of fertilisers and agri machineries, which have been disclosed net of taxes and the revenue of the Group includes sale of seeds, cropcare products and other local sales.

7 OTHER INCOME

		Group		Company	
	Note	2023	2022	2023	2022
Dividend income	7.1	-	-	-	99,999,980
Change in fair value of investment property	16	-	-	14,976,000	46,264,349
Amortisation of deferred income		-	656,102	-	656,102
Used bag sales		3,198,470	7,582,434	3,198,470	7,582,434
Solar power income		29,239,099	37,108,684	27,407,711	35,152,746
Reversal of trade receivable write off		10,173,110	2,282,004	6,116,830	456,500
Rent income		-	-	11,022,000	13,566,000
Sundry income		11,964,477	9,572,930	8,832,181	5,919,692
Disposal of Fixed Assets		550,000	-	550,000	-
Total of other income		55,125,156	57,202,154	72,103,192	209,597,803

7.1 Dividend income

- Unquoted	-	-	-	99,999,980
	-	-	-	99,999,980

8 OTHER EXPENSES

	Group		Company	
	2023	2022	2023	2022
Impairment/ write off of other receivables	-	1,540,749	-	-
Total	-	1,540,749	-	-

9 NET FINANCE COSTS

Finance income

Interest income on FCBU	2,349,915	938,981	-	-
Interest income on deposits	77,763,346	6,420,632	66,061,506	4,656,002
Interest income on repo investment	75,299,131	5,914,013	58,143,947	861,618
Total finance income	155,412,392	13,273,626	124,205,453	5,517,620

Finance costs

Interest expense on long term loans	14,205,070	11,663,737	14,169,844	11,273,707
Interest expense on short term loans	139,592,224	160,207,141	125,028,342	145,107,799
Interest expense on bank overdraft	4,938,955	2,597,237	2,126,048	1,503,253
Interest expense on lease liability	2,609,109	3,667,483	288,103	284,860
Loss on translation of foreign currency	614,163,494	665,854,783	601,859,125	671,571,828
Total finance costs	775,508,852	843,990,381	743,471,462	829,741,447

Net finance income costs recognised in profit or loss

	(620,096,460)	(830,716,755)	(619,266,009)	(824,223,827)
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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

10 PROFIT BEFORE TAX FROM CONTINUING OPERATIONS

Stated after charging all expenses including the following :

For the year ended 31st March,	Note	Group		Company	
		2023	2022	2023	2022
Directors' emoluments		30,739,247	28,952,952	30,739,247	28,952,952
Auditors' remuneration - Statutory audit		1,995,000	1,326,500	820,000	627,000
Employee benefit expenses	10.1	277,726,611	239,345,734	185,379,254	149,844,773
Depreciation	15	106,046,654	69,345,820	89,949,671	54,987,382
Amortisations of intangible assets	18	1,529,329	1,503,511	1,480,769	1,460,351
Amortisations of right of use assets	17.1	9,573,637	10,932,991	773,110	59,492
Impairment loss/(reversal) on inventory	20.1	1,713,826	422,078	-	-
Donation		289,675	60,000	289,675	60,000
Inventory write off		-	956,267	-	-
Subsidy write off	22	1,556,188	14,543,437	1,556,188	14,543,437
Trade receivable write off		8,518,327	677,036	4,064,368	79,895
Impairment loss/(reversal) on trade receivables	21.2	(12,206,535)	(5,939,901)	(6,724,917)	(4,308,204)
Legal expenses		21,738,267	13,928,896	19,924,226	11,374,721

10.1 Employee benefit expenses

Salaries, wages and other related cost		248,199,235	212,156,091	156,817,373	123,419,601
Contributions to defined contribution plans		21,602,687	20,004,026	20,662,093	19,257,665
Provision for retirement benefit obligations	27.1	7,924,689	7,185,617	7,899,788	7,167,507
Total of employee benefit expenses		277,726,611	239,345,734	185,379,254	149,844,773
Number of employees		152	160	151	159

11 INCOME TAX EXPENSE

For the year ended 31st March,	Note	Group		Company	
		2023	2022	2023	2022
Current tax expense - continuing operation					
Taxation on profit for the year	11.1	653,208,812	106,839,894	540,672,676	-
Economic service charge not recoverable written off		642,607	1,030,174	-	-
(Over)/under provision in respect of previous year		6,001	4,579,486	-	-
		653,857,420	112,449,554	540,672,676	-
Deferred tax expense					
Origination of temporary differences	28.1/28.2	20,175,433	78,224,252	18,706,786	72,639,333
Increase in tax rate	28.1/28.2	14,491,057	-	6,542,031	-
Income tax expense on continuing operation		688,523,910	190,673,806	565,921,493	72,639,333

The company has used the new tax rate introduced in the Inland Revenue (Amendment) Act No. 45 of 2022 certified on 19th December 2022, (with retrospective effect from 1st October 2022) for income and deferred taxation. Accordingly, 18% rate was applicable for the first six months and a standard rate of 30% was applied to the second six months.

The rate of 30% has been used for Deferred Tax. The resultant impact has been recognised in the Statement of Profit or Loss and Other Comprehensive Income.

11.1 Reconciliation between current tax expense and the accounting profit

For the year ended 31st March,	Note	Group		Company	
		2023	2022	2023	2022
Profit/(loss) before taxation - continuing operations		2,347,694,725	797,400,680	1,751,451,039	394,235,327
Profit/(loss) before taxation - discontinuing operations	12.1	(295,458)	136,103	-	-
Consolidation adjustments		22,959,155	151,595,958	-	-
Adjusted profit before tax		2,370,358,422	949,132,741	1,751,451,039	394,235,327
Non business income		(201,932,046)	(206,739,991)	(173,962,136)	(196,098,738)
Aggregate disallowable expense		122,420,663	643,743,538	93,956,196	616,461,188
Aggregate allowable expense		(673,091,695)	(120,401,150)	(638,904,185)	(79,770,183)
Subsidy adjustment	11.3	2,492,454,039	1,176,025,690	2,492,454,039	1,176,025,690
Tax loss of group companies for the year		23,742,174	42,242,883	-	-
Statutory income / (loss) from business		4,133,951,557	2,484,003,711	3,524,994,953	1,910,853,284
Non-business income liable to tax		531,014,588	154,332,594	158,986,136	149,178,287
Tax loss claimed during the year		(1,519,823,058)	(2,120,169,254)	(1,322,795,920)	(2,060,031,571)
Taxable income		3,145,143,087	518,167,051	2,361,185,169	-
Income Tax @ 14%		148,219	-	148,219	-
Income Tax @ 18%		254,459,859	52,560,594	244,312,460	-
Income Tax @ 24%		68,476,439	54,279,300	18,500,715	-
Income Tax @ 30%		330,124,295	-	277,711,282	-
Tax on profit for the year		653,208,812	106,839,894	540,672,676	-
Current tax expense on discontinued operations		-	-	-	-
Current tax expense on continuing operations		653,208,812	106,839,894	540,672,676	-
		653,208,812	106,839,894	540,672,676	-
Tax loss reconciliation: Continuing operations					
Tax loss brought forward		1,606,019,298	3,679,092,203	1,322,795,920	3,382,304,931
Adjustment to tax loss brought forward		2,851,458	587,300	-	522,560
Loss incurred during the year		23,742,174	45,653,123	-	-
Loss utilised during the year		(1,519,823,058)	(2,119,313,328)	(1,322,795,926)	(2,060,031,571)
Tax loss carried forward		112,789,872	1,606,019,298	-	(1,322,795,920)

Tax status of companies in the Group which are enjoying income tax exemptions are given in note 11.2

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

11. INCOME TAX EXPENSE CONTD.

11.2 Companies exempt from income tax

Company	Statute	Statute
AgStar Grains (Pvt) Ltd	Section 17 of BOI Law No. 4 of 1978	6 years ending 2023/2024

11.3 The company records subsidy receivable on cash basis in the computation of income tax.

12. DISCONTINUED OPERATIONS

In March 2017, The Directors resolved to discontinue the rice processing operations carried out by Mahaweli Agro Trading (Private) Limited (previously named as Mahaweli Rice Processing Industries (Private) Limited) and AgStar Grains (Private) Limited. The management is committed to the plan to sell and is engaged in active marketing to sell the disposal group at a reasonable price in relation to the fair value of assets and liabilities.

The results of aforesaid operations for the year are presented below:

12.1 Loss after tax from discontinued operations

For the year ended 31st March,	Note	Group		Company	
		2023	2022	2023	2022
Revenue		-	-	-	-
Cost of sales		-	-	-	-
Gross loss		-	-	-	-
Other income		-	-	-	-
Selling and distribution expenses		-	-	-	-
Administrative expenses		(470,458)	(260,647)	-	-
Reversal/(provision) of impairment of receivables		175,000	396,750	-	-
Inventory write off		-	-	-	-
Impairment of property, plant and equipment's		-	-	-	-
Operating profit /(loss)		(295,458)	136,103	-	-
Finance income		-	-	-	-
Finance costs		-	-	-	-
Net finance costs		-	-	-	-
Profit/(loss) before tax from discontinued operations		(295,458)	136,103	-	-
Tax expense:					
Current tax		-	-	-	-
Deferred tax		-	-	-	-
Profit/ (loss) for the year from discontinued operations		(295,458)	136,103	-	-
Other comprehensive income					
Revaluation of property, plant and equipment		-	-	-	-
Actuarial gain/(loss) on defined benefit obligations		-	-	-	-
Total comprehensive income		(295,458)	136,103	-	-

12.2 Major Classes of Assets and Liabilities

For the year ended 31st March,	Note	Group 2023	2022	Company 2023	2022
Classified as Held for Sale					
Assets					
Property, plant and equipment	12.2.1	174,996,283	174,996,283	-	-
Inventories		4,826,195	4,826,195	-	-
Cash in hand and cash at bank		826,321	995,149	-	-
Assets classified as held for sale		180,648,799	180,817,627	-	-
Liabilities					
Trade and other payables		332,069	271,571	-	-
Liabilities directly associated with assets held for sale		332,069	271,571	-	-
Net assets directly associated with disposal group		180,316,730	180,546,056	-	-

12.2.1 Movement in property, plant and equipment held for sales

For the year ended 31st March,	Note	Group 2023	2022	Company 2023	2022
Net carrying amount as at 31st March 2022		174,996,283	174,836,098	-	-
Additions		-	160,185	-	-
Net carrying amount as at 31st March 2023		174,996,283	174,996,283	-	-

12.3 Cash flows generated from/(used in) discontinued operations

Net cash flow (used in)/ from operating activities	(168,830)	(82,764)	-	-
Net cash (outflow) /inflow	(168,830)	(82,764)	-	-

12.4 Earnings per share

Earning / (loss) per share for the year from discontinued operations	(0.0006)	0.0003	-	-
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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

12. DISCONTINUED OPERATIONS CONTD.

12.5 Measurement of fair values

The Group uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities, that are measured at fair value.

Fair value measurement hierarchy

31st March 2023	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Plant and machineries	-	-	173,379,667	173,379,667
	-	-	173,379,667	173,379,667
31st March 2022	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Plant and machineries	-	-	173,379,667	173,379,667
	-	-	173,379,667	173,379,667

Assets and liabilities measured at fair value - Recurring

Property	Property	Significant unobservable inputs	
		Estimated value	Correlation to fair value
Plant and machineries	- Market comparable method	Rs. 173,379,667	Positive

Market comparison technique : The valuation model considers market prices for similar items when they are available, and depreciated replacement cost when appropriate. Depreciated replacement cost reflects adjustments for physical deterioration as well as functional and economic obsolescence.

Property, plant and equipment includes other assets amounting to Rs.1,616,616 which is immaterial has not been valued.

13 EARNINGS PER SHARE**13.1 Basic earnings per share**

Basic earnings per share is calculated, based on the net profit attributable to ordinary shareholders and weighted average number of ordinary shares outstanding. Basic earnings for an ordinary share is as follows.

For the year ended 31st March,	Group		Company	
	2023	2022	2023	2022
Basic earnings per share is calculated as follows:				
Profit attributable to ordinary shareholders (Rs.)	1,668,886,398	618,915,870	1,185,529,546	321,595,994
Weighted average number of ordinary shares				
Issued ordinary shares at the beginning of the year (Nos)	487,500,000	325,000,000	487,500,000	325,000,000
Effect of Rights issue (Nos)	-	82,420,256	-	82,420,256
Weighted average number of ordinary shares in issue (Nos)	487,500,000	407,420,256	487,500,000	407,420,256
Earnings per share (Rs.)	3.42	1.52	2.43	0.79

There were no potentially dilutive ordinary shares at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

14 DIVIDEND PER SHARE

For the year ended 31st March,	Group/Company		
	No of shares	2023	2022
Final dividend paid			
Voting shares	461,289,465	-	61,505,262
Non-voting (Class X) shares	26,210,535	-	3,494,738
	487,500,000	-	65,000,000
Dividend per share (Rs.)		-	0.20

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

15 PROPERTY, PLANT AND EQUIPMENT- COMPANY

Cost / valuation	Land	Building on lease hold land	Building	Plant and machinery
Balance as at 1st April 2021	1,079,700,000	26,800,000	447,423,371	98,182,695
Additions during the year	-	-	888,492	6,986,111
Transfer from capital work-in-progress	-	-	153,693,585	-
Surplus on revaluation	297,124,000	17,880,000	253,139,990	-
Adjustments on revaluation	-	(2,680,000)	(32,195,438)	-
Disposals / write off	-	-	-	-
Balance as at 31st March 2022	1,376,824,000	42,000,000	822,950,000	105,168,806
Additions during the year	-	-	10,554,080	3,657,082
Reclassification from investment property	-	-	15,066,000	-
Disposals / write off	-	-	-	-
Balance as at 31st March 2023	1,376,824,000	42,000,000	848,570,080	108,825,888
Accumulated Depreciation				
Balance as at 1st April 2021	-	1,340,000	9,149,441	80,450,341
Charge for the year	-	1,340,000	23,045,997	5,988,884
Adjustments on revaluation	-	(2,680,000)	(32,195,438)	-
Disposals / write off	-	-	-	-
Balance as at 31st March 2022	-	-	-	86,439,225
Charge for the year	-	-	43,665,493	5,819,670
Disposals / write off	-	-	-	-
Balance as at 31st March 2023	-	-	43,665,493	92,258,895
Net carrying amount as at 31st March 2023	1,376,824,000	42,000,000	804,904,587	16,566,993
Net carrying amount as at 31st March 2022	1,376,824,000	42,000,000	822,950,000	18,729,581

Motor vehicles	Furniture and fitting	Factory equipment	Pallets	Office and computer equipments	Solar power	Capital work-in-progress	Total
76,200,000	17,853,057	4,854,314	3,840,362	40,146,084	126,451,476	379,441,722	2,300,893,081
4,875,000	23,682,264	87,000	-	2,752,360	-	178,168,723	217,439,950
-	-	-	-	-	-	(153,693,585)	-
75,846,250	-	-	-	-	-	-	643,990,240
(22,921,250)	-	-	-	-	-	-	(57,796,688)
-	-	-	-	(1,078,466)	-	-	(1,078,466)
134,000,000	41,535,321	4,941,314	3,840,362	41,819,978	126,451,476	403,916,860	3,103,448,117
-	1,425,816	382,154	-	1,942,072	-	70,962,429	88,923,633
-	-	-	-	-	-	-	15,066,000
-	-	-	-	(455,600)	-	-	(455,600)
134,000,000	42,961,137	5,323,468	3,840,362	43,306,450	126,451,476	474,879,289	3,206,982,150
6,950,000	15,898,221	4,400,934	3,437,762	35,186,725	1,429,263	-	158,242,687
15,971,250	621,937	280,200	200,058	2,480,997	5,058,059	-	54,987,382
(22,921,250)	-	-	-	-	-	-	(57,796,688)
-	-	-	-	(1,078,466)	-	-	(1,078,466)
-	16,520,158	4,681,134	3,637,820	36,589,256	6,487,322	-	154,354,915
26,800,000	6,075,677	174,327	147,069	2,209,376	5,058,059	-	89,949,671
-	-	-	-	(455,603)	-	-	(455,603)
26,800,000	22,595,835	4,855,461	3,784,889	38,343,029	11,545,381	-	243,848,983
107,200,000	20,365,302	468,007	55,473	4,963,421	114,906,095	474,879,289	2,963,133,167
134,000,000	25,015,163	260,180	202,542	5,230,722	119,964,154	403,916,860	2,949,093,202

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

15 PROPERTY, PLANT AND EQUIPMENT - GROUP

Cost / valuation	Land	Building on lease hold land	Building	Improvements on lease hold Building	Plant and machinery
Balance as at 1st April 2021	1,150,700,000	100,810,337	530,459,663	3,432,925	143,119,555
Additions during the year	-	-	888,492	-	14,974,211
Transfer from capital work-in-progress	-	-	153,693,585	-	-
Surplus on revaluation	322,124,000	41,899,663	297,726,840	-	-
Adjustments on revaluation	-	(6,470,000)	(44,228,580)	-	-
Disposals / write off	-	-	-	-	-
Balance as at 31st March 2022	1,472,824,000	136,240,000	938,540,000	3,432,925	158,093,766
From formation of subsidiary*				-	-
Additions during the year	-	-	10,554,080	-	3,657,082
Disposals / write off	-	-	-	-	-
Balance as at 31st March 2023	1,472,824,000	136,240,000	949,094,080	3,432,925	161,750,848
Accumulated depreciation					
Balance as at 1st April 2021	-	1,340,000	16,815,730	672,199	104,459,113
Charge for the year	-	5,130,000	27,412,850	348,021	9,016,597
Disposals / write off	-	-	-	-	-
Adjustments on revaluation	-	(6,470,000)	(44,228,580)	-	-
Balance as at 31st March 2022	-	-	-	1,020,220	113,475,710
Charge for the year	-	6,812,000	46,591,693	348,022	8,927,461
Disposals / write off	-	-	-	-	-
Balance as at 31st March 2023	-	6,812,000	46,591,693	1,368,242	122,403,171
Net carrying amount as at 31st March 2023	1,472,824,000	129,428,000	902,502,387	2,064,683	39,347,677
Net carrying amount as at 31st March 2022	1,472,824,000	136,240,000	938,540,000	2,412,705	44,618,056

Motor vehicles	Furniture and fitting	Factory equipment	Pallets	Office and computer equipments	Solar power	Capital work-in-progress	Total
76,200,000	20,082,446	9,995,072	6,183,022	44,482,986	132,925,364	379,846,422	2,598,237,792
4,875,000	23,942,905	2,229,542	27,500	3,051,260	-	178,168,723	228,157,633
-	-	-	-	-	-	(153,693,585)	-
75,846,250	-	-	-	-	-	-	737,596,753
(22,921,250)	-	-	-	-	-	-	(73,619,830)
-	-	-	-	(1,078,466)	-	-	(1,078,466)
134,000,000	44,025,351	12,224,614	6,210,522	46,455,780	132,925,364	404,321,560	3,489,293,882
-	-	651,838	-	30,250	-	-	682,088
-	1,425,816	382,154	-	4,809,801	-	70,962,429	91,791,362
-	-	-	-	(455,600)	-	-	(455,600)
134,000,000	45,451,167	13,258,606	6,210,522	50,840,231	132,925,364	475,283,989	3,581,311,732
6,950,000	17,200,139	4,857,041	3,730,250	37,639,748	1,494,002	-	195,158,220
15,971,250	890,907	1,125,703	927,239	3,206,239	5,317,014	-	69,345,820
-	-	-	-	(1,078,466)	-	-	(1,078,466)
(22,921,250)	-	-	-	-	-	-	(73,619,830)
-	18,091,046	5,982,744	4,657,489	39,767,521	6,811,016	-	189,805,744
26,800,000	6,328,861	1,110,770	876,082	2,934,750	5,317,015	-	106,046,654
-	-	-	-	(455,603)	-	-	(455,603)
26,800,000	24,419,907	7,093,514	5,533,571	42,246,668	12,128,031	-	295,396,795
107,200,000	21,031,260	6,165,092	676,951	8,593,563	120,797,333	475,283,989	3,285,914,937
134,000,000	25,934,305	6,241,870	1,553,033	6,688,259	126,114,348	404,321,560	3,299,488,138

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

15 PROPERTY, PLANT AND EQUIPMENT CONTD.

15.1 Information on the land and buildings of the Group

Location	Revalued Date	Land extent (Perches)	Building (Square feet)	No. of Buildings	Cost or revaluation of land (Rs)	Cost or revaluation of buildings (Rs)	Total value (Rs)	Accumulated depreciation (Rs)	Net book value of the buildings (Rs)	Total net book value (Rs)
Land and building held under company and group										
Borella	31st March 2022	16.32	6,460	1 building	195,840,000	37,160,000	233,000,000	(1,894,091)	35,265,909	231,105,909
Bawa Place, Colombo 08										
Dambulla	31st March 2022	63.75	10,165	4 buildings	25,500,000	32,500,000	58,000,000	(1,625,000)	30,875,000	56,375,000
Ihalakatuipotha Watta, Pannampitiya Village, Lenadora										
Ekala	31st March 2022	1,419.55	101,449	11 buildings	1,135,640,000	585,354,080	1,720,994,080	(29,181,102)	556,172,978	1,691,812,978
No.93, Minuwangoda Road, Ekala										
Anuradhapura	31st March 2022	579.22	59,864	10 buildings	115,844,000	294,080,000	409,924,000	(14,656,000)	279,424,000	395,268,000
Puliyankulama										
Building on lease hold land										
Polonnaruwa	31st March 2022	-	7,970	1 building	-	42,000,000	42,000,000	(2,100,000)	39,900,000	39,900,000
Ambalamkele										
Sandunpura, Dehiattakandiya	31st March 2022	-	41,600	9 buildings	-	94,240,000	94,240,000	(3,947,500)	90,292,500	90,292,500
					1,472,824,000	1,085,334,080	2,558,158,080	(53,403,693)	1,031,930,387	2,504,754,387

The lands and buildings at Borella, Anuradapura, Dambulla and Ekala belong to AgStar PLC and valued by an Independent valuer Mr. W. M Chandrasena, a member of the Institute of Valuers of Sri Lanka in determining the fair value of the land and buildings as at 31st March 2022. The Valuer considered the market evidences and trends in determining the fair value of the property. The building constructed on the land has been measured initially at its cost. After initial recognition, the Company adopts fair value model for Property, Plant and Equipment as per the Sri Lanka Accounting Standard LKAS 16.

The Group have not pledged any property, plant and equipment as security for liabilities or have temporary idle assets as at 31st March 2023

15 PROPERTY, PLANT AND EQUIPMENT CONTD.

15.2 Motor vehicles

The Group has revalued its motor vehicles as at 31st March 2022 by a professional independent valuer.

Type of the vehicle	No of vehicles	Revalued Date	Cost / Revalued amount (Rs.)	Accumulated depreciation (Rs)	Net book value of the motor vehicles (Rs)
Motor vehicle held under company and group					
Motor cars	7	31st March 2022	115,000,000	23,000,000	92,000,000
Cab	1	31st March 2022	2,400,000	480,000	1,920,000
Van	1	31st March 2022	12,000,000	2,400,000	9,600,000
Lorry	1	31st March 2022	4,600,000	920,000	3,680,000
Motor vehicles under discontinued operations					
Tractor	1	-	425,000	241,494	183,506

15.3 The carrying amount of revalued land, buildings and motor vehicles if they were carried at cost less depreciation, would be as follows;

For the year ended 31st March,	Group		Company	
	2023	2022	2023	2022
Cost				
Land	949,714,240	949,714,240	949,714,240	949,714,240
Buildings	737,490,784	726,936,703	668,578,106	658,024,025
Motor vehicles	85,523,137	85,523,137	85,523,137	85,523,137
	1,772,728,161	1,762,174,080	1,703,815,483	1,693,261,402
Accumulated depreciation				
Buildings	(148,896,242)	(112,077,231)	(115,645,761)	(82,272,385)
Motor vehicles	(79,272,927)	(63,391,622)	(79,272,927)	(63,391,622)
	(228,169,169)	(175,468,853)	(194,918,688)	(145,664,007)
Carrying value	1,544,558,992	1,586,705,227	1,508,896,795	1,547,597,395

15.4 Fully depreciated but still in use

The cost of fully depreciated property, plant and equipment of the Group and the Company which are still in use amounted to,

For the year ended 31st March,	Group		Company	
	2023	2022	2023	2022
Fully depreciated property, plant and equipment	136,118,795	125,697,156	121,599,072	112,888,655

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

15 PROPERTY, PLANT AND EQUIPMENT CONTD.

15.5 Property, plant and equipment under construction

The board has approved to construct an additional 85,000sq.ft. of warehousing space in Ekala. The Group has started construction and costs incurred up to 31st March 2023 totalled Rs. 384.89 Mn. Including in this amount are capitalised borrowing costs related to the construction of the warehouse of Rs. 46.65 Mn, calculated using a average capitalisation rate of 8.5%.

The Board also approved to construct a warehouse building with lab in Polannaruwa (8,900 Sq.ft), renovation of bag store and workshop building (3,895 Sq.ft).

15.6 Fair value measurement

The Group and the Company uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities, that are measured at fair value.

Fair value measurement hierarchy

31st March 2023	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	2,504,754,387	2,504,754,387
Motor vehicles	-	-	107,200,000	107,200,000
	-	-	2,611,954,387	2,611,954,387
31st March 2022	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	2,547,604,000	2,547,604,000
Motor vehicles	-	-	134,000,000	134,000,000
	-	-	2,681,604,000	2,681,604,000

Assets and liabilities measured at fair value - Recurring

Property	Method of valuation	Significant unobservable inputs		
		Estimated price per perch	Estimated price per square foot	Correlation to fair value
Freehold land and building				
Borella	- Market comparable method	Rs. 12,000,000	Rs. 8,500	Positive
Dambulla	- Market comparable method	Rs. 400,000	Rs. 3,750 - Rs. 5,000	Positive
Ekala	- Market comparable method	Rs. 800,000	Rs. 2,500 - Rs. 20,000	Positive
Anuradhapura	- Market comparable method	Rs. 200,000	Rs. 3,270 - Rs. 8,000	Positive
Building on lease hold land				
Polonnaruwa	- Market comparable method	-	Rs. 3,900 - Rs. 8,000	Positive
Dehiyattakandiya	- Market comparable method	-	Rs. 3,500 - Rs. 6,000	Positive
Property	Method of valuation	Significant unobservable inputs		
		Estimated price per square foot	Correlation to fair value	
Motor vehicles				
Motor cars	- Market comparable method	Rs. 9,000,000 to Rs.20,000,000		Positive
Cab	- Market comparable method	Rs. 2,400,000		Positive
Van	- Market comparable method	Rs. 12,000,000		Positive
Lorry	- Market comparable method	Rs. 4,600,000		Positive

Market comparison technique : The valuation model considers market prices for similar items when they are available, and depreciated replacement cost when appropriate. Depreciated replacement cost reflects adjustments for physical deterioration as well as functional and economic obsolescence.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

16 INVESTMENT PROPERTY

For the year ended 31st March,	Group		Company	
	2023	2022	2023	2022
Balance at the beginning of the year	-	-	211,590,000	165,325,651
Reclassification to property plant and equipment	-	-	(15,066,000)	-
Change in fair value during the year	-	-	14,976,000	46,264,349
Balance at the end of the year	-	-	211,500,000	211,590,000

	Land	Buildings	Total
Balance at the beginning of the year	96,000,000	115,590,000	211,590,000
Reclassification to property plant and equipment	-	(15,066,000)	(15,066,000)
Change in fair value during the year	7,000,000	7,976,000	14,976,000
Balance at the end of the year	103,000,000	108,500,000	211,500,000

The Company has rented out part of the land and building at Anuaradhapura and Ekala respectively to other companies in the Group for operation purposes and reclassified to property, plant and equipment in the Group. The income generated from these investment properties are disclosed under note no 7 as 'Rent income' and there are no any direct operating expenses identified related to generating rental income.

16.1 Measurement of fair value

a) Fair value hierarchy

The Group and the Company uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities, that are measured at fair value.

Fair value measurement hierarchy

31st March 2023	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	211,500,000	211,500,000
	-	-	211,500,000	211,500,000

b) Valuation technique and significant unobservable inputs

Property	Method of valuation	Significant unobservable inputs		
		Estimated price per perch	Estimated price per square foot	Correlation to fair value
Ekala	- Market comparable method	Rs. 800,000	Rs. 2,500 - Rs. 7,200	Positive
Anuradhapura	- Market comparable method	Rs. 200,000	Rs. 6,500 - Rs. 7,000	Positive

Market comparison technique : The valuation model considers market prices for similar items when they are available, and depreciated replacement cost when appropriate. Depreciated replacement cost reflects adjustments for physical deterioration as well as functional and economic obsolescence.

17 LEASE ARRANGEMENTS

For the year ended 31st March,	Group		Company	
	2023	2022	2023	2022

17.1 Right of use asset

Land and buildings - cost/revaluation

Balance at the beginning of the year	89,219,245	9,552,520	87,178,476	65,948,370
Additions during the year	-	42,824,978	-	-
Revaluation surplus	-	36,841,747	-	21,230,106
Balance as at end of the year	89,219,245	89,219,245	87,178,476	87,178,476

Accumulated amortisation

Balance at the beginning of the year	13,303,247	2,370,256	64,178,476	64,118,984
Amortisation recognised in the statement of profit or loss	9,573,637	10,932,991	773,110	59,492
Balance as at end of the year	22,876,884	13,303,247	64,951,586	64,178,476
Carrying amount	66,342,361	75,915,998	22,226,890	23,000,000

Details of revalued right of use lands - Group

Entity name	Location	Land extent	Carrying value	Revalued date
AgStar PLC	Polonnaruwa	320 perch	23,000,000	31st March 2022
Mahaweli Agro Trading (Pvt) Ltd	Dehiattakandiya	174 perch	20,200,000	31st March 2022

17.2 Lease liabilities

Balance at the beginning of the year	33,413,335	6,678,074	2,040,732	2,005,872
Additions during the year	-	42,824,978	-	-
	33,413,335	49,503,052	2,040,732	2,005,872
Interest amortised recognised in the Statement of Profit or Loss	2,609,109	3,667,483	288,103	284,860
Payment recognised in the Statement of Cash Flows	(11,357,199)	(19,757,200)	(250,000)	(250,000)
Balance as at end of the year	24,665,245	33,413,335	2,078,835	2,040,732

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

17 LEASE ARRANGEMENTS CONTD.

17.2 Lease liabilities

For the year ended 31st March,	Group		Company	
	2023	2022	2023	2022
Maturity analysis of lease liabilities - contractual undiscounted cashflows				
Less than one year	10,769,700	11,369,700	262,500	262,500
One to five years	12,787,448	22,899,101	1,405,688	1,378,781
More than five year	17,196,233	17,854,279	8,139,488	8,428,894
	40,753,381	52,123,080	9,807,676	10,070,175
Lease liabilities included in the statement of financial position				
Current	8,952,014	8,896,700	29,315	25,602
Non-current	15,713,231	24,516,635	2,049,520	2,015,130
	24,665,245	33,413,335	2,078,835	2,040,732

18 INTANGIBLE ASSETS

		Group		Company	
For the year ended 31st March,	Note	2023	2022	2023	2022
Gross Value					
Balance at the beginning of the year		115,010,790	114,098,790	6,099,194	5,349,194
Additions during the year		-	912,000	-	750,000
Balance at the end of the year		115,010,790	115,010,790	6,099,194	6,099,194
Amortisation					
Balance at the beginning of the year		4,266,996	2,763,485	2,218,443	758,092
Amortisation during the year		1,529,329	1,503,511	1,480,769	1,460,351
Balance at the end of the year		5,796,325	4,266,996	3,699,212	2,218,443
Carrying Value		109,214,465	110,743,794	2,399,982	3,880,751

Summary of intangible assets - Group	Software and Website	Exclusive Dealership - Tohoku Seed	Goodwill	Total
Gross Value				
Balance at the beginning of the year	8,584,798	50,000,000	56,425,992	115,010,790
Balance at the end of the year	8,584,798	50,000,000	56,425,992	115,010,790
Amortisation				
Balance at the beginning of the year	4,266,996	-	-	4,266,996
Amortisation during the year	1,529,329	-	-	1,529,329
Balance at the end of the year	5,796,325	-	-	5,796,325
Carrying Value	2,788,473	50,000,000	56,425,992	109,214,465

Software and website

Software includes SAGE 300 accounting package, order taking system and the websites developed by Euro Asia Tea (Pvt) Ltd and AgStar PLC.

Exclusive Dealership - Tohoku Seed

The AgStar Seeds (Pvt) Ltd, acquired the exclusive dealership of Tohoku Seed in Sri Lanka and thereby the rights to import, distribute and sell the varieties of hybrid vegetable seeds, supplied by Tohoku, to Sri Lanka and rights to do all other activities ancillary and/or consequential thereto, including trials, demonstrations, communications, promotions, marketing, collections, use of Intellectual Property and other material. The management is of the opinion that the aforementioned dealership has an indefinite useful life as their associated brand awareness and recognition and the company intends to utilise the Tohoku dealership for the foreseeable future. There are no legal, regulatory, contractual, competitive, economic or other factors that may limit its useful life and accordingly, the carrying amount of this exclusive dealership is determined after testing for impairment annually. Following assumptions are made to test for any impairment as at 31st March 2023.

	2023	2022
Annual sales growth for next five years	19%	19%
Gross margin	10% - 16%	10% - 16%
Discount rate	18%	21%
Terminal growth rate	1%	1%

Goodwill on acquisition (Unimpaired)

Goodwill has arisen from the acquisition of Prith Seeds (Private) Limited.

The recoverable amount of CGU is determined based on value-in-use calculations. This calculation use discounted cash flow projections based on financial budgets approved by management covering five year periods. A long-term growth rate into perpetuity is applied immediately at the end of the five year forecast period and is based on the lower of the nominal GDP growth rate forecasts for the country of operations and the long-term compound annual EBITDA growth rate estimated by management.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

18 INTANGIBLE ASSETS CONTD.

The projected EBITDA was calculated based on past performance and was adjusted every two years to account for expected revenue growth. The discount rate was a pre-tax measure calculated using the rate of a five year government treasury bond issued in the relevant market and in the same currency as the cashflows, by adding an appropriate risk premium.

The key assumptions in the calculation of value in use were given as follows.

	2023	2022
Projected EBITDA growth rate (average of next five years)	16%	6%
Discount rate	18%	21%
Terminal growth rate	1%	1%

19 INVESTMENTS IN SUBSIDIARIES

As at 31st March,	Company/ Group holding		No of shares		Cost as at 31st March	
	2023	2022	2023	2022	2023	2022
AgStar Cropcare (Pvt) Ltd.	100%	100%	5,000,000	5,000,000	37,999,990	37,999,990
AgStar Seeds (Pvt) Ltd.	100%	100%	5,000,000	5,000,000	500,000	500,000
AgStar Grains (Pvt) Ltd.	100%	100%	34,000,000	34,000,000	340,000,000	340,000,000
Mahaweli Agro Trading (Pvt) Ltd.	100%	100%	19,550,000	19,550,000	172,700,000	172,700,000
AgStar Exports (Pvt) Ltd.	100%	100%	4,500,000	4,500,000	45,000,000	45,000,000
Prith Seeds (Pvt) Ltd.	100%	100%	10,000	10,000	80,229,098	80,229,098
Euro Asia Tea (Pvt) Ltd	53.78%	53.78%	51,000,000	51,000,000	51,000,000	51,000,000
			119,060,000	119,060,000	727,429,088	727,429,088
Provision for fall in value of investments (Note 19.1)					(542,650,000)	(542,650,000)
					184,779,088	184,779,088

- 19.1** The Company has made provisions against the investments in Mahaweli Agro Trading (Pvt) Limited, AgStar Grains (Pvt) Limited and AgStar Exports (Pvt) Limited of Rs.172.7 million (2022 - Rs.172.7 million), Rs.340 million (2022 - Rs.340 million) and Rs. 29.95 million (2022 - Rs.29.95 million) respectively based on their net asset values as at 31st March 2023.

20 INVENTORIES

For the year ended 31st March,	Note	Group		Company	
		2023	2022	2023	2022
Raw materials and consumables		1,788,400,494	725,127,526	1,589,585,489	611,564,824
Finished goods		833,167,625	587,405,245	82,477,640	373,353,133
Spare parts		13,674,388	4,284,073	13,674,388	4,284,073
Goods in transit		-	982,792,619	-	973,494,887
		2,635,242,507	2,299,609,463	1,685,737,517	1,962,696,917
Provision for impairment of inventories	20.1	(3,047,062)	(1,333,236)	-	-
		2,632,195,445	2,298,276,227	1,685,737,517	1,962,696,917

20.1 Provision for impairment of inventories

Balance at the beginning of the year		1,333,236	4,335,288	-	-
(Reversal)/ provision during the year		1,713,826	422,078	-	-
Write - offs		-	(3,424,130)	-	-
Balance at end of the year		3,047,062	1,333,236	-	-

21 TRADE AND OTHER RECEIVABLES

Trade receivables		633,029,017	198,843,771	370,248,338	61,777,392
Tax recoverable	21.1	59,209,932	35,868,309	30,885,051	30,780,281
Other receivables		22,027,394	15,769,094	11,708,652	5,073,382
Deposits and prepayments		17,190,127	17,697,830	8,053,056	10,972,896
Prepayments to suppliers		105,463,510	139,886,321	33,499,557	126,974,177
Advances		2,925,280	21,830,811	2,925,280	21,830,811
Interest receivable		14,709,512	2,894,437	10,911,627	2,728,074
		854,554,772	432,790,573	468,231,561	260,137,013
Provision for impairment of trade receivables	21.2	(48,281,303)	(60,487,838)	(18,406,239)	(25,131,156)
Provision for impairment of other receivables		(9,681,282)	(9,681,282)	-	-
Total of trade and other receivables		796,592,187	362,621,453	449,825,322	235,005,857

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

21 TRADE AND OTHER RECEIVABLES CONTD.

21.1 Tax recoverable

For the year ended 31st March,	Note	Group		Company	
		2023	2022	2023	2022
Withholding tax recoverable		1,124,995	687,652	565,288	331,071
Economic service charge recoverable		15,995,847	16,638,454	15,995,847	15,995,847
Value added tax recoverable		46,064,090	22,076,379	14,323,916	14,323,916
Nation building tax recoverable		-	440,824	-	129,447
Provision for Value added tax recoverable		(3,975,000)	(3,975,000)	-	-
Total tax receivables		59,209,932	35,868,309	30,885,051	30,780,281

21.2 Provision for impairment of trade receivables

Balance at the beginning of the year	60,487,838	70,739,835	25,131,156	29,439,360
Provision/ (reversal) during the year	(12,206,535)	(5,939,901)	(6,724,917)	(4,308,204)
Write - offs	-	(4,312,096)	-	-
Balance at end of the year	48,281,303	60,487,838	18,406,239	25,131,156

22 SUBSIDY RECEIVABLE

Balance at the beginning of the year	3,038,363,195	4,020,419,536	2,844,393,846	4,020,419,536
Additions during the year	-	290,986,222	-	97,016,873
Receipt during the year	(2,647,293,612)	(1,258,499,126)	(2,490,897,850)	(1,258,499,126)
Written off during the year	(1,556,188)	(14,543,437)	(1,556,188)	(14,543,437)
Balance at end of the year	389,513,395	3,038,363,195	351,939,808	2,844,393,846

23 RELATED PARTY RECEIVABLES AND PAYABLES

For the year ended 31st March,	Note	Group		Company	
		2023	2022	2023	2022
23.1	Amounts due from related companies				
AgStar Cropcare (Pvt) Ltd.		-	-	241,465,384	-
AgStar Seeds (Pvt) Ltd.		-	-	156,992,210	46,521,910
AgStar Grains (Pvt) Ltd.		-	-	238,024,953	237,958,823
Mahaweli Agro Trading (Pvt) Ltd		-	-	298,100,507	376,068,022
AgStar Exports (Pvt) Ltd.		-	-	35,836,259	27,620,985
Prith Seeds (Pvt) Ltd.		-	-	11,286,998	547,588
Euro Asia Tea (Pvt) Ltd		-	-	-	2,165,630
		-	-	981,706,311	690,882,958
Provision for receivable from AgStar Grains (Pvt) Ltd.		-	-	(88,273,000)	(88,273,000)
Balance at end of the year		-	-	893,433,311	602,609,958

23.2 Amounts due to related companies

Euro Asia Tea (Pvt) Ltd	-	-	289,962	-
AgStar Cropcare (Pvt) Ltd.	-	-	-	54,645,386
Balance at end of the year	-	-	289,962	54,645,386

24 CASH AND CASH EQUIVALENTS

As at 31st March,	Note	Group		Company	
		2023	2022	2023	2022
Short term deposits	24.1	93,992,050	77,501,429	61,098,902	48,190,549
Cash in hand		1,902,162	3,100,981	1,091,762	919,261
Cash at Bank		537,774,908	328,810,497	475,595,826	23,048,313
Cash and cash equivalents in the statements of financial position		633,669,120	409,412,907	537,786,490	72,158,123
Bank overdraft for cash management purposes		(14,306,354)	(59,528,345)	-	(52,954,312)
Cash and cash equivalents classified as held for sale -net	12.2	826,321	995,149	-	-
Cash and cash equivalents for the purpose of cash flow statements		620,189,087	350,879,711	537,786,490	19,203,811

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

24 CASH AND CASH EQUIVALENTS CONTD.

24.1 Short term deposits

	Group		Company	
	2023	2022	2023	2022
Fixed deposits - HNB	33,139,772	31,712,701	33,139,772	31,712,701
Fixed deposits - Peoples's Bank	17,384,129	16,477,848	17,384,129	16,477,848
Foreign currency fixed deposits - Sampath Bank	43,468,149	29,310,880	10,575,001	-
	93,992,050	77,501,429	61,098,902	48,190,549

Security details on bank overdraft facilities

Bank	Currency	Facility Value	Facility Period	Nature of assets pledge
Commercial Bank of Ceylon PLC	LKR	25m	1 Year	General terms & conditions
Hatton National Bank PLC	LKR	25m	1 Year	Rs.20 Mn Fixed deposit
MCB Bank	LKR	25m	1 Year	Paripasu mortgage bond

25 STATED CAPITAL

	Group / Company	
As at 31st March,	2023	2022
Stated Capital	2,007,856,833	2,007,856,833
Issue and fully paid		
Ordinary shares	487,500,000	487,500,000

The holder of ordinary shares are entitled to receive dividend as declared from time to time and eligible for one vote for shares at general meeting of the company.

26 NON-CONTROLLING INTEREST

(a) Movements in non-controlling interest (NCI) during the period ended 31st March

	Group	
	2023	2022
Balance at the beginning of the year	30,645,084	42,697,977
Share of net profit of subsidiaries	(10,011,041)	(12,052,893)
Share of other comprehensive income of subsidiaries	-	-
Balance at the end of the year	20,634,043	30,645,084

(b) NCI Percentage for the period ended 31st March

	Ownership interest held by NCI	
Company name	2023	2022
Euro Asia Tea (Pvt) Ltd	46.22%	46.22%

(c) Summarised Financial Statements of Euro Asia Tea (Pvt) Ltd

	Group	
	31st March 2023	31st March 2022
Statement of Financial Position		
Non-current assets	51,980,802	64,084,445
Current assets	23,629,071	38,252,280
Non-current liabilities	12,315,304	18,499,764
Current liabilities	18,648,970	17,530,608
Net assets	44,645,599	66,306,353
Carrying amount of NCI	20,634,043	30,645,084
Statement of Profit or Loss and Other Comprehensive Income		
Revenue	96,747,614	59,279,668
Profit/(loss) for the year	(21,660,753)	(26,078,682)
Other comprehensive (expense) / income for the year, net of tax	-	-
Total Comprehensive Income	(21,660,753)	(26,078,682)
Profit/(loss) attributable to NCI	(10,011,041)	(12,052,893)
Other comprehensive (expenses) / income attributable to NCI, net of tax	-	-
Total comprehensive income attributable to NCI	(10,011,041)	(12,052,893)

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

27 EMPLOYEE BENEFITS

27.1 Movement in net defined benefit obligation

As at 31st March,	Group		Company	
	2023	2022	2023	2022
Balance at the beginning of the year	42,559,785	33,846,451	42,480,727	33,801,012
Include in profit or loss				
Past service cost	-	(2,534,519)	-	(2,534,519)
Current service cost	1,910,381	7,009,239	1,896,549	6,997,945
Interest cost	6,014,308	2,710,897	6,003,239	2,704,081
	7,924,689	7,185,617	7,899,788	7,167,507
Include in other comprehensive income				
Actuarial loss/(gain)	1,640,075	4,465,602	1,633,369	4,450,093
	52,124,549	45,497,670	52,013,884	45,418,612
Other				
Benefits paid	(5,115,476)	(2,937,885)	(5,115,476)	(2,937,885)
Balance at end of the year	47,009,073	42,559,785	46,898,408	42,480,727

The provision for retirement benefit obligations for the year is based on the actuarial valuation carried out by professionally qualified actuaries, Messrs. Actuarial & Management Consultant (Pvt) Ltd, as at 31st March 2023. The actuarial present value of the promised retirement benefit as at 31st March 2023 amounted to Rs.46,898,408/- (2022- Rs.42,480,727/-) for the Company and Rs.47,009,072/- (2022- Rs.42,559,072) for the Group. The liability is not externally funded.

27.2 Defined benefit obligation - The following were the principal actuarial assumptions at the reporting date.

	2023	2022
Actuarial assumptions		
Discount rate	14%	15%
Future salary growth	11.5%	12.5%
Retirement age	60 years	60 years
Mortality	A 1967/70 mortality table issued by the Institute of Actuaries, London.	

That the Company will continue in business as a going concern

The weighted average duration of the Retirement Benefit Obligation at the end of the reporting period is 5.2 years. (2022 – 7.9 years)

As per the guidelines issued by the Institute of Chartered Accountants of Sri Lanka, the discount rates have been adjusted to risk free rate to match the characteristics of the gratuity payment liability and the resulting yield to maturity for the purpose of valuing employee benefit obligations as per LKAS No 19 “Employee Benefits”.

27.3 Sensitivity analysis

The following table demonstrates the sensitivity to a reasonably possible changes at the reporting date in the key assumptions employed with all other variables held constant in the employment benefit liability measurement. The sensitivity of the statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the employment benefit obligation for the year.

	Group		Company	
	2023	2022	2023	2022
Discount rate				
1% increase	(2,078,925)	(2,411,669)	(2,053,418)	(2,395,734)
1% decrease	2,268,241	2,679,156	2,234,760	2,659,001
Future salary growth rate				
1% increase	2,886,298	2,872,760	2,852,305	2,852,305
1% decrease	(2,632,319)	(2,622,489)	(2,606,112)	(2,606,112)

Although the analysis does not take accounts of the distribution of full cash flows expected under the plan, it does provide approximation of sensitivity of the assumption given.

27.4 Maturity analysis of the payments

The following payments are expected on employee benefit liabilities in future years

	Group		Company	
	2023	2022	2023	2022
Less than one year	9,974,692	2,621,032	9,974,692	2,621,032
Between 1-2 years	4,528,987	5,707,467	4,528,987	5,707,467
Between 3-5 years	7,383,993	5,127,427	7,383,993	5,127,427
Beyond 5 years	25,121,401	29,103,859	25,010,736	29,024,801
Total expected payments	47,009,073	42,559,785	46,898,408	42,480,727
Weighted average duration (years) of define benefit obligation				
	5.20	7.19	5.20	7.19

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

28 DEFERRED TAX (ASSETS)/LIABILITIES

28.1 Deferred tax assets

As at 31st March,	Group		Company	
	2023	2022	2023	2022
Movement in deferred tax assets				
Balance at the beginning of the year	(4,191,349)	(8,434,405)	-	-
Origination/(reversal) of temporary differences				
Recognised in statement of profit or loss				
Continuing operations	(546,573)	4,246,778	-	-
Increase in tax rate	(3,553,419)	-	-	-
Origination/(reversal) of temporary differences				
Recognised in other comprehensive income				
Deferred tax on actuarial gain/(loss)	(2,012)	(3,722)	-	-
Balance at the end of the year	(8,293,353)	(4,191,349)	-	-
Composition of deferred tax assets				
Property, plant and equipment	(1,312,061)	(332,532)	-	-
Right-of-use assets	337,884	(7,920)	-	-
Revaluation surplus on land	-	-	-	-
	(974,177)	(340,452)	-	-
Retirement benefit obligation	33,199	18,974	-	-
Lease liabilities	(399,047)	-	-	-
Tax losses carried forward	3,803,150	1,768,627	-	-
Provision for inventories	809,894	271,854	-	-
Provision for bad debts	5,020,334	2,472,346	-	-
	9,267,528	4,531,801	-	-
	8,293,353	4,191,349	-	-

28.2 Deferred tax liabilities

As at 31st March,	Group		Company	
	2023	2022	2023	2022
Movement in deferred tax liabilities				
Balance at the beginning of the year	546,637,646	346,427,360	491,419,461	312,206,583
Origination/(reversal) of temporary differences				
Recognised in statement of profit or loss				
Continuing operations	19,252,034	73,977,474	18,706,786	72,639,333
Increase in tax rate	19,514,449	-	6,542,031	-
Origination/(reversal) of temporary differences				
Recognised in other comprehensive income				
Deferred tax on revaluation surplus	-	127,033,829	-	107,374,562
Deferred tax on revaluation surplus/ impact due to rate change	128,428,378	-	128,428,378	-
Deferred tax on actuarial gain/(loss)	(490,011)	(801,017)	(490,011)	(801,017)
Balance at the end of the year	713,342,496	546,637,646	644,606,645	491,419,461
Composition of deferred tax liabilities				
Property, plant and equipment	(296,356,899)	(184,825,554)	(231,500,735)	(132,169,041)
Right-of-use assets	(19,084,567)	(12,392,876)	(6,668,069)	(4,140,000)
Subsidy receivable	(105,581,942)	(511,990,892)	(105,581,942)	(511,990,892)
Revaluation surplus on land	(321,070,944)	(192,642,566)	(321,070,944)	(192,642,566)
	(742,094,352)	(901,851,888)	(664,821,690)	(840,942,499)
Retirement benefit obligation	14,069,522	7,646,531	14,069,522	7,646,531
Lease liabilities	7,399,573	5,016,361	623,651	367,332
Tax losses carried forward	-	238,103,266	-	238,103,266
Unrealised foreign currency exchange loss	-	100,201,257	-	100,201,257
Provision for bad debts	7,282,761	4,246,827	5,521,872	3,204,652
	28,751,856	355,214,242	20,215,045	349,523,038
	(713,342,496)	(546,637,646)	(644,606,645)	(491,419,461)

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

28 DEFERRED TAX (ASSETS)/LIABILITIES CONTD.

28.3 Movement in deferred tax balances

	Net balance as at 01 April 2022	Recognised in profit/(loss)	Recognised in OCI	Net balance as at 31st March 2023	Deferred tax assets	Deferred tax liabilities
Group - 2023						
Property, plant and equipment	(185,158,086)	(112,510,874)	-	(297,668,960)	1,312,061	(296,356,899)
Right-of-use assets	(12,400,796)	(6,345,887)	-	(18,746,683)	(337,884)	(19,084,567)
Subsidy receivable	(511,990,892)	406,408,950	-	(105,581,942)	-	(105,581,942)
Revaluation surplus on land	(192,642,566)	-	(128,428,378)	(321,070,944)	-	(321,070,944)
Retirement benefit obligation	7,665,505	5,945,193	492,023	14,102,721	(33,199)	14,069,522
Lease liabilities	5,016,361	1,984,165	-	7,000,526	399,047	7,399,573
Tax losses carried forward	239,871,893	(236,068,745)	-	3,803,148	(3,803,148)	-
Provision for inventories	271,854	538,040	-	809,894	(809,894)	-
Unrealised foreign currency exchange loss	100,201,257	(100,201,257)	-	-	-	-
Provision for bad debts	6,719,173	5,583,922	-	12,303,095	(5,020,334)	7,282,761
Net tax assets/(liabilities)	(542,446,297)	(34,666,493)	(127,936,355)	(705,049,145)	(8,293,351)	(713,342,496)
Company - 2023						
Property, plant and equipment	(132,169,041)	(99,331,694)	-	(231,500,735)	-	(231,500,735)
Right-of-use assets	(4,140,000)	(2,528,069)	-	(6,668,069)	-	(6,668,069)
Subsidy receivable	(511,990,892)	406,408,950	-	(105,581,942)	-	(105,581,942)
Revaluation surplus on land	(192,642,566)	-	(128,428,378)	(321,070,944)	-	(321,070,944)
Retirement benefit obligation	7,646,531	5,932,980	490,011	14,069,522	-	14,069,522
Lease liabilities	367,332	256,319	-	623,651	-	623,651
Tax losses carried forward	238,103,266	(238,103,266)	-	-	-	-
Unrealised foreign currency exchange loss	100,201,257	(100,201,257)	-	-	-	-
Provision for bad debts	3,204,652	2,317,220	-	5,521,872	-	5,521,872
Net tax assets/(liabilities)	(491,419,461)	(25,248,817)	(127,938,367)	(644,606,645)	-	(644,606,645)

Deferred Tax is provided using the liability method, providing for temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax (asset)/liability has been computed taking into consideration the effective tax rate, which is 30% (2022 – 18%).

28.4 Unrecognised deferred tax assets

Deferred tax assets have not been recognised in respect of the temporary differences arising from tax losses of the following subsidiaries as it is not probable that sufficient future taxable profit will be available against which the Group can use the benefits there from.

	Temporary differences		Deferred tax asset	
	2023	2022	2023	2022
AgStar Exports (Pvt) Ltd	36,979,333	39,758,864	11,093,800	7,156,596
Mahaweli Agro Trading (Pvt) Ltd	-	190,644,543	-	34,316,018
	36,979,333	230,403,407	11,093,800	41,472,614

29 TRADE AND OTHER PAYABLES

	Note	Group		Company	
		2023	2022	2023	2022
Trade payables		10,002,351	2,873,440,960	3,317,455	2,750,466,249
Other payables		166,366,547	163,572,364	144,678,314	129,769,416
Advance received		-	6,436,069	-	-
Total of trade and other payables		176,368,898	3,043,449,393	147,995,769	2,880,235,665

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

30 LOANS AND BORROWINGS

		Group		Company	
	Note	2023	2022	2023	2022
Non-current liabilities					
Long term loans	30.1	37,600,000	151,000,000	37,600,000	151,000,000
		37,600,000	151,000,000	37,600,000	151,000,000
Current liabilities					
Current portion of long term loans	30.1	113,400,000	174,355,000	113,400,000	170,400,000
Short term loans	30.2	-	6,047,423	-	5,883,481
		113,400,000	180,402,423	113,400,000	176,283,481

Terms and repayment schedule of secured loans

The terms and conditions of Group's outstanding loans as follows.

	Currency	Nominal interest rate	Term	31st March 2023		31st March 2022	
				Face value	Carrying amount	Face value	Carrying amount
Import demand loan	LKR	AWPLR+1%	On demand	-	-	6,047,423	6,047,423
Covid loans	LKR	4%	24 months	-	-	3,955,000	3,955,000
Long term loan - 1	LKR	5.5%	36 months	94,000,000	94,000,000	264,400,000	264,400,000
Long term loan - 2	LKR	AWPLR+1.5%	24 months	57,000,000	57,000,000	57,000,000	57,000,000
				151,000,000	151,000,000	331,402,423	331,402,423

30.1 Long term loan movement during the year

	Group		Company	
	2023	2022	2023	2022
Balance at the beginning of the year	325,355,000	131,575,000	321,400,000	117,000,000
Obtained during the year	-	340,000,000	-	340,000,000
Repayment during the year	(174,355,000)	(146,220,000)	(170,400,000)	(135,600,000)
Balance at the end of the year	151,000,000	325,355,000	151,000,000	321,400,000
Loans and borrowings included in the statement of financial position				
Current	113,400,000	174,355,000	113,400,000	170,400,000
Non-current	37,600,000	151,000,000	37,600,000	151,000,000
	151,000,000	325,355,000	151,000,000	321,400,000

30.2 Short term loan movement during the year

	Group		Company	
	2023	2022	2023	2022
Balance at the beginning of the year	6,047,423	643,827,528	5,883,481	575,819,588
Obtained during the year	3,880,708,296	5,085,381,795	3,787,608,702	4,696,328,245
Repayment during the year	(3,886,755,719)	(5,723,161,900)	(3,793,492,183)	(5,266,264,352)
Balance at the end of the year	-	6,047,423	-	5,883,481

31. INCOME TAX PAYABLE

	Group		Company	
	2023	2022	2023	2022
Balance at the beginning of the year	46,261,638	10,007,927	-	-
Taxation on profits for the year	653,208,812	106,839,894	540,672,676	-
Under/(over) provision in respect of previous year	(1,682,434)	4,579,486	(1,688,380)	-
WHT credit set-off	-	(8,610)	-	-
Tax paid during the year	(81,933,524)	(73,868,776)	-	-
Balance at the end of the year	615,854,492	47,549,921	538,984,296	-

32. INVESTMENT IN GOVERNMENT SECURITIES

	Group		Company	
	2023	2022	2023	2022
Financial instruments - measured at amortised cost				
Investment in government securities	847,788,420	-	524,886,505	-
	847,788,420	-	524,886,505	-

32.1 Financial instruments - measured at amortised cost

	Group		Company	
	2023	2022	2023	2022
Balance at the beginning of the year				
Investment in Treasury Bonds	847,788,420	-	524,886,505	-
Balance as at end of the year	847,788,420	-	524,886,505	-

The Company has classified its investment in government debt securities - treasury bond as debt instrument at amortised cost.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

32. INVESTMENT IN GOVERNMENT SECURITIES

32.2 Stage Classification of Gross debt instruments

	2023		Company	
	Stage 1	Total	Stage 1	Total
Treasury Bond	847,788,420	847,788,420	524,886,505	524,886,505
	847,788,420	847,788,420	524,886,505	524,886,505

33. RELATED PARTY DISCLOSURES

(a) Identification of related parties

The Company has a related party relationship with its subsidiaries and other group Companies and with its Directors.

(b) Transactions with key management personnel

Key management personnel comprise all the members of the Board of Directors of the Company having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly.

(c) Loans to directors

No loans have been granted to the Directors of the Company.

(d) Key management personnel compensation

No compensation was paid to directors during the period under review, other than what is mentioned in Note 10

(e) Related party transactions

The following transactions were carried out with related parties during the year ended 31st March 2023.

33 RELATED PARTY DISCLOSURES CONTD.

33.1 Recurrent related party transactions

The Group entered into the recurrent related party transactions for the year 2022/23 as follows:

Transactions with subsidiaries and other related parties

Company	Relationship	Nature of transaction	Transactions during the year	Balance due (to)/ from as at 31/3/2023	Balance due (to)/ from as at 31/3/2022
AgStar Cropcare (Pvt) Ltd	Subsidiaries	Settlements of related party receivable	(21,032)		
		Transport charge incurred by parent	4,583,702		
		Funds transferred	116,800,000		
		Cropcare purchases	(46,224,639)		
		Fertiliser Sales	135,335,488		
		Packing material transferred	(151,882)		
		Expenses incurred by parent	58,458,917		
		Salaries and allowance	30,455,965		
		Set off against customer deposits	(3,125,748)	241,465,385	(54,645,386)
AgStar Exports (Pvt) Ltd	Subsidiaries	Funds transferred	(29,200,000)		
		Export USD Purchases	20,092,669		
		Fair valuation of USD closing balance transfer	1,790,670		
		Equipment purchase for Solar Panel	(1,151,099)		
		Expenses incurred by parent company	10,362,645		
		Salaries and allowance	6,320,389	35,836,259	27,620,985
AgStar Grains (Pvt) Ltd	Subsidiaries	Solar Power Income	16,519,462		
		Settlements of related party receivable	(16,832,941)		
		Expenses incurred by parent	379,609	238,024,953	237,958,823
		Provision made	-	(88,273,000)	(88,273,000)

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

Company	Relationship	Nature of transaction	Transactions during the year	Balance due (to)/ from as at 31/3/2023	Balance due (to)/ from as at 31/3/2022
AgStar Seeds (Pvt) Ltd	Subsidiaries	Funds transferred	84,000,000		
		Solar electricity income	(6,299)		
		Expenses incurred by parent	13,121,735		
		Salaries and allowance	13,354,864	156,992,210	46,521,910
Mahaweli Agro Trading (Pvt) Ltd	Subsidiaries	Expenses incurred by parent	145,124,691		
		Salaries and allowance	6,601,938		
		Funds transferred	(443,716,000)		
		Organic sales	335,006,134		
		Mahaweli purchases	(125,520,224)		
		Solar power income	4,535,946	298,100,507	376,068,022
Prith Seeds (Pvt) Ltd	Subsidiaries	Salaries and allowance	8,134,508		
		Funds transferred	(700,000)		
		Expenses incurred by parent	3,304,902	11,286,998	547,588
Euro Asia Tea (Pvt) Ltd	Subsidiaries	Salaries and allowance	21,792,893		
		Funds transferred	(25,040,629)		
		Inter company Settlement	(3,548,045)		
		Expenses incurred by parent	4,340,189	(289,962)	2,165,630

(f) The receivables from related companies and payables to related companies on sale, purchase of goods and services are unsecured, interest free and have no fixed repayment terms.

(g) The subsidiary companies utilise certain facilities of the Company free of charge and part of the accounting and administrative functions of the subsidiary companies are also performed by the Company for which no charges are made.

(h) Terms and Conditions for recurrent transactions with related parties

All related party transactions are carried out in the ordinary course of business and transacted at normal business terms. The sales to and purchases from related parties are made in terms of equivalent to those that prevail in arm's length transactions and comparable with those that would have been charged from unrelated companies. All related party outstanding balances at the year-end are unsecured and are to be settled in cash. The Group does not have any material commitments to related parties.

33.2 Non-recurrent related party transactions

The Company has not entered into any non-recurrent related party transactions during the year, which exceeds 10% of the equity or 5% of the total assets, whichever is lower, as per the Colombo Stock Exchange Section Listing rule 9.3.2.

34. COMMITMENTS

There are no material capital or financial commitments outstanding as at the date of the statement of financial position, which require adjustment to or disclosure in the financial statements other than those mentioned below.

Capital Commitments

Description	Estimated cost	Sq.ft	Completion %
Construction of new warehouse in Ekala	Rs. 380 Mn	85,000	98%
Renovation of bag store and workshop building in Ekala	Rs. 11 Mn	3,895	98%
Construction of warehouse with lab in Polannaruwa	Rs. 35.3 Mn	8,900	95%

35. CONTINGENT LIABILITIES

There were no any material contingent liabilities outstanding as at the reporting date that require adjustments in the financial statements.

35.1 Corporate guarantee issued by AgStar PLC

Name of the Company	Type of the facility	Name of the bank	Amount (Rs.)
AgStar Seeds (Pvt) Ltd	LC/IDL	Commercial	48,000,000
	Overdraft	Commercial	19,000,000
	Short term loan facility	Commercial	60,000,000
	LC/IDL	HNB	20,000,000
	Overdraft	HNB	5,000,000
	Term Loan (Series of Loan)	BOC	60,000,000
	Short term loan facility	NDB	50,000,000
AgStar Cropcare (Pvt) Ltd	LC/IDL	Commercial	60,000,000
	Overdraft	Commercial	19,000,000
	LC/IDL	HNB	100,000,000
	LC/IDL	DFCC	120,000,000
	LC/IDL	NDB	50,000,000
AgStar Grains (Pvt) Ltd	Short Term Loan	Commercial	10,000,000
	Short Term Loan	Commercial	150,000,000
	Short Term Loan	DFCC	200,000,000
	Short Term Loan	BOC	500,000,000
Mahaweli Agro Trading (Pvt) Ltd	Short Term Loan	BOC	150,000,000
	Short Term Loan	NDB	50,000,000

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

35.2 Bank Guarantees

Name of the Company	Type of the facility	Name of the bank	Amount (Rs.)
Lanka Phosphate Limited		Commercial	11,000,000
Department of Customs		Commercial	187,000
Secretary Production, Supply and Regulation of Organic Fertiliser		Commercial	500,000

36. EVENTS OCCURRING AFTER THE REPORTING DATE

There were no material events occurred after the reporting date that require adjustments to, or disclosure in the financial statements except below.

- LOLC Holdings acquired Agstar PLC's stake of 53.78% in Euro Asia Tea (Pvt) Ltd on 1st May 2023.

37. COMPARATIVE INFORMATION

The comparative information has been rectified according to the current year classification wherever necessary to ensure comparability and better presentation.

38. FINANCIAL INSTRUMENTS

- (a) The following tables shows the carrying amounts of financial assets and financial liabilities. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

38.1 Accounting classification and fair value

Company	Note	Financial assets at amortised cost	Other financial liabilities	Total carrying amount
As at 31st March 2023				
Financial assets not measured at fair value				
Trade and other receivables *	21	374,462,378	-	374,462,378
Investment in government securities	32	524,886,505	-	524,886,505
Subsidy receivable	22	351,939,808	-	351,939,808
Amounts due from related companies	23.1	893,433,311	-	893,433,311
Cash and cash equivalents	24	537,786,490	-	537,786,490
		2,682,508,492	-	2,682,508,492
Financial liabilities not measured at fair value				
Trade and other payables	29	-	147,995,769	147,995,769
Loans and borrowings	30	-	151,000,000	151,000,000
Amounts due to related companies	23.2	-	289,962	289,962
		-	299,285,731	299,285,731
As at 31st March 2022				
Financial assets not measured at fair value				
Trade and other receivables *	21	44,447,692	-	44,447,692
Subsidy receivable	22	2,844,393,846	-	2,844,393,846
Amounts due from related companies	23.1	602,609,958	-	602,609,958
Cash and cash equivalents	24	72,158,123	-	72,158,123
		3,563,609,619	-	3,563,609,619
Financial liabilities not measured at fair value				
Trade and other payables	29	-	2,880,235,665	2,880,235,665
Loans and borrowings	30	-	327,283,481	327,283,481
Amounts due to related companies	23.2	-	54,645,386	54,645,386
Bank overdraft	24	-	52,954,312	52,954,312
		-	3,315,118,844	3,315,118,844

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances amounting to Rs. 75,362,944 (2022 - Rs. 190,558,165) have been excluded as they are not financial instruments.

The fair value of the loan and receivables and other financial liabilities is not significantly different from the carrying amount stated above.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

38. FINANCIAL INSTRUMENTS CONTD.

38.2 Accounting classification and fair value

Trade and other receivables and trade and other payables classified as held for sales are not included in the table below. Their carrying amount is a reasonable approximation of fair value.

Group	Note	Financial assets at amortised cost	Other financial liabilities	Total carrying amount
As at 31st March 2023				
Financial assets not measured at fair value				
Trade and other receivables*	21	611,803,338	-	611,803,338
Investment in government securities	32	847,788,420	-	847,788,420
Subsidy receivable	22	389,513,395	-	389,513,395
Cash and cash equivalents	24	634,495,441	-	634,495,441
		2,483,600,594	-	2,483,600,594
Financial liabilities not measured at fair value				
Trade and other payables**	29	-	176,368,898	176,368,898
Loans and borrowings	30	-	151,000,000	151,000,000
Bank overdraft	24	-	14,306,354	14,306,354
		-	341,675,252	341,675,252
As at 31st March 2022				
Financial assets not measured at fair value				
Trade and other receivables*	21	147,338,182	-	147,338,182
Subsidy receivable	22	3,038,363,195	-	3,038,363,195
Cash and cash equivalents	24	410,408,056	-	410,408,056
		3,596,109,433	-	3,596,109,433
Financial liabilities not measured at fair value				
Trade and other payables**	29	-	3,037,013,324	3,037,013,324
Loans and borrowings	30	-	331,402,423	331,402,423
Bank overdraft	24	-	59,528,345	59,528,345
		-	3,427,944,092	3,427,944,092

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances amounting to Rs. 184,788,849 (2022 - Rs. 215,283,271) have been excluded as they are not financial instruments

** Advances amounting to Rs. Nil (2022 - Rs. 6,436,069) has been excluded as it is not a financial instruments

39. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group has exposure to the following risk arising from financial instruments:

- Liquidity risk
- Credit risk
- Market risk

Risk management framework

The Company's board of directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The group is responsible for develop and monitor the group's risk management policies. The group risk management policies are established to identify and analysis the risk faced by the Group, to set appropriate risk limits and controls and monitor risks and adherence to limits.

Risk management policies and system are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain disciplined and constructive controls environment in which all employees understand their roles and obligations.

The Group audit committee overseas how management, monitors compliance with the Group's risk management policies and procedures, and review the adequacy of the risk management framework in relation to the risks faced by the Group.

39.1 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meets its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damages to the Group's reputation.

Exposure to liquidity risk

The following are the remaining contractual maturities of financial liabilities at the reporting date. The amounts are gross and undiscounted.

Group	As at 31st March 2023					Total
	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	
Non-derivative financial liabilities						
Trade and other payables	176,368,898	176,368,898	-	-	-	176,368,898
Loans and borrowings	151,000,000	28,350,000	28,350,000	56,700,000	37,600,000	151,000,000
Lease liabilities	24,665,245	-	-	10,769,700	29,983,681	40,753,381
Bank overdraft	14,306,354	14,306,354	-	-	-	14,306,354
	366,340,497	219,025,252	28,350,000	67,469,700	67,583,681	382,428,633

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

39. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES CONTD.

Group	As at 31st March 2022					Total
	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	
Non-derivative financial liabilities						
Trade and other payables	3,037,013,324	3,037,013,324	-	-	-	3,037,013,324
Loans and borrowings	331,402,423	58,947,546	50,272,291	92,018,430	157,499,630	358,737,897
Lease liabilities	33,413,335	-	-	11,369,700	40,753,380	52,123,080
Bank overdraft	59,528,345	59,528,345	-	-	-	59,528,345
	3,461,357,427	3,155,489,215	50,272,291	103,388,130	198,253,010	3,507,402,646

Company	As at 31st March 2023					Total
	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	
Non-derivative financial liabilities						
Trade and other payables	147,995,769	147,995,769	-	-	-	147,995,769
Amounts due to related companies	289,962	289,962	-	-	-	289,962
Loans and borrowings	151,000,000	28,350,000	28,350,000	56,700,000	37,600,000	151,000,000
Lease liabilities	2,078,835	-	-	262,500	9,545,176	9,807,676
	301,364,566	176,635,731	28,350,000	56,962,500	47,145,176	309,093,407

Company	As at 31st March 2022					Total
	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	
Non-derivative financial liabilities						
Trade and other payables	2,880,235,665	2,880,235,665	-	-	-	2,880,235,665
Amounts due to related companies	54,645,386	54,645,386	-	-	-	54,645,386
Loans and borrowings	327,283,481	48,483,481	42,600,000	85,200,000	151,000,000	327,283,481
Lease liabilities	2,040,732	-	-	262,500	9,807,675	10,070,175
Bank overdraft	52,954,312	52,954,312	-	-	-	52,954,312
	3,317,159,576	3,036,318,844	42,600,000	85,462,500	160,807,675	3,325,189,019

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amount.

39.2 Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet the its contractual obligations, and arise principally from the Group's receivable from customers.

The finance division manages the risk arising from investments made in financial institutions in accordance with the policy direction provided by the Board. The transactions are carried out only with a limited number of institutions all of which have stable credit ratings from internationally recognised rating providers.

The Carrying amount of financial assets represents the maximum credit exposure. Impairment losses on financial assets recognised in profit and loss were as follows,

	Group		Company	
	2023	2022	2023	2022
Impairment loss on trade receivables	12,206,535	5,939,901	6,724,917	4,308,204

The Group's exposure to credit risk influenced mainly by the individual characteristics of each customer. However, management also consider the factors that may influence the credit risk of its customer base, including the default risk associated with the industry and country in which customer operate.

The Group limits its exposure to credit risk from trade receivable by establishing a maximum period of one and two months for customers. The Group does not require collateral in respect of trade and other receivables.

Cash and cash equivalents

The Group held cash and cash equivalents of Rs. 634 Mn at 31 March 2023 (2022 - Rs. 410 Mn) which represents its maximum credit exposure on these assets.

Details of the counter parties in which the Company has short term deposits are as follows,

Bank	Amount Rs.	Rating
People's Bank	17,384,129	A(lka)
Hatton National Bank PLC	33,139,772	A(lka)
Sampath Bank PLC	43,468,149	A(lka)
	93,992,050	

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

39. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES CONTD.

(a) Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows.

	Note	Group		Company	
		2023	2022	2023	2022
Trade and other receivables *	21	611,803,338	147,338,182	374,462,378	44,447,692
Investment in government securities	32	847,788,420	-	524,886,505	-
Subsidy receivable	22	389,513,395	3,038,363,195	351,939,808	2,844,393,846
Amounts due from related companies	23.1	-	-	893,433,311	602,609,958
Cash and cash equivalents	24	631,766,958	406,311,926	536,694,728	71,238,862
		2,480,872,111	3,592,013,303	2,681,416,730	3,562,690,358

The ageing of trade receivables and impairment as at the reporting date were as:

Gross value

Not past due	53,737,578	15,605,242	126,974,749	6,044,467
Past due 1-60 days	(313,977,662)	47,425,272	(228,534,518)	43,856,912
Past due 61-120 days	104,669,814	68,481,128	30,670,395	1,997,092
Past due more than 120 days	788,599,287	67,332,129	441,137,712	9,878,921
	633,029,017	198,843,771	370,248,338	61,777,392

Impairment loss

Past due 1-60 days	(2,084)	13,823	-	-
Past due 61-120 days	246,238	80,737	-	-
Past due more than 120 days	48,037,149	60,393,278	18,406,239	25,131,156
	48,281,303	60,487,838	18,406,239	25,131,156
Net trade receivables	584,747,714	138,355,933	351,842,099	36,646,236

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances of the Company and Group amounting to Rs. 75,362,944 (2022 - Rs. 190,558,165) and Rs. 184,788,849 (2022 - Rs. 215,283,271) respectively have been excluded as they are not financial instruments

39.3 Market risk

Market risk is the risk that changes in market prices will affect the Group's income or the value of its holding financial instruments. The objective of market risk management is to manage and control market risk exposure within acceptable parameters, while optimising the return. The Group uses derivative to manage market risks. All such transactions are carried out within the guidance set by the Group.

Market risk comprise of the following types of risk:

- (a) Currency risk
- (b) Interest rate risk
- (c) Equity price risk

(a) Currency risk

The Group is exposed to transactional foreign currency risk to the extent that there is a mismatch between the currencies in which sales, purchases, receivables and borrowing are denominated and the respective functional currencies of Group companies. The functional currencies of Group companies are primarily LKR. The currencies in which these transactions are primarily denominated is US dollar.

Exposure to currency risk

The following significant exchange rates has been applied,

	Highest Level		Lowest Level		Year end rate	
	Buying	Selling	Buying	Selling	Buying	Selling
USD/LKR	364.23	377.50	289.24	299.49	318.28	336.01

Source : CBSL

Balance as at 31st March	2023	2022
Total outstanding receivables in USD	150,744	156,252
Total outstanding payable in USD	-	5,975,480

Sensitivity analysis

A reasonably possible strengthening (Weakening) of the LKR against US dollar against at 31st March 2023 would have affected the measurement of financial instruments denominated by foreign currency and affected profit or loss by the amounts shown below. The analysis assumes that all other variables, in particular interest rates, remain constant.

	As at 31st March 2023		As at 31st March 2022	
	Strengthening profit/loss	Weakening profit/loss	Strengthening profit/loss	Weakening profit/loss
USD to LKR (15% movement)	7,196,730	(7,196,730)	260,992,367	(260,992,367)

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

39. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES CONTD.

(b) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group mainly borrows in the short term to fund its working capital requirement which are linked to floating interest rates. The Group utilises various financial instruments to manage exposures to interest rate risks.

Policy interest rates increased by 700 basis points in April 2022 targeting price stability in the economy and it remained until end of the financial year.

At the reporting date, the Group's interest-bearing financial instruments were as follows:

	Group		Company	
	2023	2022	2023	2022
Variable rate instruments				
Long term loans	151,000,000	325,355,000	151,000,000	321,400,000
Import demand loans	-	6,047,423	-	5,883,481
Bank overdraft	14,306,354	59,528,345	-	52,954,312

The finance division continuously monitors the interest rate environment to advise Strategic Business Units (SBUs) on the most suitable strategy with regard to borrowings. The Group's borrowings are usually negotiated during troughs in the interest rate cycle in order to extend the favourable impact to future reporting periods.

Sensitivity analysis

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on that portion of loans and borrowings affected. With all other variables held constant, the Group's profit before tax is affected through the impact on floating rate borrowings as follows:

Year	Increase/ decrease in base point	Group	Company
		Effect on profit before tax Rs.	Effect on profit before tax Rs.
2023	+700	(10,570,000)	(10,570,000)
	-700	10,570,000	10,570,000
2022	+700	(23,198,170)	(22,909,844)
	-700	23,198,170	22,909,844

(c) Equity price risk

The Group has adopted that its investment in subsidiaries companies are recorded at cost as per LKAS 27 standards and therefore scoped out from SLFRS 09 - Financial Instruments.

40 CAPITAL MANAGEMENT

The board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and sustain future development of the business. Capital consist of ordinary share capital, reserves, retained earnings and non-controlling interest of the Group. The Board of Directors monitors the return on capital as well as the level of dividends to ordinary share holders.

DECADE AT A GLANCE

For the year ended 31st March,

31st March	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Rs.'000										
OPERATING RESULTS										
Group Revenue	7,458,205	5,992,282	3,611,145	1,734,841	2,478,165	3,317,020	2,784,899	1,728,683	2,100,071	1,725,717
Net Finance Expense	(620,096)	(830,717)	(34,880)	(54,327)	(6,307)	(34,790)	(38,460)	2,912	(110,695)	(230,675)
Profit Before Tax	2,347,695	797,401	576,453	205,496	321,024	156,039	244,104	363,440	332,676	58,399
Tax Expense	(688,524)	(190,674)	(84,078)	(63,977)	(75,805)	(65,731)	(76,717)	(126,023)	(119,701)	(28,785)
Profit After Tax (continuing Operations)	1,659,171	606,727	492,375	141,519	245,219	90,308	167,387	237,417	212,975	29,614
Profit/(loss) After Tax (Discontinued Operations)	(295)	136	(17,244)	(3,530)	(18,850)	(63,717)	(189,853)	(290,293)	-	-
Attributable To:										
Equity Holders of the parent	1,668,886	618,916	476,259	137,989	226,369	26,591	(22,466)	(52,876)	217,681	43,094
Non Controlling Interest	(10,011)	(12,053)	(1,128)	-	-	-	-	-	(5,088)	(13,480)
	1,658,875	606,863	475,131	137,989	226,369	26,591	(22,466)	(52,876)	212,593	29,614
FINANCIAL POSITION										
Stated Capital	2,007,857	2,007,857	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094
Reserves	5,178,803	3,639,493	2,441,833	1,820,564	1,681,855	1,430,353	1,198,298	1,283,362	1,316,551	875,680
	7,186,660	5,647,350	3,645,927	3,024,658	2,885,949	2,634,447	2,402,392	2,487,456	2,520,645	2,079,774
Non Controlling Interest	20,634	30,645	42,698	-	-	-	-	-	-	21,117
Net Assets	7,186,660	5,647,350	3,645,927	3,024,658	2,885,949	2,634,447	2,402,392	2,487,456	2,520,645	2,079,774
Non Current Liabilities	813,665	764,714	448,483	379,366	286,998	191,621	66,436	178,314	229,502	288,566
	8,020,959	6,442,709	4,137,108	3,404,024	3,172,947	2,826,068	2,468,828	2,665,770	2,750,147	2,389,457
Represented By;										
Property Plant & Equipment (PPE)	3,285,915	3,299,488	2,403,080	1,650,869	1,527,367	1,417,703	1,029,492	1,041,158	929,074	1,212,319
Non Current Assets (Excluding PPE)	1,031,639	190,851	126,952	79,595	56,626	57,205	212,451	150,056	76,687	5,849
- Current Assets	4,632,619	6,292,468	5,919,747	4,178,890	3,765,141	3,483,081	3,140,495	4,292,951	4,367,607	3,351,805
- Current Liabilities	929,214	(3,340,098)	(4,312,671)	(2,505,330)	(2,176,187)	(2,131,921)	(1,913,610)	(2,818,394)	(2,623,220)	(2,180,516)
Net Current Assets	3,703,405	2,952,370	1,607,076	1,673,560	1,588,954	1,351,160	1,226,884	1,474,557	1,744,387	1,171,289
	8,020,959	6,442,709	4,137,108	3,404,024	3,172,947	2,826,068	2,468,828	2,665,770	2,750,147	2,389,457
KEY INDICATORS										
Annual Revenue growth (%)	24.46	65.94	108.15	(29.99)	(25.29)	19.11	61.10	(17.68)	21.69	(1.83)
Basic earning per share (Rs.)	3.42	1.52	1.47	0.42	0.70	0.08	(0.07)	(0.16)	0.67	0.13
Net Profit to net revenue (%)	22.25	10.13	13.16	7.95	9.13	0.80	(0.81)	(3.06)	10.14	1.70
Dividend per share - proposed (Rs.)	-	-	0.20	-	0.20	0.10	-	0.20	0.20	0.10
Return on Equity (%)	23.22	10.96	13.06	4.56	7.84	0.95	(0.94)	(2.13)	8.45	1.40
Net Assets per share (Rs.)	14.74	11.58	11.22	9.31	8.88	8.59	7.39	7.65	7.76	6.46
Debt to Equity Ratio (%)	0.02	6.89	21.67	49.81	34.69	0.61	16.71	58.44	53.84	61.90
Current ratio(Times)	4.99	1.88	1.37	1.67	1.73	1.63	1.64	1.52	1.66	1.54

NOTICE OF ANNUAL GENERAL MEETING

AGSTAR PLC REG NO. PV1618 PBPQ

NOTICE IS HEREBY GIVEN THAT THE 21ST ANNUAL GENERAL MEETING of the Company will be held on Tuesday, 19th September 2023 at 10.00 a.m. as an online audio-visual meeting with arrangements for the on-line meeting platform made at LOLC Holdings PLC, No. 100/1, Sri Jayawardenapura Mawatha, Rajagiriya.

The business to be brought before the meeting will be:

1. To receive and consider the Report of the Directors and Audited Financial Statements of the Company for the Financial Year ended 31st March 2023 with the Auditors' Report thereon.
2. To re-elect Mr. R S I Gunawardena as a Director who retires in terms of Article 23(2) of the Articles of Association of the Company.
3. To re-elect Mr D S K Amarasekera as a Director who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.
4. To re-elect Mr. M. S. Gunawardena as a Director who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.
5. To re-elect Mr. W K D T Abeyrathne as a Director who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.
6. To re-appoint Mrs. S N Wickramasinghe as an Independent Non-executive Director. A Notice has been received from a

shareholder in terms of Section 211 of the Companies Act No.07 of 2007 of the intention to propose the following Resolution as an Ordinary Resolution;

RESOLUTION

"That Mrs. S N Wickramasinghe who reached the age of 70 years on 02nd January 2023 be and is hereby re-appointed as an Independent Non-executive Director of the Company for a period of one year or until the conclusion of the next Annual General Meeting whichever occurs first and it is hereby declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director."

7. To re-appoint M/s KPMG, Chartered Accountants as the auditors for the ensuing financial year, at a remuneration to be fixed by the Directors.
8. To approve in terms of Companies (Donations) Act No. 26 of 1951 the making of donations by the Directors as determined by them for the current Financial Year and until the next Annual General Meeting of the Company.

By order of the Board,
Agstar PLC



L O L C Corporate Services (Private) Limited
Secretaries

21st August 2023
Colombo

FORM OF PROXY

AGSTAR PLC Reg No. PV1618PBPQ

I/ We of
.....
being a member/members of the above named Company hereby appoint;
..... of
..... whom failing

R. S Indika Gunawardhana	or failing him
Mrs. V G S S Kotakadeniya	or failing her
A K P Weerasekara	or failing him
D S K Amarasekara	or failing him
P Weerasingha	or failing him
W K D T Abeyrathne	or failing him
S Gunawardena	or failing him
Mrs. S N Wickramasinghe	or failing her
Dr. (Mrs.) A D N de Zoysa	or failing her
R K A Ranaweera	

as my/our proxy to represent me/us and vote on my/our behalf at the Twenty First Annual General Meeting of the Company to be held as an online meeting on 19th September 2023 at 10.00 a.m. and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid Meeting.

	For	Against
1. To adopt the Annual Report of the Board of Directors and Audited Financial Statements for the Financial Year ended 31st March 2023 with the report of the Auditors thereon.	☐	☐
2. To re-elect as a Director Mr. R S Indika Gunawardhana who retires in terms of Article 23 (2) of the Articles of Association of the Company.	☐	☐
3. To re-elect as a Director Mr D S K Amarasekara who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.	☐	☐
4. To re-elect as a Director Mr. M. S. Gunawardena who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.	☐	☐
5. To re-elect as a Director Mr. W K D T Abeyrathne who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.	☐	☐
6. To re-appoint Mrs. S N Wickramasinghe as an Independent Director.	☐	☐
7. To re-appoint as auditors M/s KPMG, Chartered Accountants for the ensuing financial year at a remuneration to be fixed by the Directors.	☐	☐
8. To authorise Directors to make donations.	☐	☐

dated this day of Two Thousand and Twenty Three.

.....
Signature of Shareholder

FORM OF PROXY

Notes:

- 1 Please return the completed Form of Proxy after filling in legibly your full name and address, signing on the space provided and filling in the date of signature.
- 2 The Proxy shall:
 - a) in the case of an individual, be under the hand of the shareholder or his or her attorney, and if signed by an attorney, a notorially certified copy of the Power of Attorney should be attached to the completed Form of Proxy, if it has not already been registered with the Company.
 - b) if the shareholder is a company or a corporation, be either under its common seal or under the hand of an officer or attorney authorised by such organisation in that behalf in accordance with its Articles of Association or Constitution.
- 3 Please indicate with an 'X' how the proxy should vote on each Resolution. If no indication is given, the proxy shall exercise his/her discretion and vote as he/she thinks fit.
- 4 The completed Form of Proxy should be deposited at LOLC Corporate Services (Private) Limited, Secretaries to AgStar PLC, 4th Floor, No. 34, Sir Mohamed Macan Markar Mawatha, Colombo 03 or scanned and emailed to corporateservices@lolc.com with the email subject titled "AGSTAR AGM PROXY" not less than 48 hours before the time appointed for the holding of the Meeting.

CORPORATE INFORMATION

The Company

AgStar PLC

Legal Form

A Public Quoted Company
incorporated in Sri Lanka on
25th June 2002

Company Registration No.

PV1618 PB/PQ

Registered Office

AgStar PLC
No.93, Minuwangoda Road,
Ekala, Ja-Ela.
Tel: +94 11 4812424
Fax: +94 11 4810706
E-mail: info@agstaragri.com
Website: www.agstaragri.lk

Board of Directors

Mr. R. S. I. Gunawardena
- Executive Chairman
Mr. A.P. Weerasekera
- Managing Director
Ms. V. G. S. S Kotakadeniya
- Non Executive Director
Mr. D.S.K. Amarasekera
- Non Executive Director
Mr. R.K. Athula Ranaweera
- Independent Non Executive Director
Dr. (Mrs) A.D.N. de Zoysa
- Independent Non Executive Director
Ms. S. Wickramasinghe
- Independent Non Executive Director
Mr. W. K. D. T. Abeyrathne
- Executive Director
Mr. E. A. D. N. J. Perera
- Non Executive Director
(Resigned on 11.08.2023)
Ms. T. A. P. Weerasinghe
- Non Executive Director
(Resigned on 11.08.2023)
Mr. P. Weerasingha
- Executive Director
Mr. M. S. Gunawardana
- Non Executive Director

Audit Committee

Mr. R.K.Athula Ranaweera (Chairman)
Dr. (Mrs) A.D.N.de Zoysa
Ms. S.Wickramasinghe
Mr. D.S.K. Amarasekera
Ms. T.A.P. Weerasinghe
(Resigned w.e.f. 11th August 2023)

Remuneration Committee

Mr. D.S.K Amarasekera (Chairman)
Mr. R.K.Athula Ranaweera
Ms. S.Wickramasinghe

Related Party Transactions Review Committee

Ms. S.Wickramasinghe (Chairperson)
Dr. (Mrs) A.D.N.de Zoysa
Mr. R.K.Athula Ranaweera
Mr. W.K.D.T Abeyrathne

Subsidiaries

AgStar Seeds (Pvt) Limited
AgStar Cropcare (Pvt) Limited
AgStar Grains (Pvt) Limited
Mahaweli Agro Trading (Pvt) Limited
AgStar Exports (Pvt) Limited
Prith Seeds (Pvt) Limited
Royal Seeds (Pvt) Limited
Euro Asia Tea (Pvt) Limited

Secretaries

LOLC Corporate Services (Private) Ltd
100/1, Sri Jayawardenapura Mawatha,
Rajagiriya
Tel : +94 115 063 000
Fax : +94 112 865 602

Registrars

SSP Corporate Services (Private)
Limited
101, Inner Flower Road, Colombo 03
Tel : +94 112 573 894
Fax : +94 112 573 609

Auditors

KPMG
P O Box 186
32A, Sir Mohamed Macan Markar
Mawatha,
Colombo 03
Tel : +94 115 426 426
Fax : +94 112 445 872
+94 112 446 058

Bankers

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
MCB Bank Limited
Nation Trust Bank PLC
NDB Bank PLC
Peoples' Bank
Public Bank
Sampath Bank PLC
Seylan Bank PLC

Legal Consultants

Paul Ratnayake Associates
59, Gregory's Road, Colombo 07
Sudath Perera Associates
59th Lane, Nawala Road, Nawala

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